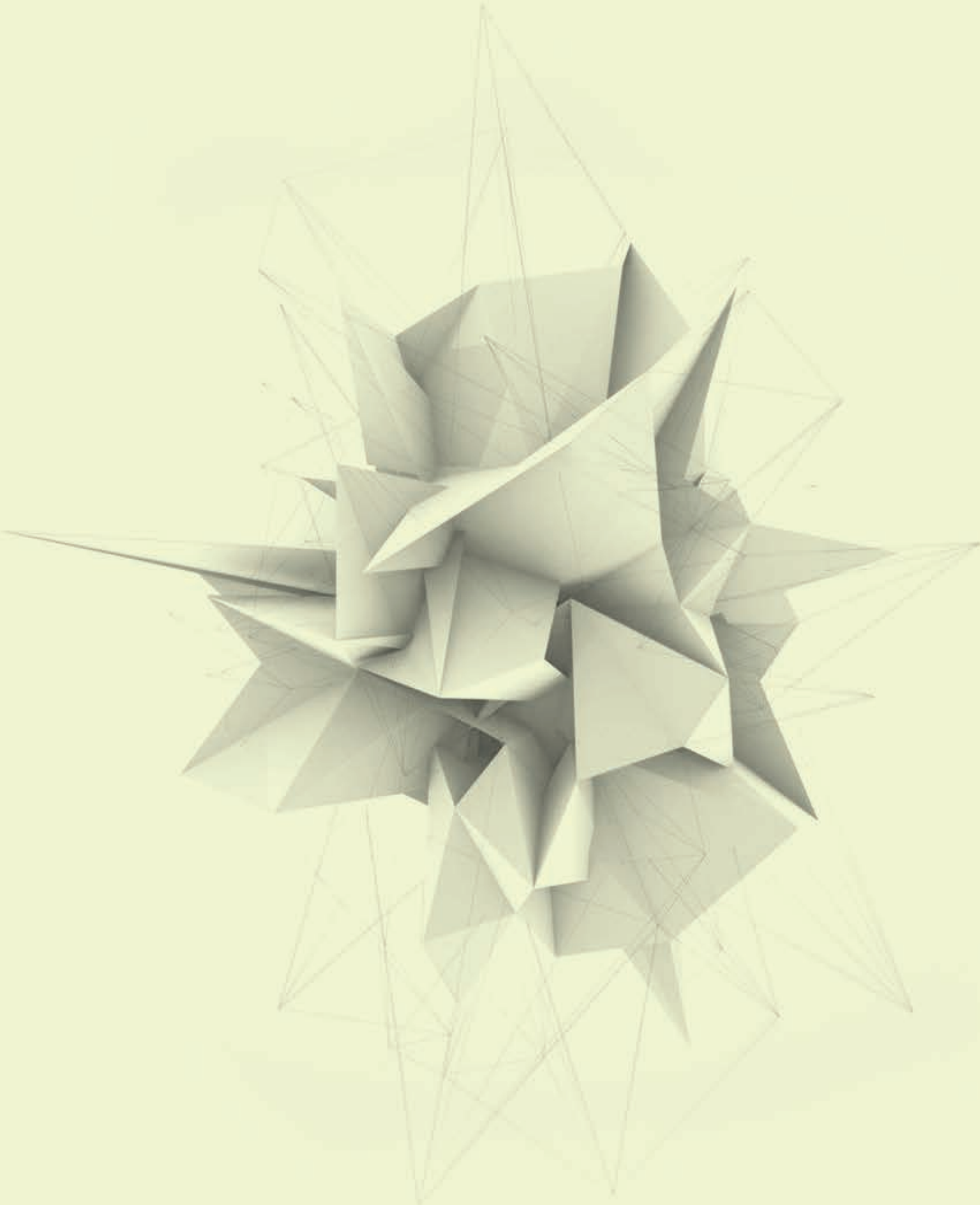
ANNUAL REPORT 2019

FINANCING THE FUTURE



Bangladesh Infrastructure Finance Fund Limited

BIFFL

ANNUAL REPORT 2019

FINANCING THE FUTURE

CONTENTS

07 Corporate Governance (CG) and Compliance

08 Notice, Reports & Financial Statements

09 Disclosures, Checklists & Other Pertinent Information

Letter of Transmittal

Annual Report for the year ended 31 December 2019

Honourable Stakeholders,

We are pleased to present the Annual Report of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year 2019.

BIFFL is a Non-Bank Financial Institution (NBFI) under the ownership of the Government of Bangladesh, represented by the Finance Division, Ministry of Finance.

This Annual Report contains all material information of the functions and financial outcomes of the organization audited by the Independent Auditors. The report also presents the corporate governance & regulatory compliance status of the organization.

To the best of our knowledge, the report provides all information required by the regulators and under other applicable laws and regulations.

Sincerely yours,

Mohammad Monirul Islam Khan FCS
Company Secretary

Stewardship

01

Advisory Board

A H M Mustafa Kamal, FCA, MP
Honorable Minister, Ministry of Finance, and
Chairman of the Advisory Board

Obaidul Quader, MP
Honorable Minister
Ministry of Road Transport and Bridges

Adv. Nurul Majid Mahmud Humayun, MP
Honorable Minister
Ministry of Industries

Dr. Tawfiq-e-Elahi Chowdhury
Energy Adviser to the Hon'ble Prime Minister
Prime Minister's Office

Khalid Mahmud Chowdhury, MP
Honorable State Minister
Ministry of Shipping

Md. Sirazul Islam
Executive Chairman
Bangladesh Investment Development Authority

Fazle Kabir
Governor
Bangladesh Bank

Dr. Zaidi Sattar
Chairman
Policy Research Institute of Bangladesh

Dr. Mohammed Farashuddin
Former Governor
Bangladesh Bank

Message from the Chairman of the Advisory Board

A H M Mustafa Kamal, FCA, MP

Minister, Ministry of Finance, Government of Bangladesh and Chairman of the Advisory Board, BIFFL

It is indeed my great pleasure that Bangladesh Infrastructure Finance Fund Limited has completed 9 years with success. It continues contributing to the sustainable development of the country extending long-term finance to the infrastructure and Public Private Partnership (PPP) projects. I would like to congratulate all Shareholders, Directors and Management of the company as well as appreciate the active role and contribution of the regulators, development partners and other stakeholders on its 9th Annual General Meeting.

Now that Bangladesh is graduating to a developing country, we need to put more efforts in infrastructure development than ever before. In order to ensure continued growth and create an investment-friendly economic environment in Bangladesh, we have to build robust infrastructure all over the country. It is a matter of my pleasure that BIFFL has become a pioneer in the country's infrastructure and PPP project financing for which it was established in 2011 by the Government of Bangladesh through the approval of the Cabinet Meeting in 2010. Since its inception, BIFFL has been actively pursuing its mandate of accelerating the economic growth of the country through financing much needed infrastructure.

I have been informed that BIFFL has already approved 95 projects in the sectors of power and energy, communications and transportation, economic zones, health and hospitality management service and invested BDT3,752.57 crore including some PPP projects. Considering BIFFL's performance so far, I am confident that this organization will play a significant role in national development.

Finally, I would like to extend my sincere gratitude to the management and employees of BIFFL who are working relentlessly to take the organization towards its objective. I wish every success of the 9th Annual General Meeting of BIFFL.

Thank you.

A H M Mustafa Kamal, FCA, MP

Message from the Chairman of the Board of Directors

Abdur Rouf Talukder
Senior Secretary, Finance Division
Ministry of Finance, Government of Bangladesh, and
Chairman, Board of Directors, BIFFL

I am glad to share with you the activities and performance of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year 2019. On behalf of the Board of Directors, I extend my gratitude to all employees of BIFFL for their efforts since its inception in 2011. I would like to express my gratitude to all members of the Advisory Board and Shareholders of BIFFL for their guidance, and cooperation in the functioning of the organization.

Bangladesh has sustained a trajectory of economic development achieving an average GDP growth of more than 6 percent over the last decade and become a lower-middle-income country as per the World Bank's classification. In FY2018-19, the GDP growth stood at 8.15 percent. BIFFL is proud to take part in that endeavor by extending financing to infrastructure and Public Private Partnership (PPP) projects for the sustainable development of the country.

Despite various constraints and challenges, BIFFL has invested BDT3,752.57 crore up to August 31, 2020 in different infrastructure projects and has attained growth in terms of profitability, quality of assets, capital adequacy etc. In 2019, the profit after tax stood at BDT45.30 crore. Shareholder's equity increased by 1.94 percent, from BDT2,332.00 crore to BDT2,378.00 crore. The capital adequacy ratio is 102 percent against the minimum requirement of 10 percent and the company is in the green zone as indicated in the stress test conducted by Bangladesh Bank. The financial health of the company remains stable as it holds a paid-up capital of BDT2,308.00 crore (as on September 2020).

Last year, BIFFL received awards as the Best Annual Report presenter from the South Asian Federation of Accountants (SAFA) and Institute of Chartered Accountants of Bangladesh (ICAB). It was also awarded as the 4th largest taxpayer in the category of non-bank financial institutions for 2018-19.

BIFFL's development partners deserve special thanks for helping the organization leverage and invest BDT1,150 crore (approx.) in energy efficient projects. Besides, JICA funded Food Value Chain Improvement Project is under consideration where BIFFL will act as the sole implementing agency. Considering the Government's development plan, it is expected that BIFFL's contribution to the national growth will be increasing in the coming days through financing infrastructure projects, PPP projects as well as energy efficient and environment friendly projects in the country.

Finally, I would like to take this opportunity to thank our existing and prospective borrowers for their faith in BIFFL. I would also like to express my heartiest appreciation to all the employees of BIFFL for their tenacious effort. My sincere gratitude goes to all the regulatory bodies, Ministry of Finance, Bangladesh Bank, Registrar of the Joint Stock Companies and Firms, Bangladesh Securities and Exchange Commission for their valuable guidance and timely support. I am confident that BIFFL and its employees will overcome every upcoming challenge with firm commitment and renewed enthusiasm. I wish continued success of BIFFL.

Abdur Rouf Talukder
Chairman, BIFFL

Board of Directors

Abdur Rouf Talukder
Senior Secretary, Finance Division,
Ministry of Finance

Md. Anisur Rahman
Senior Secretary, Energy and Mineral Resources Division,
Ministry of Power, Energy and Mineral Resources

Md. Nazrul Islam
Secretary, Road Transport and Highways Division,
Ministry of Road Transport and Bridges

Mohammed Belayet Hossain
Secretary, Bridges Division,
Ministry of Road Transport and Bridges

Dr. Sultan Ahmed
Secretary, Power Division,
Ministry of Power, Energy and Mineral Resources

M. Tofazzel Hossain Miah
Secretary, Prime Minister's Office

Fatima Yasmin
Secretary, Economic Relations Division,
Ministry of Finance

Md. Ekhlasur Rahman
Additional Secretary, Finance Division,
Ministry of Finance

S. M. Anisuzzaman
Chief Executive Officer and
Ex-Officio Member of the Board, BIFFL

Directors' Profile

Abdur Rouf Talukder
Chairman
Bangladesh Infrastructure Finance Fund Limited

Mr. Abdur Rouf Talukder, the Senior Secretary, Finance Division, Ministry of Finance (MoF) joined BIFFL as its 6th Chairman on August 8, 2018 in the 67th meeting of the Board of Directors. As the Chairman, Mr. Talukder has successfully conducted 23 meetings of BIFFL till September 8, 2020. BIFFL as well as the country has benefitted immensely from his versatile professional experience, intelligence and pragmatic initiatives.

In 1988, Mr. Talukder joined Bangladesh Civil Service and has been serving in important positions of the Government.

In the Finance Division, he has contributed to important areas like Budgetary Reforms, Macroeconomic Management etc. He also has wide experience in designing and implementing projects under Annual Development Programme.

Apart from his long career in the Finance Division, Mr. Talukder worked in Ministry of Industries, Ministry of Food and Ministry of Information. He also worked in Bangladesh High Commission, Malaysia as First Secretary (Commercial).

As Senior Secretary of Finance Division, he is a Director, Board of Directors of Bangladesh Bank (Central Bank of Bangladesh); Chairman, Committee of Mutawallis of Islamic Development Bank-Bangladesh Islamic Solidarity Educational Wakf (IDB-BISEW); Chairman, National Human Resource Development Fund (NHRDF); Deputy Chairman, Saudi Bangladesh Industrial & Agricultural Investment Company Limited (SABINCO); Member, Bangladesh Institute of Development Studies (BIDS); Member, Bangladesh Judicial Service Commission; Member of the Board of Governors of BPATC, BIISS and NDC; Director, Board of Biman Bangladesh Airlines Ltd.; Director, Infrastructure Development Company Ltd. (IDCOL) etc.

Mr. Talukder holds an M.Sc. in Development Management with major in Public Economic Management and Finance from the University of Birmingham, UK and an MBA from the Institute of Business Administration (IBA) of the University of Dhaka.

In his long career, Mr. Talukder attended many professional training courses at home and abroad.

Md. Anisur Rahman
Director
Bangladesh Infrastructure Finance Fund Limited

Mr. Md. Anisur Rahman, Senior Secretary, Energy and Mineral Resources Division, Ministry of Power, Energy and Mineral Resources joined BIFFL as Director on February 27, 2020 in the 86th meeting of the Board of Directors. He is also the Chairman of the Executive Committee of BIFFL.

Md. Anisur Rahman was born on December 31, 1962 in Shariatpur District. He has completed his Secondary School Certificate and Higher Secondary Certificate examination from Chandpur Hasan Ali Government High School and Chandpur College respectively. He has obtained Honors and Masters Degrees from the Department of Geography, University of Dhaka.

He is also a member of BCS (Administration) cadre belonging in 1985 batch and joined on February 15, 1988. He served in various capacities in the field service as Assistant Commissioner, Upazila Magistrate, Upazila Nirbahi Officer. Apart from these, he served as Assistant Secretary/Senior Assistant Secretary in the Cabinet Division, Local Government Division, Finance Division, Ministry of Fisheries and Livestock, Ministry of Home Affairs. He worked as Deputy Secretary in the Ministry of Fisheries and Livestock, Local Government Division. He also served in the Local Government Division and the Ministry of Fisheries and Livestock as Joint Secretary. Later he served as an Additional Secretary in the Ministry of Fisheries and Livestock and Public Security Division of the Ministry of Home Affairs. He has attended various trainings at home and abroad. He also attended "Leading Successful Programs: Using Evidence to Assess Effectiveness" under Harvard Kennedy School's Executive Education program held in USA.

Mr. Md. Anisur Rahman served as Secretary in the Ministry of Religious Affairs from September 14, 2017 to January 4, 2020. On January 5, 2020 he joined as Secretary in the Energy and Mineral Resources Division. He has been serving as Senior Secretary of the same Division since January 27, 2020.

As part of the official duty Mr. Rahman visited different countries around the globe including India, Nepal, Maldives, Sri Lanka, Thailand, Myanmar, Indonesia, Malaysia, Singapore, Vietnam, Hong Kong, South Korea, China, Japan, United Kingdom, France, Germany, Italy, United Arab Emirates, Qatar, Russia, Philippines, Switzerland, Belgium, Netherlands, Austria, Czech Republic, Turkey, Norway, Spain, Portugal, Switzerland, Canada, United States of America, Malawi, South Africa, Australia, New Zealand, Brazil, Saudi Arabia. Mrs. Salma Sultana Rupali is his wife. They are blessed with one daughter and one son.

Md. Nazrul Islam
Director
Bangladesh Infrastructure Finance Fund Limited

Mr. Md. Nazrul Islam, Secretary, Road Transport and Highways Division, Ministry of Road Transport and Bridges, joined BIFFL as Director on November 7, 2017 in its 58th meeting of the Board of Directors. He is also the Chairman of the Audit Committee of BIFFL.

Mr. Islam joined Bangladesh Civil Service in 1986. In his service life, he has served successfully in different levels of field administration. He worked as Upazila Nirbahi Officer of Boda, Nabiganj, Bahubal, Habiganj Sadar, Deputy Director of Department of Youth Development of Mymensingh, Chief Executive Officer of Netrokona Zilla Parishad, Zonal Settlement Officer of Mymensingh, Director General of National Primary Education Academy, Chief Executive Officer of Dhaka North City Corporation (DNCC), Administrator of Dhaka South City Corporation (DSCC), Chairman of Bangladesh Road Transport Authority (BRTA) and Member of the Planning Commission. In continuation of glorious service, he took the charge of Secretary of Road Transport and Highways Division under the Ministry of Road Transport and Bridges on October 15, 2017.

He completed Honours and Masters degree from the University of Dhaka. In his long career, Mr. Islam attended many professional training courses and visited different countries as part of the official duty.

Mohammed Belayet Hossain
Director
Bangladesh Infrastructure Finance Fund Limited

Mr. Mohammed Belayet Hossain, Secretary, Bridges Division, Ministry of Road Transport and Bridges joined BIFFL as Director on November 20, 2019 in its 83^{rd} meeting of the Board of Directors. He is also a member of the Executive Committee of BIFFL.

Mr. Hossain joined Bangladesh Civil Service in 1988. Mr. Hossain joined as Secretary of Bridges Division under the Ministry of Road Transport and Bridges on October 28, 2019. He is also the ex-officio Executive Director of Bangladesh Bridge Authority.

In his service life he served successfully in different levels of field administration. He started as an Assistant Commissioner at Sirajganj Collectorate. He worked as an Upazila Magistrate at Kalai Upazila and Khetlal Upazila in Joypurhat District, as a first-class Magistrate at Joypurhat Collectorate, as a Nezarat Deputy Collector at Sirajganj, Kurigram and Manikganj District. He worked as Additional Deputy Commissioner and acting Deputy Commissioner at Jashore. He also worked as Deputy Commissioner at Bhola from November 2006 to August 2008. After that, he worked as General Manager at Jibon Bima Corporation. He also served as Private Secretary to the Minister, Ministry of Road Transport and Bridges and as Joint Secretary and Additional Secretary of the same Ministry. Prior to current assignment as Secretary, Bridges Division, he was posted as Secretary in the Ministry of Textiles and Jute.

Mr. Hossain obtained M.Sc. degree in Zoology from the University of Dhaka and MBA from Northern University, Dhaka. He has attended different trainings, workshops and seminars in many countries such as USA, Australia, Thailand, Singapore, South Africa, New Zealand, Vietnam, India, Bhutan, Germany, France, Sweden, Saudi Arabia, Dubai, China and Indonesia.

Dr. Sultan Ahmed
Director
Bangladesh Infrastructure Finance Fund Limited

Dr. Sultan Ahmed, Secretary, Power Division, Ministry of Power, Energy and Mineral Resources joined BIFFL as Director on February 27, 2020 at its 86th meeting of the Board of Directors. He is also a member of the Audit Committee of BIFFL.

Dr. Ahmed is a member of Bangladesh Civil Service of the 1986 batch. In his long service tenure, Dr. Ahmed served successfully in different ministries and public offices in various capacities such as Assistant Engineer, Assistant Secretary, Senior Assistant Commissioner and Magistrate, Senior Assistant Secretary, Deputy Secretary, Joint Secretary, Additional Secretary, Director General, Chairman etc. Prior to his current assignment as Secretary of Power Division, Dr. Ahmed served RAJUK as its Chairman.

Dr. Ahmed graduated in Civil Engineering from Bangladesh University of Engineering and Technology (BUET). He did master's in Water Resources Development Engineering at Indian Institute of Technology, Roorkee (IIT-Roorkee). He pursued Doctor of Philosophy in Water Resources Development at BUET. Dr. Ahmed also studied Engineering and Technology in Water Resources Development and Management at Asian Institute of Technology, Thailand; Lund University, Sweden and Tsukuba Science University, Japan.

In his long career, Dr. Ahmed received extensive training in systemic instruments on Administration, Law, Policy, Institution, Development and Management etc at home and abroad. He has been a policy and institution expert on Land, Water, Environment, and Climate change.

M. Tofazzel Hossain Miah
Director
Bangladesh Infrastructure Finance Fund Limited

Mr. M. Tofazzel Hossain Miah, Secretary, Prime Minister's Office joined BIFFL as Director on February 27, 2020 in its 86th meeting of the Board of Directors. He is also a member of the Audit Committee of BIFFL.

A man of noble bearing Mr. Tofazzel Hossain Miah started his career in Bangladesh Civil Service in Administration cadre in 1991. In his long career he served in various capacities of the government including Director General, Prime Minister's office; Director General, Private Export Processing Zones; Deputy Commissioner and District Magistrate in Dhaka, Cumilla and Panchagarh. Apart from that, he was Private Secretary to Principal Secretary, Director of Board of Investment, Additional Deputy Commissioner in Sylhet and Upazila Nirbahi Officer at Monohardi in Narshingdi. He also held key positions in Ministry of Public Administration, Local Government Division, Ministry of Primary and Mass Education and Power Division. He worked as Private Secretary to the Hon'ble Prime Minister for almost two years.

He obtained both his Honours & Master's degrees in English Literature from the University of Dhaka. Later, he obtained an M.Sc. degree in Early Childhood Development (ECD) from BRAC University.

Mr. Tofazzel has attended many trainings at home and abroad. He participated in special trainings on Project Management and Governance in UK, Vietnam and India. He represented Bangladesh in many countries including South Korea, Malaysia, Thailand, Germany, USA, UAE, Czech Republic, Switzerland, Portugal, Spain and China. In addition, he is a prolific speaker on Development and Governance.

Fatima Yasmin
Director
Bangladesh Infrastructure Finance Fund Limited

Ms. Fatima Yasmin, Secretary, Economic Relations Division, Ministry of Finance joined BIFFL as Director on June 4, 2020 in its 87th meeting of the Board of Directors. She is also a member of the Audit Committee of BIFFL.

Ms. Fatima joined the Bangladesh Civil Service Administrative Cadre in 1991. In her long career she worked at the Export Promotion Bureau as its Vice Chairman and served as the Director General of the Institute of Public Finance (IPF), Finance Division, Ministry of Finance. Prior to these she served in various capacities in the Ministry of Agriculture, Ministry of Women and Children Affairs and Ministry of Defense as well as Finance Division and Economic Relations Division of the Ministry of Finance. She also worked as Project Manager of the International Jute Organization. Ms. Fatima joined the Economic Relations Division (ERD), Ministry of Finance as the Secretary on February 23, 2020. She is the first female Secretary of ERD appointed by the Government.

Ms. Fatima has obtained Master's in Business Administration (MBA) from the Institute of Business Administration (IBA), University of Dhaka. She was also a Hubert H. Humphrey Public Policy Fellow of the US State Department at The Rutgers University, USA. She completed her Master's in Development Economics from Australian National University (ANU), Canberra in 1995.

In her long career, Ms. Fatima attended many professional training courses and visited different countries as part of official duty.

Md. Ekhlasur Rahman

Director

Bangladesh Infrastructure Finance Fund Limited

Mr. Md. Ekhlasur Rahman, Additional Secretary, Finance Division, Ministry of Finance joined BIFFL as Director on 6 February 2018 in its 60th meeting of the Board of Directors. As Director, Mr. Rahman attended 29 meetings of the Board till 8 September 2020. He is also a member of the Executive Committee of BIFFL.

Mr. Rahman joined in the Audit and Accounts Cadre in 1988 as part of the 1985 batch and served in different capacities. In 2006, he joined the Finance Division as Deputy Secretary, worked there as Joint Secretary and presently he is working as Additional Secretary.

Mr. Rahman obtained his Graduation and Post-graduation degrees from the Department of International Relations, University of Dhaka. He also obtained a Post Graduate Diploma in International Relation and Development from Institute of Social Studies (ISS), the Hague, Netherlands. Then in 2000-2001 he obtained an MBA degree from Maastricht School of Management (MSM), Maastricht the Netherlands.

Mr. Rahman attended many professional training courses specialized in Public Administration and Public Finance Management. He has travelled to many countries as part of official duties.

S. M. Anisuzzaman
Chief Executive Officer, BIFFL

Mr. S. M. Anisuzzaman, the Chief Executive Officer, joined BIFFL on May 4, 2020. Before joining BIFFL, Mr. Anisuzzaman worked in National Housing Finance and Investments Limited as the Deputy Managing Director.

A dynamic and versatile management executive, Mr. Anisuzzaman has more than 25 years of extensive experience in the financial sector of Bangladesh. During his long career, he held different senior positions in several Banks and NBFIs. As recognitions of his excellence in banking profession he received many accolades and achieved 'The Best Manager' award several times.

In the part of academic education, Mr. Anisuzzaman completed his B.Sc. in Civil Engineering from BUET and MBA in Strategic and International Management from the University of Dhaka. In addition, he obtained a good number of trainings from reputed national and international institutions. He has travelled to many different countries around the world.

CEO's Review

S. M. Anisuzzaman, Chief Executive Officer, BIFFL

Dear Stakeholders

Life as we knew it has changed and become regimented by force of the global pandemic. Digital literacy, telecommunication, health and safety measures will slowly become a part of life as the Covid-19 pandemic casts its shadow over our lives. Norms of the workplace are shifting. Overwhelming change and disruption- driven by a wide array of global health, geopolitical, economic and technological influences as well as social and demographic trends- is taking place.

Amidst these challenges, BIFFL presents its Annual Report for the year 2019. In its own right, 2019 was a challenging year that we completed with success.

BIFFL in 2019

Up until the end of 2019, BIFFL invested an aggregate amount of BDT3,567 crore. Out of that amount BDT3,029 crore was invested in infrastructure, BDT532 crore in sustainable finance and about BDT6 crore in Women Entrepreneurs Development Unit (WEDU) and Small and

Medium Enterprises (SME) projects. In spite of the global pandemic, the portfolio has grown further considering the progress in the year 2020.

As a consequence of initiatives taken in the previous year, we have been able to utilize a significant portion of funds under the Energy Efficiency and Conservation Promotion Financing Project (EECPFP) funded by JICA. BIFFL has also made headway in utilizing its Investment Promotion Financing Facility (IPFF) II Project funds sponsored by the World Bank. Involvement with this project has mitigated our inability to extend foreign currency loan to eligible projects. We are also collaborating with development partners from home and abroad in ensuring sustainable growth and infrastructure development. BIFFL is always looking to diversify its portfolio. To this end, it selects the most promising projects to enhance its contribution towards the national economy.

Intending to support women in accessing affordable financial services, BIFFL established WEDU and signed a participation agreement with Bangladesh Bank for refinancing support. Thus far, BIFFL has financed about 300 SMEs under the portfolio with reasonable success.

BIFFL, in 2019, received 1st prize from Institute of Chartered Accountants Bangladesh (ICAB) in its 19th ICAB National Award Ceremony for the 'Best Presented Annual Reports 2018' under Public Sector Category and 2nd Prize in the South Asian Federation of Accountants (SAFA) 'Best Presented Annual Reports 2018' award under the same category. BIFFL also obtained 4th largest Taxpayer Award in the Non-Bank Financial Institution (NBFI) Category.

Financial position

BIFFL's total assets increased by 14.64 percent to an amount of BDT3,455 crore in 2019 compared to BDT3,014 crore in 2018. In 2019, leases, loans and advances increased to BDT1,892 crore compared to BDT1,698 crore in the previous year reflecting year to year growth of 11.45 percent. In 2019, the profitability indicators showed a net profit after tax of BDT45 crore.

Contribution to National Exchequer and dividend to shareholders

BIFFL has been making consistent contribution to the National Exchequer. For 2019, it has contributed an amount of BDT76 crore as income tax and declared BDT18 crore cash dividend to its shareholders.

Infrastructure development and sustainability

To ensure a safe and liveable future for the next generation, sustainable growth is a must for Bangladesh. Infrastructure development is the key to spreading access to opportunities that the global village has to offer.

For us there is much room to grow in this sector, both in terms of physical and social infrastructure. In the Global Competitiveness Report 2019 by the World Economic Forum, Bangladesh ranked 101st among 137 countries considered, dropping 2 spots from 99th last year. This was partly due to its low score in terms of infrastructure. The country ranks 105th in the enabling environment component, putting it far behind other SAARC countries. The country must put strong efforts to develop its infrastructure if it is to become an influential economy at the regional and global stage.

With large-scale projects being developed all over the country like the Padma Bridge, Rooppur Nuclear Power Plant, Dhaka Metro Rail, Dhaka Elevated Expressway, Dhaka Bypass Expressway, Payra Deep Sea Port, Economics Zones, Dhaka-Chattogram Express Railway, RAD (Rampura -Amulia - Demra) Expressway, Expansion of Hazrat Shahjalal International Airport, Moheshkhali LNG Terminal etc., there is massive scope to work in the upcoming years in the infrastructure sector in Bangladesh. BIFFL hopes to partner in these and other large projects as per its mandate to build a developed Bangladesh.

Global economic outlook

2019 has been the slowest year for world economy since the decade-old global financial crisis.

The world economy seems to have fallen into a constant tug of war among different large economies, thus helping smaller economies to find markets in the large economies.

The economic downturn has been exacerbated by country-specific vulnerabilities in large emerging market economies. Worsening macroeconomic stress related to tighter financial conditions, geopolitical tensions, and social unrest rounded out the difficult picture.

The uncertainty of the economic environment has led to a slowdown in capital machinery investment, while household demand for long-lasting goods has also decreased. This was particularly evident with automobiles, where regulatory changes, new emission standards, and possibly the shift to ride-shares weighed in on sales in several countries.

All through the year, several Central Banks reduced interest rates, and some also restarted asset purchases. This strong reaction helped mitigate the effects of the economic slowdown.

In fact, lower interest rates and reassuring financial conditions strengthened the purchases of nondurable goods and services, thereby facilitating the creation of new jobs.

Beyond 2019, the Covid-19 pandemic has wreaked havoc on the global economy leading to a projection of 5.2 percent shrinkage overall. However, emerging economies, led by Southeast Asia, seem to be absorbing the shock well and are beginning to recover through prompt adaptive measures to respond to the inherent challenges.

Bangladesh economic review

2019 was a record year for Bangladesh in terms of GDP growth. It achieved a remarkable GDP growth of 8.15 percent in FY2018-19, the highest ever in the history of the country's economy. The economy has an impressive track record of achieving steady growth of 6.76 percent on average for the last decade. This is corroborated by an increase in the rate of public investment at 8.03 percent during 2018-19 compared to 7.97 percent during the previous fiscal. Because of massive public borrowing from banks and liquidity crisis due to huge volume of non-performing loans (NPLs), private sector investment, has increased only by 0.28 percent, from 23.26 percent in 2017-18 to 23.54 percent during 2018-19. The private sector credit growth has also followed the trend reaching 11.3 percent in 2018-19 compared to 16.9 percent in 2017-18. Bangladesh's Gross National Income (GNI) per capita now stands at US$1,909 in FY 2018-19 from US$1,751 in the FY2017-18, well above the pre-requisite for becoming a lower-middle income country from a least developed one.

For the FY2019-20, the budget document has provided a revised GDP growth rate of 5.2 percent, a downward shift from the original estimate of 8.2 percent. However, it projected 8.2 percent growth rate for the next FY2020-21.

As such, the outlook for the economy at the moment is cautiously optimistic given the prevailing situation. It can be said that economy is beginning to recover from the initial shock of the pandemic and will recover with the adoption of effective mitigating measures.

Caring for society and the environment

BIFFL, as a responsible organisation, cares for the society and environment. It has taken necessary steps to go further with the sustainable development. Our safeguard policy is maintained and implemented through a panel of local and international experts with significant experience in their field.

We help our clients to comply with the national and global safeguard standards by advising them in various capacities through our Environmental and Social Cell. We have updated our environmental and social commitment recently to achieve long-term sustainability. We are strongly committed to comply with environmental and social best practices.

Financing the future

The new normal has changed the way we conduct our business and the matters we consider planning ahead. BIFFL has proactively braced for the impact of the global pandemic and as a result, so far, COVID-19 has had a very little impact on our business. Our operation is continuing in full swing following all the health guidelines and safety measures stipulated by WHO and the Government of Bangladesh.

In this situation, avenues have opened in healthcare, medical equipment, logistics, IT, fintech and so on. BIFFL is keenly observing the changes in the business landscape in order to identify new prospects. Meanwhile, we are diligently reviewing our project pipeline considering the new risks that have risen out of the current state of affairs while following up on the position of our current portfolio.

In the meantime, our mandate for the development of infrastructure in Bangladesh remains steadfast. Considering the huge amount of work to be done, we are looking to leverage funds from the market as well as from our development partners, courtesy of reputation and goodwill. Our aim is not only to provide financing for the projects involved, but also to provide services as a complete financial solution package for the projects. All through our actions, we are committed to maintain utmost effort in risk management and compliance. We assign due emphasis on accounts integrity, transparency and anti-money laundering safeguards, information security and resource development.

To ensure a sustainable future and attaining the SDGs, we are expanding and diversifying our portfolio in infrastructure, including energy efficiency, renewable energy, connectivity, hi-tech parks, economic zones, social development initiatives (e.g. social safeguards, gender equality, environmental considerations, CSR etc.) and so forth. We will continue to do so as one of the forces financing the future.

Note of thanks

With due honour, I express my heartfelt gratitude to the Hon'ble Prime Minister, Hon'ble Finance Minister, the Ministry of Finance, the PPP Authority, Bangladesh Bank, Bangladesh Securities and Exchange Commission and other regulators for their immense support and guidance.

I am thankful to the valued development partners- JICA, The World Bank, ADB, KfW, AFD among others, and above all, the Government of Bangladesh for their continuous cooperation and support. I also wish to convey my thanks to all of our shareholders, partners and clients who form an extensive network of business resources. I appreciate the honourable directors, who are all top executives of important Ministries, with diverse skills and experiences. Under the dynamic leadership of the Hon'ble Chairman, the Board has continuously provided astute guidance to the organization. Finally, I acknowledge the efforts and dedication of fellow colleagues for the greater good of the organization.

S. M. Anisuzzaman
Chief Executive Officer

Technaf Solartech

The 20MW Technaf Solartech solar power plant is located at Alikhali, South Nhila, Teknaf, Cox’s Bazar beside Arakan Road, around 0.5 km from the bank of Naf River.

Integrated Report

02

Navigating through this Report

This report is designed to give an overview of BIFFL's organizational strategy based on its vision, mission and present situation based on the resources at its disposal. The contents of this report are meant to answer some key questions that demonstrate the company's state of affairs, as follows:

Core topic	Where to look	What is to be found
Identity	Corporate Milestones Our Philosophies Code of Conduct Core Values Corporate Information Advisory Board Board of Directors Our Products and Services Corporate Social Responsibilities	BIFFL is the largest NBFI in the country in terms of capital base and is mandated to support sustainable infrastructure development.
Standing in the industry and means of value creation	Value Addition Business Model Awards and Recognition Corporate Governance and Compliance Statement on Contribution to Government Exchequer Report on Green Banking	Position in the bigger picture. Means of conducting business. Organizational hierarchy for business model and performance optimization. Contribution to national economy.
Reflections and deliberations of the leadership	Message from the Chairman of the Advisory Board Message form the Chairman of the Board of Directors CEO's Review Statement on Corporate Governance	Broad overview of current standing and future trajectory. The key drivers of success and incisive analysis of business verticals. In-depth review of governance and control framework.

Core topic	Where to look	What is to be found
Current market condition and competitive landscape	Operating Environment and Stakeholder Analysis	Macroeconomic aspects that shape the industry. Market forces and the competitive landscape that shape BIFFL's business. Key competencies and scope of improvement.
Risks and mitigation	Statement on Risk Management Statement on Non-Performinjg Loan (NPL) Management Disclosure on Capital Adequacy and Market Discipline	Risk identification and quantification. A look at risk distribution through heat maps. Risk mitigating tools and techniques. Stress testing.
Review of financial performance	Management Discussion and Performance Analysis Notice, Reports & Financial Statements	Review of financial performance. Independent Auditor's Report to the Shareholders. Balance Sheet. Profit and Loss Account. Statement of Cash Flows. Statement of Changes in Equity. Liquidity Statement. Notes to the Financial Statements.

About Integrated Reporting

BIFFL's Annual Report 2019 has been presented as an 'Integrated Report' with the goal of elucidating how BIFFL has effectively managed operational activities in consistence with its policies to add value for shareholders and customers. It covers the activities that BIFFL has embarked on to boost infrastructure development, economic growth, inclusive prosperity as well as sustainability.

Content Overview

General Information		Market Positioning & Strategy			Compliance
Company Philosophy	Corporate Information	Operating Environment & Stakeholders	Management Discussion	Strategic Plan	Reporting & Disclosures

Scope of the Report

In presenting the Integrated Report, we have referred to the guidelines issued by the Institute of Chartered Accountants of Bangladesh (ICAB) in the form of 'Integrated Reporting Checklist', which is consistent with the integrated reporting framework issued by the International Integrated Reporting Council (IIRC). In communicating the company's operations and financial performance, financial information has been extracted from the Audited Financial Statements for the FY2019 with relative comparative information. The financial statements consistently comply with the requirements of:

- International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs);
- The Companies Act, 1994;
- The Financial Institutions Act, 1993;
- The Securities and Exchange Act, 1993;
- Relevant rules and regulations of Bangladesh Bank and other regulators;
- Requirements of Development Partners; and
- Other applicable laws and regulations of the land. The disclosure of non-financial information has been extracted from internally-maintained records.

Our corporate governance practice has been disclosed in line with guidelines of the Corporate Governance Code (CGC) issued by BSEC in 2018. Moreover, there have not been any significant changes to the scope, boundary and reporting basis since the last reporting date as of 31 December 2019.

External Assurances

The company has obtained external assurance on the following reports in the reporting period under consideration:

Audit Report on Financial Statements	UHY Syful Shamsul Alam & Co, Chartered Accountants
Entity Credit Rating	Credit Rating Information and Services Limited (CRISL) Credit Rating Agency of Bangladesh (CRAB)
Comprehensive Inspection Report	Bangladesh Bank

Comparability & Materiality

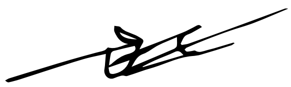
The information disclosed in this report is on similar basis as in the 2018 report in terms of the entities covered and measurement procedures used. Ratios used are comparable across the industry. It entails all material topics relating to business strategy, risk and areas of critical importance to our stakeholders and is arranged in a coherent manner in order to express the company's agenda with clarity.

Availability of the Annual Report

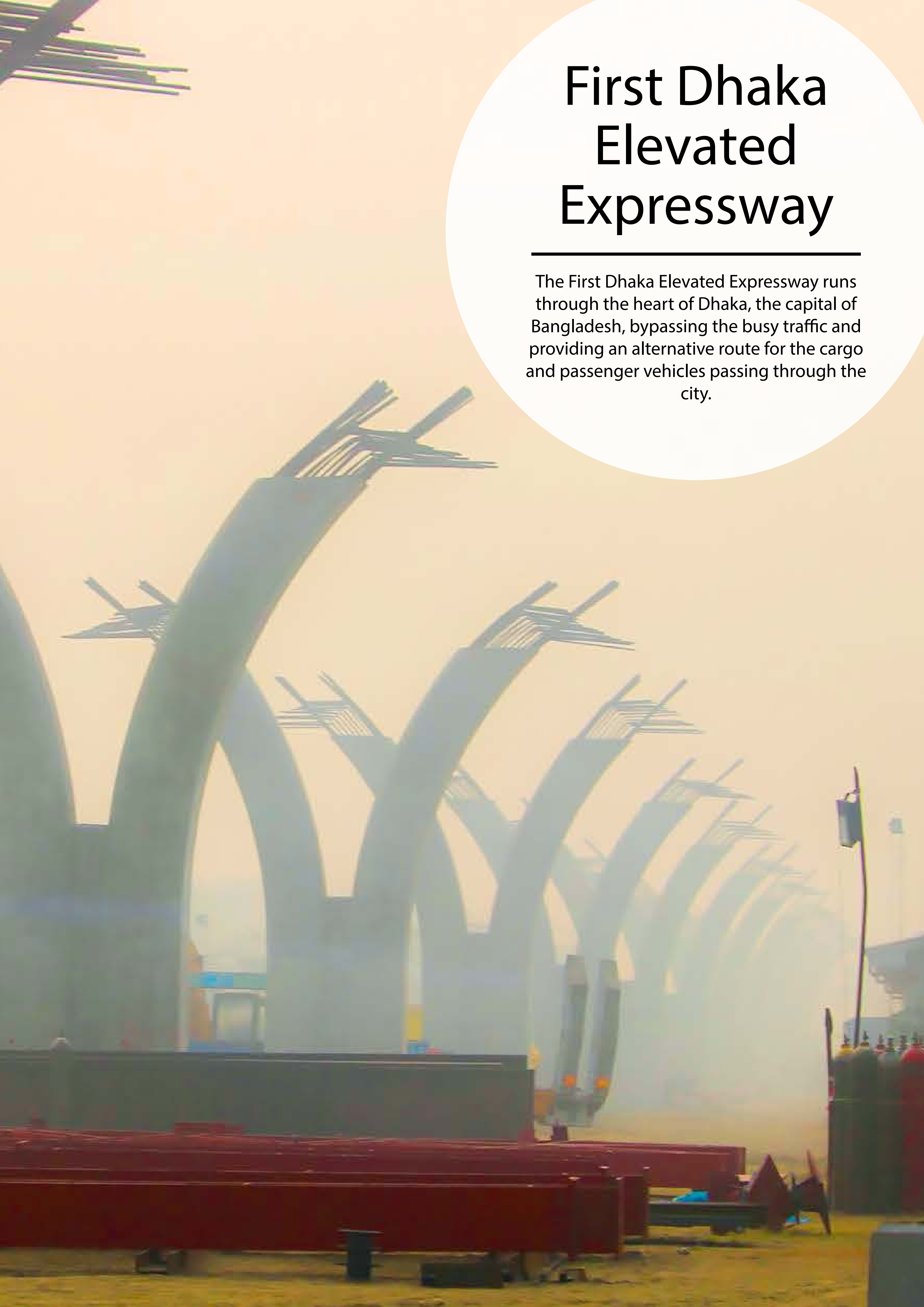
The hard copy of the annual report is sent to all the shareholders, prior to holding the Annual General Meeting, giving due notice. Besides, for the benefit of all stakeholders, our report has been uploaded on the website biffl.org.bd

Statement on Integrity of the Integrated Report

I acknowledge the responsibility to ensure the integrity of the disclosure contained in this Integrated Report, which comprises the discussion, analysis and disclosures pertaining to stewardship of the company, which should be read in conjunction with the audited financial statements. The annual report has been prepared in accordance with the IIRC's international reporting framework and addresses the material matters pertaining to the long-term sustainability of the company and presents, to the best of my knowledge, the integrated performance of BIFFL and the impacts thereof.



S. M. Anisuzzaman
Chief Executive Officer



First Dhaka Elevated Expressway

The First Dhaka Elevated Expressway runs through the heart of Dhaka, the capital of Bangladesh, bypassing the busy traffic and providing an alternative route for the cargo and passenger vehicles passing through the city.

About BIFFL

03

Corporate Milestones

Year 2010

29 July 2010: Cabinet meeting approved the formation of BIFFL, its Memorandum of Association and Articles of Association

Year 2011

11 March 2011: Incorporation of the company with highest paid-up capital in the business history of the country (BDT16.0 billion/US$200 million)

12 April 2011: Ministry of Finance approved the formation of the 7-member Board of Directors

20 April 2011: The first meeting of the Board of Director held at the Finance Division, Ministry of Finance

16 October 2011: Obtained license from Bangladesh Bank

Year 2012

01 February 2012: Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL

Year 2013

10 October 2013: Signed participation agreement with Bangladesh Bank to participate in the ''Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector"

Year 2014

03 June 2014: Signed participation agreement with Bangladesh Bank to participate in the ''Financing Brick Kiln Efficiency Improvement Project"

Year 2015

19 October 2015: First disbursement of Sreehatta EZ, under BEZA

Year 2016

21 March 2016: Established Women Entrepreneur Development Unit (WEDU)

18 October 2016: Achieving milestone of disbursement of BDT10 billion

11 December 2016: Arranged Green Brick Convention 2016

Year 2017

14 January 2017: Approved BIFFL's First 5-Year Strategic Investment Plan (2017-2021)

25 November 2017: Organized BIFFL Green Convention & Expo 2017

Year 2018

3 June 2018: Moved into new Corporate Office at Eskaton, Dhaka

10 July 2018: Reached disbursement milestone of BDT20 billion

9 August 2018: Signed Master Facility Agreement with Bangladesh Bank under IPFF II

4 October 2018: Successfully organized Green & PPP Convention and Expo 2018 in Dhaka and Chattogram

19 November 2018: Signed MoU with BlueMount Capital to collaborate on raising global fund for BIFFL

Jan-Nov 2018: Approved SME, ICT, HR, Equity, Accounts, Treasury and ESMF Policies

December 2018: Signed participation agreement with BB under "Refinance Scheme for Green Products/ Initiatives"

December 2018: Obtained USGBC LEED Platinum Certification for Corporate Office

December 2018: Achieved paid-up capital of BDT2,108 crore

Year 2019

November 2019: Awarded as the 4th Highest Taxpayer Recognition Award for the assessment year 2018-19 under NBFI Category by NBR

November 2019: Awarded 1st prize in the 19th ICAB National Award for Best Presented Annual Reports, 2018 under Public Sector Entities

November 2019: Became 2nd runner-up in the South Asian Federation of Accountants (SAFA) Best Presented Annual Reports Awards and SAARC Anniversary Awards for Corporate Governance Disclosures 2018 under Public Sector Entities

Awards and Recognition

19th ICAB National Award for Best Presented Annual Reports 2018 under Public Sector Entities (1st Prize).

South Asian Federation of Accountants (SAFA) Best Presented Annual Reports Awards and SAARC Anniversary Awards for Corporate Governance Disclosures 2018 under Public Sector Entities (2nd Runner-Up).

18th ICAB National Award for Best Presented Annual Reports 2017 under Public Sector Entities (2nd Prize).

4th Highest Taxpayer Recognition Award for the assessment year 2018-19 under NBFI Category by NBR.

3rd Highest Taxpayer Recognition Award for the assessment year 2017-18 under NBFI Category by NBR.

USGBC LEED Platinum Certification for Corporate Office

Our Philosophies

Vision

Leading the process of national development by leveraging relative strengths of public and private sectors through financing infrastructure (including PPP) as well as sustainable development projects.

Mission

- To perform as a highly skilled financial institution by adopting the best international practices and maintaining highest standard of integrity and ethics in financing infrastructure as well as sustainable development projects;
- To encourage inclusive growth and protect the environment for sustainable development;
- To act as a catalyst in developing physical and social infrastructure where private sector participants can contribute alongside the public sector;
- To provide for a vehicle for capital market development by exploring and utilizing different instruments to capture domestic and foreign investments in infrastructure sectors; and
- To support national initiative for achieving Vision 2021 and SDG 2030.

Goals

- To supplement achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects;
- To ensure adequate infrastructure development of the country through promotion of PPP;
- To cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and
- To bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

Objectives

- Launching innovative financial products;
- Introducing infrastructure bonds as a long-term source of financing;
- Developing a vibrant infrastructure market from the perspective of both the investors and financiers;
- Achieving development goals while conserving nature; and
- Attracting private investment in long-term infrastructure projects by addressing the asset liability mismatch of existing sources of finance.

Code of Conduct

The Code of Conduct sets forth the rules and principles for the stakeholders i.e. Board of Directors, Board Committees, employees at all levels, business partners, service providers and customers of BIFFL to uphold and promote the interests of the company.

BIFFL adopted the Code of Conduct as circulated by the Bangladesh Bank through DFIM circular no. 04 dated 12 December 2017.

BIFFL employees should strictly adhere to the following:

- Display the highest standard of professionalism and commitment to ethics and integrity in their conducts;
- Behave in such a manner that will enrich the image, dignity and reputation of the company;
- Discharge duties efficiently and faithfully towards protecting the best interests of the company and its stakeholders;
- Refrain from disclosing confidential and sensitive information of the company to unauthorized persons; and
- Ensure compliance in every action.

Core Values

Core values of BIFFL include the following:

- Ensure excellent working environment where the employees can perform to the best of their abilities;
- Maintain zero tolerance on corruption and sexual harassment in the office;
- Ensure no discrimination against gender, race, religion, color and nationalities;
- Provide equal opportunities for the employees;
- Maintain non-smoking environment in the office;
- Act as a tax-abiding entity by contributing to the Government exchequer;
- Act as a social entity by participating in CSR activities;
- Nurture a culture of accountability and transparency in its business operations;
- Conserve energy using best possible technologies and diligent management; and
- Prioritize social and environmental safeguards compliance.

Corporate Information

BOARD OF DIRECTORS

Chairman

Mr. Abdur Rouf Talukder
Senior Secretary, Finance Division
Ministry of Finance

Directors

Mr. Md. Anisur Rahman
Senior Secretary, Energy and Mineral Resources Division
Ministry of Power, Energy and Mineral Resources

Mr. Md. Nazrul Islam
Secretary, Road Transport and Highways Division
Ministry of Road Transport and Bridges

Mr. Mohammed Belayet Hossain
Secretary, Bridges Division
Ministry of Road Transport and Bridges

Dr. Sultan Ahmed
Secretary, Power Division
Ministry of Power, Energy and Mineral Resources

Mr. M. Tofazzel Hossain Miah
Secretary, Prime Minister's Office

Ms. Fatima Yasmin
Secretary, Economic Relations Division
Ministry of Finance

Mr. Md. Ekhlasur Rahman
Additional Secretary, Finance Division
Ministry of Finance

Mr. S. M. Anisuzzaman
Chief Executive Officer and
Ex-officio Member of the Board, BIFFL

EXECUTIVE COMMITTEE

Chairman

Mr. Md. Anisur Rahman

Members

Mr. Mohammed Belayet Hossain
Mr. Md. Ekhlasur Rahman
Mr. S. M. Anisuzzaman

AUDIT COMMITTEE

Chairman

Mr. Md. Nazrul Islam

Members

Dr. Sultan Ahmed
Mr. M. Tofazzel Hossain Miah
Ms. Fatima Yasmin

CHIEF EXECUTIVE OFFICER

Mr. S. M. Anisuzzaman

COMPANY SECRETARY

Mr. Mohammad Monirul Islam Khan FCS

INCORPORATION

Company Registration No-C91370/11
March 21, 2011

LICENSED BY BANGLADESH BANK

DFIM (L)-32
October 16, 2011

SHARE CAPITAL

Authorized Capital:
BDT10,000 crore

Paid-up Capital:
BDT2,108 crore (as on 31-12-2019)
BDT2,308 crore (as on 30-09-2020)

Face Value Per Share:
BDT100 Each

Ownership:
Government of Bangladesh

Represented By:
Finance Division, Ministry of Finance

AUDITORS

UHY Syful Shamsul Alam & Co.
Paramount Height (6th Floor)
65/2/1, Box Culvert Road
Purana Paltan, Dhaka-1000

REGISTERED OFFICE

Unique Heights (Level-3)
117 Kazi Nazrul Islam Avenue,
Eskaton Garden, Dhaka- 1217, Bangladesh
IP Phone: +8809638124335

E-MAIL

info@biffl.org.bd

WEBSITE

biffl.org.bd

Products and Services

Sectors for Investment

A. Infrastructure

- Power & Energy
- Transportation & Connectivity
- Port, Container Depot & Terminal
- Economic Zone & Industrial Park
- IT & Telecom
- Tourism & Hospitality
- Healthcare & Education

B. Sustainable Finance

- Utility-scale Solar Power
- Green Building
- Energy Efficient Technologies
- Waste Treatment & Recycling
- Waste Recycling
- Other Innovative Green Projects

Products and Services

1. Advisory Services

- Reviewing preliminary business plan/ concept note prepared by project sponsors
- Conducting market research for the project
- Drawing full-fledged, sound business plan
- Devising an optimal financial structure/ package
- Liaising and advising for necessary authority permissions

2. Financing Services

Considering the varying needs of the projects, BIFFL extends finances through 14 loan and equity products.

A. Debt Financing

- Term Loan
- Working Capital Loan
- Bridge Financing
- Factoring
- Revolving Credit
- Work Order Financing
- Short-Term Loan
- Lease Financing
- Bond Financing
- Commercial Papers/ Instruments

B. Equity Investment

- Ordinary Share
- Preference Share
- Mezzanine Financing
- Convertible Debt

Value Addition

Value Creation for Stakeholders

1. Shareholders

At present, the Government of Bangladesh (GoB) holds 100 percent ownership of BIFFL. It is giving the highest importance to manage its assets and maximize profits by adopting sound governance practices as well as effective risk management structure.

2. Customers

BIFFL ensures quality investment by conducting thorough due diligence on every project and promotes innovative financing to support our clients in meeting their financing needs.

3. Fund Providers

GoB, Bangladesh Bank, Development Partners, Banks, and Financial Institutions are our main fund providers. BIFFL ensures that the fund is used in the most efficient and productive ways for its stated purpose.

4. Regulators

Our regulators include Registrar of Joint Stock Companies and Firms (RJSC), Bangladesh Bank, Bangladesh Securities and Exchange Commission (BSEC), etc. BIFFL ensures compliance with all regulatory guidelines and directives through adopting best processes, practices, and controls to ensure compliance with all applicable rules and regulations.

5. Employees

BIFFL is continuously developing its corporate culture in such a way that employees are trained, developed, and empowered to work and achieve their business objectives. BIFFL is not only committed to providing leadership and expertise which promotes excellence in work, built on competence, integrity, respect, and professionalism, but also plays critical roles in achieving the business objectives through its focus on quality human resources. It values diversity and promotes equal treatment and opportunities in recruiting, remuneration, personnel development, and advancement regardless of race, religion, political views, gender, age, nationality, language, marital status, disability, etc.

6. Communities

BIFFL commits to promoting inclusive growth of the society through sustainable infrastructure development as well as eco-friendly investment.

7. Environmentally Interested Groups/Non-Government Organizations

While considering a project, we attach high importance on its social and environmental impact to make the project sustainable in the long term. Green economy and eco-friendly measures are our foremost priority while considering any investment deal. BIFFL ensures that the provisions of its Environmental and Social Monitoring Framework (ESMF) and guidelines of Development Partners are complied alongwith the national guidelines provided by the Department of Environment. BIFFL's Corporate Head Office is Platinum certified under the LEED 2009 Commercial Interiors rating system of U.S. Green Building Council.

Business Model

KEY PARTNERS

- Fund Providers
- Government
- Central Bank
- Development Partners
- Investors
- Banks & FIs
- Other Stakeholders
- Shareholders
- Employees
- Customers
- Regulators
- Society
- Environmental Groups
- Media

KEY RESOURCES

- Human Capital
- Financial Capital
- Intellectual Capital
- IT Resources
- Social Resources
- Corporate Brand

CUSTOMER RELATIONS

- Long-Term, throughout the Project Life
- Site Visits
- Personal Assistance
- Guide towards Proper Services
- Awards and Recognition
- Awareness and Training

KEY ACTIVITIES

- Long-Term Project Financing
- Financing Energy Efficiency and Conservation
- Financing Prioritized National Development Projects
- Market Research and Development
- Ensuring Financial Inclusion for Development
- Advisory and Consultancy Services
- Awareness Building and Policy Advocacy

CUSTOMER SEGMENTS

- Public Sector Entities
- Private Companies
- PPP Projects
- Small & Medium Enterprises
- Women Entrepreneurs Scheme

DEBT FINANCING

- Term Loan
- WC Financing
- Bridge Financing
- Factoring
- Revolving Credit
- Work Order Financing
- Short-Term Loan
- Lease Financing
- Bond Financing
- Commercial Paper

EQUITY PRODUCTS

- Ordinary Share
- Preference Share
- Mezzanine Financing
- Convertible Debt

COST STRUCTURE

- Interest Expense
- Cost of Loan Losses
- Operating Expenses
- CSR

REVENUE STRUCTURE

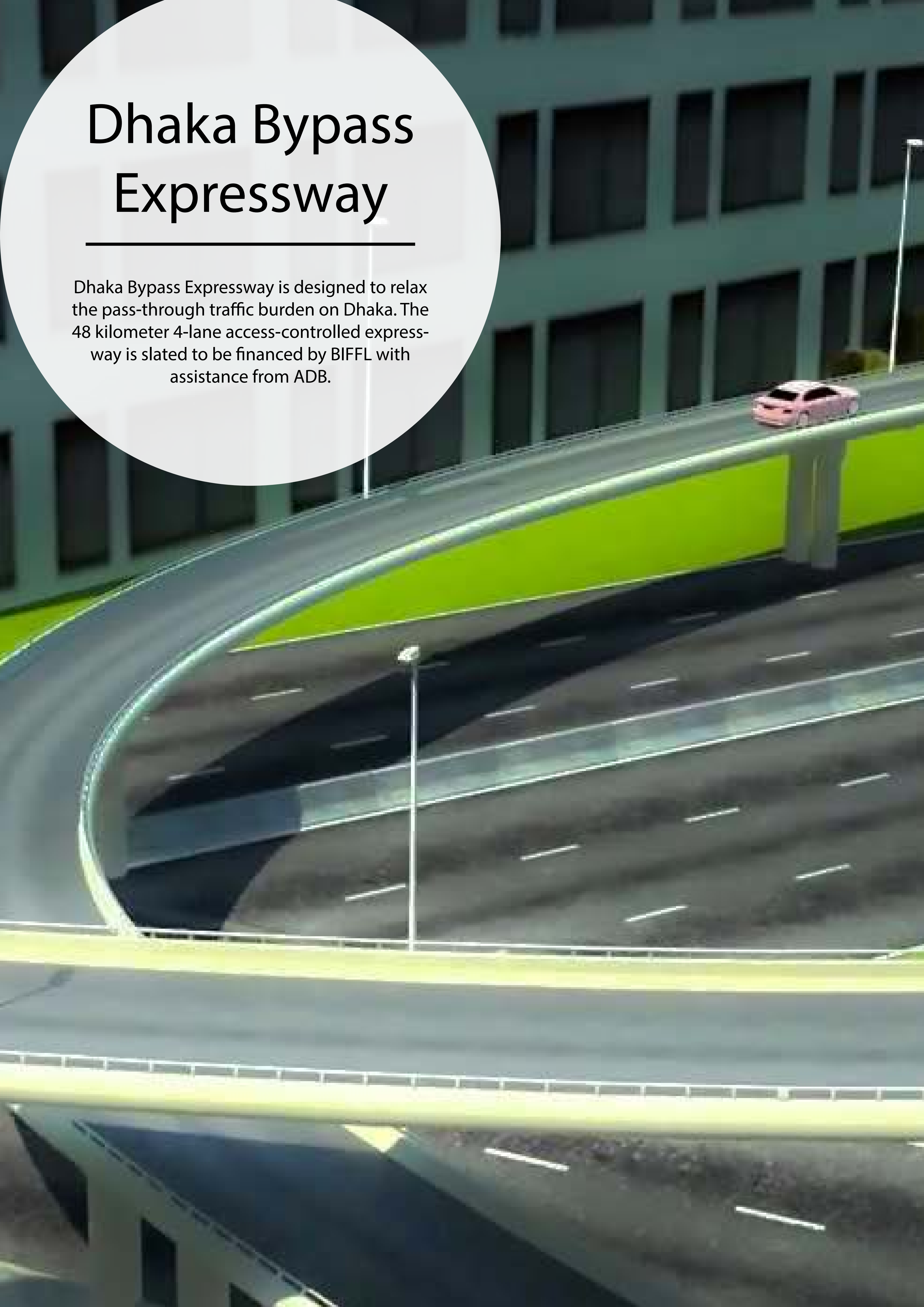
- Interest Income
- Advisory Services
- Fees and Commission

FINANCING MECHANISM

In the course of financing infrastructure projects, BIFFL emphasizes on Government's priority sectors and projects which are more closely related to national development. It assists the project proponents during implementation phases and even after project implementation; if needed. This unique nature of BIFFL has made many projects viable in the past.

Dhaka Bypass Expressway

Dhaka Bypass Expressway is designed to relax the pass-through traffic burden on Dhaka. The 48 kilometer 4-lane access-controlled expressway is slated to be financed by BIFFL with assistance from ADB.



Jamdani Palli

Salma Akter, Kohinoor Begum and Naznin Akter are self-made entrepreneurs from Jamdani Palli, Narayanganj. Their fine Jamdani fabric carries the legacy of the lost Muslin of Bengal. BIFFL is proud to support the Jamdani Palli through its Women Entrepreneurship Development Unit.

Chakaria-Cox's Bazar Railway

The much-awaited 120-kilometer Chakaria to Cox's Bazar railway will connect the southern tourism city of Cox's Bazar with Chittagong, the largest port city in Bangladesh. The planned railway terminal in Cox's Bazar is pictured.

Operating Environment and Stakeholder Analysis

04

Macroeconomic Aspects in Play

Outcome	BIFFL's Approach
COVID 19	
• Impacts of the outbreak of the novel coronavirus may raise risks in terms of continuation of BIFFL's operation, liquidity crisis, asset quality, restructuring of loan, composition of loan book, growth of loan portfolio and others.	• COVID-19 has had little impact on BIFFL's business. Its operation resumed after a two-month 'general holiday' period from March-May 2020 following all the health guidelines and safety measures stipulated by WHO and the Government of Bangladesh. • COVID-19 has naturally affected business and industries for a short span of time during the general holidays declared by the Government of Bangladesh. However, in recent days business activity has resumed and most of its clients have continued servicing their debt despite the choice given by the Central Bank to defer instalments during this period. BIFFL is closely monitoring its clients. • BIFFL may have to restructure a few loan accounts in the near future, but only in cases where project work has been delayed due to the pandemic. Besides, BIFFL will also follow relevant regulatory guidelines for rescheduling or restructuring. • Approval of new loan facilities is also continuing, though at a slow pace. Hence, steady growth loan portfolio is expected at the year end. • At this moment, BIFFL is in a strong liquidity position. Besides the Government, BIFFL is availing funds from Multilateral Development Agencies. Recently we have availed multiple facilities from JICA worth JPY20,300 million and another facility from ADB worth US$50 million. We are also availing funds under the World Bank funded IPFF II project through the Central Bank of Bangladesh. With increase in the number of projects and programs, BIFFL's scope of funding is widening with time.

Outcome	BIFFL's Approach
Economic Aspects	
• Investment-GDP ratio increased to 31.57% in FY2018-19, from 30.23% in previous fiscal year. The Consumer Price Index (CPI) inflation rate in FY2018-19 was 5.48%, which was 5.78% in FY2017-18. Satisfactory domestic production, favourable domestic environment, low budget deficit and prudent monetary policy coupled with low fuel and commodity prices in the international markets contributed to subdue inflation level. • The government expenditure as percentage of GDP has been increased gradually. Government expenditure increased to 14.45% in FY2018-19 from 14.3% in FY2017-18. Currently, the larger portion of ADP is financed from domestic sources. • Fiscal policy by government includes changes in different components of yearly budget like tax rates, interest waivers, refinancing facilities which affect the overall economic activities of the country as well as the performance of BIFFL. • The Government is taking initiatives to implement mega infrastructure projects on a priority basis to achieve the Vision 2021 and SDG goal 2030. • Fixation of interest rate for lending at 9%, increased competition in the financial sector, liquidity crisis etc. can negatively affect the performance of BIFFL.	• BIFFL takes timely strategic action on interest rates, business volume, strategic shift on business focus etc. to adjust with the changing economic condition. • BIFFL pursues its core business growth in infrastructure and energy efficient industries. This enables BIFFL to be the support of the Government's Vision 2021 and SDG 2030. • As a highly customer responsive organization, BIFFL continued to identify ways of expanding its product offerings and services to cater to wider customer needs. • BIFFL's strong and intelligent workforce monitors the infrastructure development trend on a regular basis to gather and disseminate economic and business information. This enables BIFFL to respond to the market trend in a prompt manner.
Political Aspects	
• Stable political environment has a positive impact on financial as well as economic development of a country.	• BIFFL adjusts its internal guidelines and projections as per the directives provided by Bangladesh Bank. • BIFFL also prioritizes sectors that the Government attached priority for economic development of the country.

Outcome	BIFFL's Approach
Social Aspects	
• Growing GDP and per capita income driven by economic progress have paved the way for better social conditions and quality of life for society. However, Bangladesh may experience lower economic growth in coming days due to COVID-19 like other countries.	• Numerous CSR initiatives were initiated for the betterment of society beyond commercial boundaries. Internally, BIFFL continued to adopt sound human resource practices to nurture our valued staff. • Being a people-oriented company, BIFFL remained receptive to people's needs as a socially responsible corporate and a caring employer. • BIFFL emphasized on the importance of creating customer awareness and building customer relationships. So, BIFFL always looking to invest in areas with high potential but lower access to financial services. • Considering the shrinking economic growth due to COVID-19, BIFFL will pursue CSR initiatives more actively along with various stimulus economic incentive-based packages of Bangladesh Government.
Technological Aspects	
• The role that ICT plays in creating operational efficiency and generating Management Information Systems (MIS) for effective decision making has become vital for BIFFL.	• Required updates were made to the core ICT system to make it more effective and meet user requirements and also to accommodate rapidly changing demands of the industry. • MIS reports are developed on a periodic basis to cater to information needs of key divisions, for decision-making. • BIFFL is at the final stage of installing Core Financial Solutions (CFS) using customized software to keep up with the market.

Outcome	BIFFL's Approach
Environmental Aspects	
• The green initiative in project financing has a long-term effect on both environment and economy of the country and helps in cost reduction as well. • A World Bank report says, the brick kiln sector consumes 3.5 million tonnes of coal and 1.9 million tonnes of firewood, emitting 9.8 million tonnes of greenhouse gas annually. During the dry season, 58% of the total air pollution in Dhaka city is caused by the brickfields. • As per the seventh five-year plan, the government is to stop the use of topsoil in brickfields by 2020.	• BIFFL has a dedicated team working towards negating the impact of the highly polluting traditional brick industry in line with its green motto. • BIFFL has a full-fledged Environmental & Social Unit overseeing environmental footprint of its projects to make sure sustainable economic growth of Bangladesh. • BIFFL is actively seeking projects related to renewable energy, waste recycling and other environment friendly projects. For instance, BIFFL has already invested in a project which is using waste PET bottles as raw material and producing Polyester Staple Fibre (PSF) to be used in Apparel Industries.
Legal Aspects	
• BIFFL is regulated by the FI act 1994 and other periodic guidelines provided by Bangladesh Bank from time to time.	• Apart from FI Act 1994 and other prescribed guidelines, BIFFL also follows the instructions regarding bank rates, repo & reverse repo and statutory reserve requirements mentioned in monetary policy statements published semi-annually by Bangladesh Bank. Further, BIFFL complies with the applicable regulations of RJSC, BSEC and other regulatory bodies.

Market Forces and Competitive Landscape

Analysis of the various market forces provides a starting point for formulating strategy and understanding the competitive landscape in which a company operates. For the benefit of our stakeholders, the existing market forces are broken down to show their impact on BIFFL and our strategic actions in the near future as well as in the long run.

Industry Forces Analysis

Competitive rivalry: Moderate

Influencing Factors	BIFFL's Strategic Approach
Number of competitors: The Bangladesh financial services industry is marked by high level of competition with 60 scheduled banks and 34 NBFIs operating in the country. However, most of these FIs are not direct competitors of BIFFL as most of them do not finance infrastructure projects. BIFFL also plays a significant role in financing sustainable and energy efficient projects. Switching cost: As there are many local and foreign service providers, the switching cost is low. In most cases, infrastructure financing involves larger amount of loan for a longer tenor. If a customer opts to switch in the middle of a long-term commitment, switching cost is significant as most Banks and FIs will demand compensation in the form of Early Settlement Fees. However, switching cost is low for short term loans. Quality of Products and Services: Even though BIFFL provides specialized financial products and services, there are few local as well as foreign organizations comparable in terms of service quality.	• Focus on relationship building among existing client base and channel resources towards finding new opportunities. • Develop and use innovative financing instruments that cater to the varying needs of infrastructure sector. • Explore different avenues to capture domestic and foreign investment. • Give emphasis on innovative value creation ideas to outplay the competitors. • Build capacity through training, exposure and adopting best market practices.

Supplier power: Moderate

Influencing Factors	BIFFL's Strategic Approach
BIFFL is an NBFI and our major supplier comprises the Government, different multi-lateral financial institutions, institutional investors in bond etc. A key factor in the determination of bargaining power is the control over interest rates and our cost of funds. The Central Bank as well as the Government and Development Partners have significant control over the rates at which we can source our funds or invest. Various other organizations operate as our vendors for several miscellaneous activities, such as arranging events, advertising and marketing. However, they are responsible only for a small part of our total cost structure.	• Focus on a diversified pool of funds from local as well as foreign institutions. • Develop sustainable relationship with bilateral and multilateral agencies. • Offer competitive interest on bond and good relationship with investors for better negotiations of borrowing rates. • Proper selection of vendors to ensure smooth supply of materials.

Buyer power: Moderate

Influencing Factors	BIFFL's Strategic Approach
Giving larger loan is becoming difficult due to liquidity crisis, longer tenor, higher risks etc. Consequently, buyer power is comparatively low for infrastructure financing. However, for borrower with smaller funding needs, buyer power is increasing as the number of banks and FIs are increasing with different types of deposits and investment opportunities. Increased competition has forced many organizations to adopt aggressive growth strategies for their loan portfolio and subsequently started a price war by reducing margin which increased borrower power.	• BIFFL will be able to increase lending rates on the existing loan in case of a likely increase in interest rates portfolio as the majority of the portfolio is of a floating nature. • Arrange sustainable and diversified sources of funds for future loan growth. • Strategic emphasis on diversifying the existing portfolio. • Deliver uncompromising services to retain customers and maintain sustainable relationship with borrowers and investment partners.

Threat of substitute products: Low

Influencing Factors	BIFFL's Strategic Approach
Infrastructure financing has very few alternatives due to larger fund commitment for longer tenor. For larger loan, BIFFL has little threat of substitute offerings from the competitors. However, many borrowers are now considering financing from foreign sources. BIFFL is playing a leading role in sustainable and energy efficient project financing. For small and SME products there exists a high threat of substitute products. As, BIFFL has very little exposure in SME financing, this sector is not a threat for us.	• Continue to update the technological platform, embrace breakthrough technology and process upgrades to stay ahead of competition and be the first to address new opportunities offered through technology and policy incentives. • Analyse macro-economic environment to understand the financing requirements, price structure, product features, and performance of different sectors. • Ensure maximum satisfaction to retain the company's trusted customers.

Threat of new entrants: Low

Influencing Factors	BIFFL's Strategic Approach
Even though the financial sector is crowded, there still is possibility of a few more contenders joining in the near future. However, the new local competitors' chances of entering the infrastructure financing sector is low. Involvement of different foreign financing agencies is also increasing day by day. Threat of new entrants largely depends on decisions made by the Government, be it in terms of granting new licenses or varying the scope of services provided and/or operating procedures of financial and non-financial institutions. In the long run however, the industry is assumed to see consolidation in the face of exceeding an optimum number of institutions.	• Maintain strategic relationship with policy implementing agencies, other Government organizations, and multilateral development banks. • Continue efforts in the process of improvement to ensure long-term competitiveness and sustainability.

Entity Analysis

Key Competencies	Reinforcing our Enterprise Further
The BIFFL Brand	
Eight years of impeccable track record as a diligent, proactive and customer centric financial service provider	Investment in fostering Brand Value of BIFFL is to continue.
High prominence among local brands	Continue to sustain our image in the community by continuing as a caring, responsible, transparent and trust-worthy operator while supplementing the image through engaging in community services through our volunteer based community service platform "Manush Manusher Jonno" and other social welfare initiatives.
Customer Centricity	
Customers' need or aspiration-based products and quality service standards	Cornerstone will be on sustained revolution in products and services designed to cater to the latent needs and aspirations of the new niches developed through market study, customer survey and observing the trend.
Swift decision-making (lowest loan TAT in the industry)	Retaining the upscale office management software and MIS to launch a centralized operations system; focus will be to automate all manual processes to increase mobility of relationship managers through offering app-based platform to manage and document customer interactions.
Transparent and ethical	Continue to maintain ZERO Tolerance for any unethical behaviour (Sexual Harassment and Corruption). Relentlessly providing training programs for new recruits on our code of ethics and values.
Training, counselling and business facilitation services	Launch new non-financial services and expand the horizon for existing business facilitation services.
Infrastructure	
World-class core office management software	Committed to have secured and efficient software to deliver effective customer services.
USGBC Leed Platinum Certificate	BIFFL office space has been certified PLATINUM under the LEED 2009 Commercial Interiors rating system with a total of 90 points. Continue to have environment friendly green infrastructure facilities.
Corporate Governance and Compliance	
Stringent regulatory obedience	BIFFL will abide by the law of the land in both letter and spirit

Participative and dynamic manner towards regulatory and industry reform initiatives	BIFFL will continue to collaborate with regulators, peers and other industry participants and adopt best practices.
Respectable, experienced and professional Board of Directors	
Quality Human Resources	
Dedicated, competent and empowered human resources	Continue investing in people as they are the principal driving force of the company.
Focused on continuous training and development	Continue need-based training programs and promote leadership from within.
Highest levels of integrity	Educate new employees on BIFFL's moral codes, values and ethics.
A winning culture fostered through years of embracing best-in-class practices	Continue to innovate and improve; continue to uphold the culture of trying new things without the fear of failure.
Strong Financial Footing	
Solid capital base	Foster to utilize capital in an organized manner to provide maximum shareholder return as well as assuring sustainability of the profit.
Professional & proper fund management	Commitment to follow proper fund management practices, utilize bonding to minimize risk factors.
Sound and steady ROA and ROE	Focusing on superior financial results and maintaining shareholder returns.
Scope for improvement	Addressing our weaknesses
Dependence on own capital; No private sector equity or debt (fully owned by Ministry of Finance, Government of Bangladesh)	Continue to issue bond to attract private sector funding and blend foreign and private sector fund to finance several development projects of the country to foster long term economic growth. Focus on Public Private Partnership (PPP) to collaborate with Government as well as private sector to become a major development partner of the country
Portfolio concentration in infrastructure development	BIFFL continues to bring innovation in the product suite and carefully find new niche markets to enter into. To address country and customer needs properly, BIFFL has invested in diverse sectors including Power and Energy, Connectivity and Economic Zone, Green and Renewable Energy, Tourism, Social Infrastructure, Small & Medium Enterprise (SME), Women Entrepreneur Development and other sectors of utmost importance for the sustainable development of Bangladesh. BIFFL participated in various environment friendly projects including green bricks, waste recycling to foster environment friendly infrastructure development. Through SME and Women Entrepreneur Development program, BIFFL is ensuring access to finance to marginal borrower and women entrepreneur, which in turn creating jobs for unskilled and semi-skilled worker
Portfolio concentration in Dhaka (Limitation of having no branch outside Dhaka)	Conscious, strategic effort is in place to expand the geographic coverage and reduce portfolio concentration in Dhaka. A liaison office is being considered to be established in Chittagong.

Stakeholder Engagement

Stakeholder Engagement

Stakeholders are people/communities who may - directly or indirectly, positively or negatively - affect or be affected by the outcomes of BIFFL's initiatives and the decisions. Multi-stakeholder consultation in policy and strategy development and review is vital to ensure that policies reflect international best practices and incorporate the opinions and needs of those they intend to support. The participation process builds understanding and ownership of the policies and eases implementation.

At BIFFL, we work in the belief that stakeholder relationships are critical to play a positive role in the society. Engagement with our stakeholders enables us to gain insight, to sharpen our decision-making process and improve our capacity to generate shared values. Identification of stakeholders is the key to understand their expectations out of the company and, as such, helps pave the way towards fulfilling those expectations and delivering consistent values. The stakeholder ecosystem of BIFFL can be broadly divided into two categories: the core stakeholder group comprising shareholders, borrowers, suppliers and employees and other stakeholders including regulators, the local community, environmental groups and the media.

Stakeholder Engagement Mechanism

Shareholders

Management Philosophy: Ensuring long-term shareholder values, upholding the rights of the shareholders and supporting a broader shareholder constituency to ensure their wealth maximization.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Shareholder relations forums	P	• Shareholder satisfaction regarding BIFFL's financial position • Shareholder views on key governance and policy matters • Return on equity • Strategy and continuity • Financial performance	• Maintaining a consistent bottom line • Ensuring sustainable return on investment • Engaging in greater transparency and responsible stewardship • Maintaining BIFFL's reputation and credibility • Safeguarding asset quality
General meetings	A/P		
Annual report	A		
Interim financial statements	Q		
Disclosures and announcements	P		
Corporate website	24/7		
EC meeting, AC meeting and Board meeting	P		
Meetings and consultations	P		
CSR activities	R		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time

Development Financial Institutions (Investors)

Management Philosophy: Engaging Development Financial Institutions (Investors) as partners of BIFFL rather than a mere creditor

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
General meetings	P	• Transparency • Building a responsible culture • Sustainable business performance and growth • Responsible lending and investment • Financial inclusion and access to products and services	• Green loan initiative launched to incentivize energy efficient property projects. • Engaging in greater transparency and responsible stewardship. • Sharing project pipeline and loan status.
Annual report	A		
Interim financial statements	P		
Investor presentation	P		
Meetings and consultations	P		
One-to-one discussions	P		
General correspondence	P		
Technical Assistant (TA)	P		
Corporate website	24/7		
Review mission	P		
Exchange & exposure	P		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time

This Stakeholder Engagement Assessment Matrix gives a brief overview of how BIFFL identifies and manages its stakeholders considering the impact of BIFFL on stakeholders and the impact of each stakeholders on its activities.

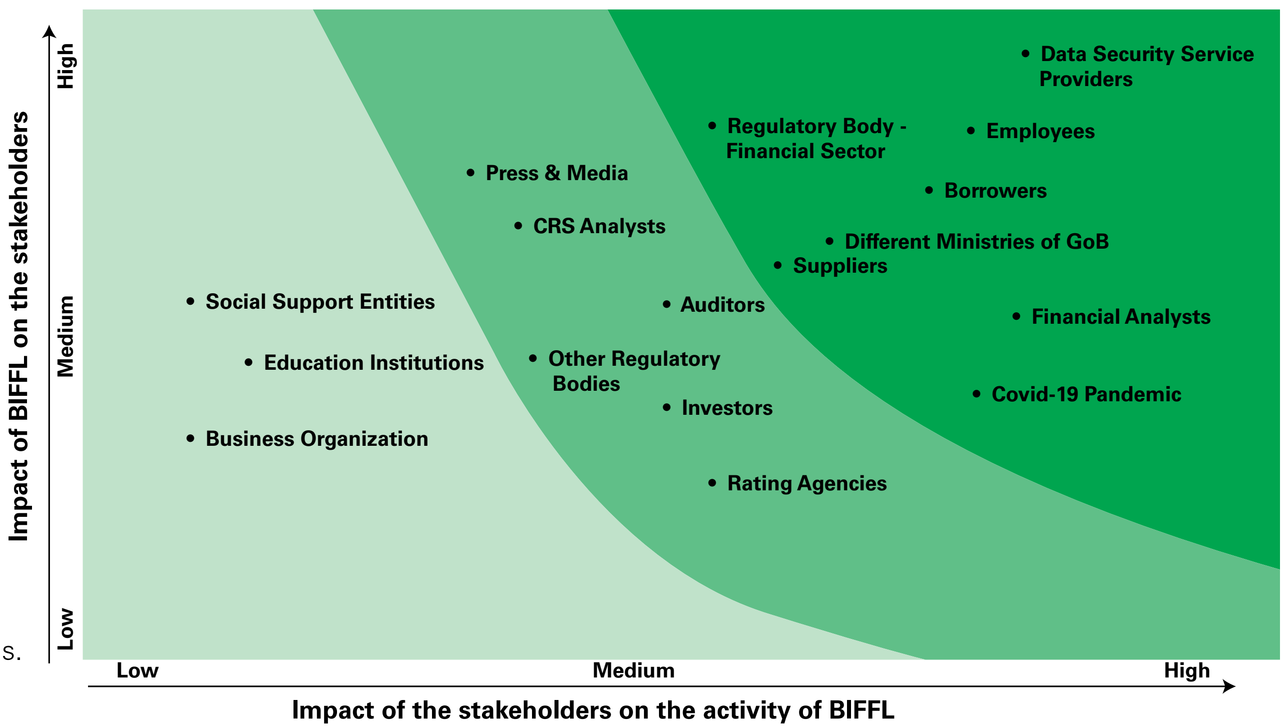


Figure: Stakeholder Engagement Assessment Matrix

Employees

Management Philosophy: Commitment to create a conducive environment for the employees to develop and reach their potential, both professionally and personally.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy Grievance-handling procedure Business unit level meetings Corporate website Intranet Memorandums / Directives Training Internal circulars Get-togethers / Events CSR activities Online groups Retreat Newsletters Huddle Meetings	R R R 24/7 R P P R P P 24/7 A A R	• Ethical employment practices • Career development opportunities • Employee communications & feedback • Rewards / recognition • Employee welfare • Work-life balance • Gender equality • Non-discriminatory work place • Non-smoking environment • Child-care • Prayer hall • Gym • Subsidized lunch • Health insurance • Transportation facilities • Socialization	• Competitive rewards and benefits to attract best talent in the market • Promote greater diversity and inclusion • Develop from within through training and development • Encourage greater engagement • Performance-based incentives • Effective handling of grievance • Maintain high standards of occupational health and safety • Ensure employees' welfare • Foster a sense of belonging

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time

Borrowers

Management Philosophy: Uphold the borrowers' right to demand a stable and progressive borrowing environment which provides a superior service platform and promotes their choice / convenience.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	• Customer service	• Maintain service excellence
One-on-one feedback from customers who visit BIFFL	R	• Satisfaction on existing products	• Effective complaint resolution
Customer surveys conducted via traditional or non-traditional research techniques	P	• Need for innovations and customized solutions	• Continuous introduction of innovative products which promote greater customer convenience
Social media interactions	24/7	• Communication methods	• Effective marketing and communication
Customer complaint handling mechanism	R	• Awareness promotions	• Better market share
Corporate website	24/7	• Timely and relevant information on products and services	• Regularly arrange conventions, expos, meetings, seminars etc. to engage stakeholders
Correspondence	R	• Customer benefits and rewards	
		• Loyalty recognition	

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time

Suppliers and Service Providers

Management Philosophy: Striking the right balance between cost and quality and promoting ethical and transparent sourcing practices.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Interactions through the purchasing policy	R	• Developing strategic partnerships	• Engaging in fair and equitable procurement
Feedback evaluations	P	• Promoting transparent and ethically responsible business practices	• Supplier risk assessment mechanism
Meetings	P	• Continuous communication with suppliers & service providers	• Contractual agreements to promote sustainable procurement
Visits to supplier workshops / offices	R	• Regular reviews on quality of goods and services	• Local sourcing, maintenance of suppliers & service provider register
Written communications (letters & e-mails)	R		
Reviews & assessments	24/7		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time

Government Institutions

Management Philosophy: Ensure compliance with all legal and regulatory requirements.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Policy directives / circulars, guidelines and operating instructions Meetings and forums Press releases Periodic and one-off returns On-site and off-site supervision Memorandums / Directives Training	R P R P R/AW R R	• Policy decisions affecting the financial sector • Submission of returns • Taxes paid to the Government	• Compliance with regulations • Rectification actions on supervisory concerns • On-time submission of statutory returns and statutory payments • Response and contribution at meetings / forums and to instructions of the regulators • Micro, Small & Medium • Entrepreneurs lending and Women Entrepreneurship Development • Supporting Energy Efficiency and Renewable Energy (RE) sectors • Help investors to make better investment decisions

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time | AW – As & When Required

Community

Management Philosophy: Working with global and local mandates which safeguard the environment and promote community empowerment.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Feedback forms / environment grievance handling mechanism Discussions with local government representatives Discussion with other organizations, community and opinion leaders on community development efforts Media-based forums CSR activities	P P P R 24/7	• Community capacity building • Community empowerment • Social welfare • Environmental protection • Preservation of local culture	• Socially-responsive transformative CSR model • Community engagement • Employee volunteerism • Become an agent for change

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – All the time

Material Aspects for Stakeholders

According to the Global Reporting Initiative (GRI) Standards, the materiality for reporting is identified by the engagement of the stakeholders throughout the countrywide economic and financial sphere. By using the GRI guidelines, reporting organizations disclose their most critical impacts - be they positive or negative - on the environment, society and the economy. They can generate reliable, relevant and standardized information with which to assess opportunities and risks, and enable more informed decision-making - both within the business and among its stakeholders. As the guideline goes, the 'Materiality' recognizes the reportable subjects and the subjects itself that are identified is considered as the 'Aspects'. At BIFFL, the culture is to value the issues raised by stakeholders during the engagement process. Through the process a number of material aspects were found which are detailed as follows:

Economy	Environment	Social
• Economic perfomance	• Materials	• Equal rights
• System efficiency	• Energy	• Labour
	• Biodiversity	• Treatment
	• Emission	• Child labour
	• Waste	• Personal development
	• Compliance	• Grievance mechanism
		• Encouragement

Checklist Delineating the Sphere of the Material Aspects

The following checklist will detail out how BIFFL considers the material aspects and their influence on the performance of BIFFL from both the inner and outer spheres:

Identified Material Aspect	Why is this material?	Inside the Organization	Outside the Organization
Economy			
Economic performance	Competitiveness, better customer relationship and well inspection of projects enable long-term profitable growth. A financially strong company can shoulder responsibility for the environment, take care of its employees, monitor its funds, meet customer expectations, and produce excellent value to its shareholders.	Yes	Yes

Identified Material Aspect	Why is this material?	Inside the Organization	Outside the Organization
Economy			
System efficiency	Better energy efficiency reduces the use of primary energy and the environmental impacts of energy production and use. We encourage energy-efficient projects while evaluating projects.	Yes	Yes
Environment			
Materials	Many of our large infrastructure projects use large volumes of fuels in electricity and heat production and LP Gas processing.	Yes	Yes
Energy	Many of our large infrastructure projects use large volumes of fuel and other energy sources, like hydropower, in electricity and heat production.	Yes	Yes
Biodiversity	Hydropower production, electricity distribution and fuel procurement can have an impact on local biodiversity. Also fossil fuel-based energy production may weaken local biodiversity particularly in residential areas in Bangladesh.	Yes	Yes
Emission	Fuel combustion in electricity and heat production generates emissions into the air. Statutory limitations target emissions in Bangladesh.	Yes	Yes
Waste	Projects we deal with are often of such nature that they create a huge amount of waste. This can pose a threat to our country.	Yes	Yes
Compliance	Compliance with legislation in Bangladesh forms the foundation of our social operating license. Compliance of funding sources like, BB, JICA, WB, ADB etc. is also required.	Yes	Yes
Social			
Equal rights	We value diversity and we promote equal treatment and opportunities in recruiting, remuneration, personnel development and advancement, regardless of race, religion, political views, gender, age, nationality, language, sexual orientation, marital status, or disability. We happily and confidently declare **"One Team, Big Dream; Be the Best!"**	Yes	Yes

Identified Material Aspect	Why is this material?	Inside the Organization	Outside the Organization
Labour	Collaboration between the employees and the employer is based on local legislation, agreements and BIFFL's Code of Conduct.	Yes	Yes
Child labour	BIFFL has a higher level of vigilance on this issue ratified by the International Labour Organisation (ILO)'s Convention on the Minimum Age and the Worst Forms of Child Labour.	Yes	Yes
Personal development	We are one of the most lucrative employers in Bangladesh. We aspire to be a desired employer that attracts and engages the best employees at all levels. That requires us to responsibly take care of our workforce to develop their personal skills.	Yes	N/A
Grievance mechanism	Our operations are guided by BIFFL's values, the Code of Conduct and the Operations Policy. A grievance mechanism offers stakeholders a channel for reporting possible misconduct and get redressed.	Yes	N/A
Encouragement / Training	We aim to create interesting career and development opportunities to continuously advance personal professional skills and know-how. It is important to us to secure the expertise required to implement the company's strategy.	Yes	N/A

Strategy and Resource Allocation

SWOT Analysis

Internal Factors	
Strengths	**Weaknesses**
• Government ownership • Strong Board of Directors • Prudent management • Target oriented employees • Large capital base • Matching sources of fund • Cost leader in the market • Close relations with Government bodies and development partners • Niche market intervention	• Lowly leveraged • Limited treasury functions • Low geographical coverage • Less familiar brand among the potential stakeholders

External Factors	
Opportunities	**Threats**
• Economy's growth potential • Industry sector is experiencing double-digit growth • Infrastructure financing deficit of US$10 bn per year • Government vision to achieve middle income country status • Government plan to implement PPP Projects throughout the country • Available funds from development agencies for sustainable projects • Prospect in capital market through • Investment prospect in healthcare and technology • Technical and financial support of the Development Partners • Innovation of new instruments and expansion of new technology	• Slow awarding and implementation of PPP projects • Limitation of conventional lenders in financing infrastructure projects, to complement BIFFL's endeavour • Contagion effect of national or international financial crisis • Global economic crisis due to COVID-19. The World Bank GDP projection for 2020 predicts a fall by 2.5 percent for developing countries and 5.2 percent contraction in global GDP • Volatility of capital market

Strategic Response to Potential Threats

Based on the potential threats that have been indicated above, BIFFL has the following strategic responses against each threat:

- BIFFL has a strong equity capital base and is not listed in the stock exchange; hence it will be less exposed to volatility in capital market. BIFFL is rather focusing on securing foreign funds from international development agencies.
- The company is committed to work with PPPA to address issues related to delayed implementation of PPP projects. BIFFL is actively engaged in providing innovative financial solutions for complex and lengthy projects.
- In the presence of higher market interest rates, BIFFL can switch its focus towards high-risk with high-return projects since it has such a high risk-appetite which few banks or financial institutions have at the moment.
- From time to time, BIFFL will arrange to bring together policymakers, project sponsors, suppliers, financiers, and other stakeholders, so that they can have open platforms to raise and address issues related to implementation of projects.
- COVID-19 has of course affected BIFFL's customers' business for a short span of time from end of March to May 2020 during the general holidays declared by the Government of Bangladesh due to the Covid-19 pandemic. However, in recent days business activity has resumed and most of its clients have continued servicing their debt despite the choice given by the Central Bank to defer instalments during this period.
- Global economic crisis begot stress to financial institution in its own end and client's end. However, BIFFL, in fact has liquidity surplus at this current situation. The Government of Bangladesh is currently the major source of funds for BIFFL. Besides, to tackle the possible impacts, BIFFL is availing funds from various Multilateral Development Agencies.

Short-term objectives

- Establish BIFFL as a full-fledged financial institution;
- Establish brand image and nurture a good corporate culture;
- Build trust among different stakeholders of the financial market;
- Simplify operational procedures and strengthen corporate governance;
- Engage experienced professionals and development partners.

Implementation of short-term objectives

- Arrange necessary supports from Government and multilateral agencies to establish BIFFL as a full-fledged financial institute;
- Ensure quality investment by conducting thorough due diligence on every project and promote innovative financing to support our clients in meeting their financing needs;
- Implement CFS to conduct real time transactions. Commit to have secured and efficient software to deliver effective customer services;
- Arrange necessary legislative supports for completing the process of IPO (Initial Public Offering);
- Put the highest importance on managing its assets and maximize profits by adopting sound governance practices as well as effective risk management structure;
- Ensure compliance with all regulatory guidelines and directives through adopting best processes, practices and controls;

- Continued participating in CSR activities like blood donation program, blanket distribution, donation to a prime minister's relief fund, distribution of relief to flood victims etc; and
- Provide advisory services to its clients to make the projects viable and ultimately successful.

Mid-term objectives

- Increase institutional capacity;
- Support adequate infrastructure development to meet up the growing demand of the economy;
- Ensure long-term financing sources from capital market within the next 5 years;
- Become a regional financial power;
- Enhance exposure in the financial market by financing diverse sectors and become the leader in infrastructure financing by 2021; and
- Develop a vibrant infrastructure market from the perspective of both the investors and financiers.

Implementation of mid-term objectives

- Raise funds of BDT1,500 crore issuance of infrastructure bonds, debentures and shares etc. and help build a dynamic capital market;
- Recruit the best talents of the country by ensuring competitive recruitment process and providing them adequate training facilities and a conducive workplace;
- Disburse more than BDT1,100 crore in green & renewable energy sector by 2021 supporting environment friendly and innovative projects like ETP, polyester staple fibre projects, green building & Construction and food processing projects etc.;
- Particular emphasis to PPP projects and collaborate with Government as well as private sectors to become a major development partner of the country; and
- Build a loan portfolio of BDT9,000 crore by 2021 prioritizing the sectors that expedite the growth of the economy like power & energy, transportation & communication, economic zone and green & renewable energy etc.

Long-term objectives

- Become a brand in infrastructure financing;
- Help in achieving SDG (Sustainable Development Goals) while conserving nature;
- Help build a sound financial market to foster long-term stability of the economy;
- Become a partner of choice, an employer of choice and a centre of excellence;
- Integrate with global financial market and become a global financial power;
- Ensure implementation and operations of PPP projects;
- Attract private investments in long-term infrastructure projects by addressing the asset liability mismatch of existing bank finance; and
- Maintain a healthy relationship among existing client base and channel resources towards finding new opportunities.

Implementation

- Prioritize the sectors that trigger the growth of the economy and contribute to poverty alleviation;
- Build up institutional capacity, ensure professional excellence, adopt most advanced technology and global best practices;
- Penetrate in the global market by issuing bonds and shares in the international market;
- Increase geographical coverage to serve maximum population of the country;
- Focus on arranging long-term and sustainable funding sources by collaborating with local and foreign development partners;

- Develop and use innovative financing instruments and explore different avenues of money market and capital market to ensure proper mobilization and utilization;
- Put emphasis on developing the industrial sectors and help attract domestic and foreign investment;
- Attach high importance on its social and environmental impact to make the project sustainable in the long-run. Green economy and eco-friendly measures are our foremost priority while considering any investment deal; and
- Arrange seminars, conventions & expos to exhibit the prospects and necessity of environment friendly construction and engage development partners for long-term funding sources.

Management Discussion and Performance Analysis

05

Review of Financial Performance

Being a specialized financial institution in terms of its vision, area of operations and funding mix, BIFFL continued to perform in a positive trend during 2019, supported by increasing disbursement of long-term loans. In achieving such loan disbursement growth, we prioritize financing long-term infrastructural projects which are sustainable, energy-efficient and overall environment friendly. Besides, being directly involved with the implementation of PPP projects of our country, we also promote sustainable private sector initiatives in collaboration with different development partners. Our long-term nature of funding sources has put us in an advantageous position to finance such long-term projects.

Notably, while explaining our key performance indicators and comparing those with industry benchmarks, we have considered our long-term nature of investments and sources of funding.

BIFFLS's strong performance in 2019 is evident by growth in loan disbursement, Net Interest Income (NII) and gross revenue. It disbursed BDT848 crore in 2019 and Return on Equity (ROE) was 1.3%.

We continued to create value to our shareholders by way of:

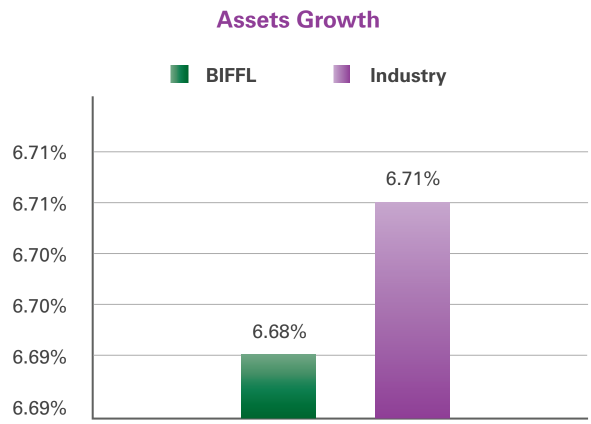
8.13% Growth of revenue	**20.58%** Net profit margin	**11.45%** Growth of loans & advances
1.3% ROA	**102%** CAR	**BDT9.52** NOCFPS
BDT2.15 EPS	**BDT112.79** NAV	**3.95%** Market share interms of Total Assets

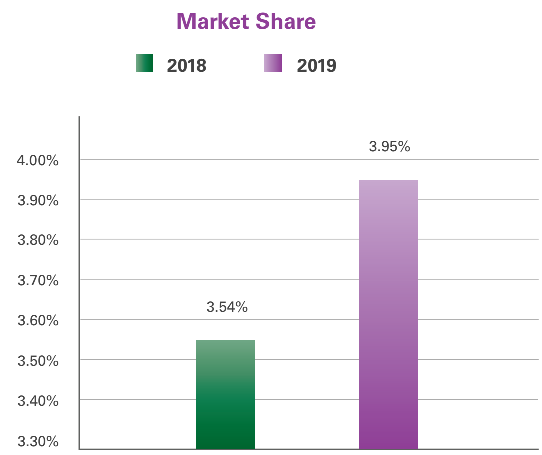
BIFFL's Performance in the Industry

BIFFL continued keeping pace outperforming the industry in 2019 in terms of growth of different performance and financial position measures.

Total Assets

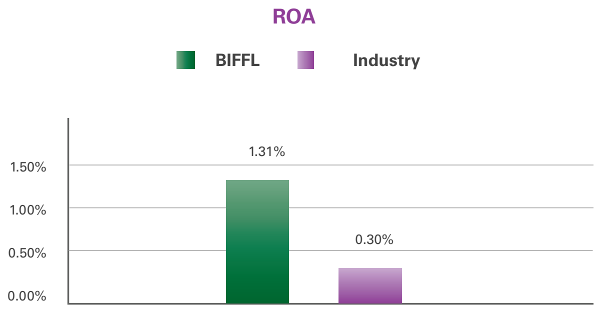
From the year 2015 to 2019, the assets base of the NBFI industry grew at a Compound Average Growth Rate (CAGR) of 6.71%. At the same time, BIFFL's assets base grew at a CAGR of 6.68%. At the end of 2019,





BIFFL's total assets is BDT3,455.84 crore. BIFFL is sustainably maintaining its assets growth. Market share in terms of total assets is also growing. At the end of 2019, the company holds 3.95% (Bangladesh Bank Annual Report 2018-19) of the total assets of the NBFI Industry which was 3.54% on 31 December 2018.

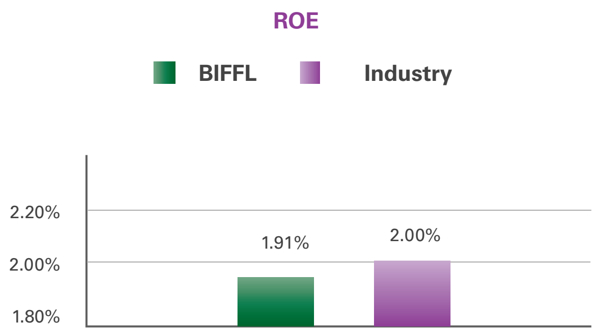
Return on Assets (ROA)



BIFFL's ROA at the end of 2019 was 1.31% compared to 0.30% of industry ROA. It outperformed the industry in terms of ROA. BIFFL maintained an average ROA above the industry for the last five years.

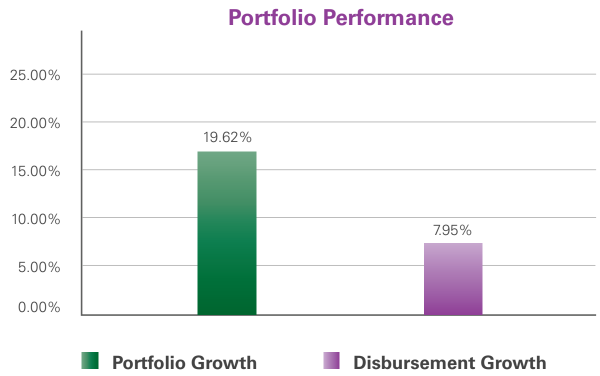
Return on Equity (ROE)

BIFFL's ROE for 2019 was 1.91% against the industry ROE of 2%. This relatively low ROE is mainly due to low value of BIFFL's equity multiplier resulted from unique sources of funding compared



to other entities operating in the industry. BIFFL's capital structure is heavily dominated by equity capital.

Key Developments in 2019



Financial results of 2019 reflect both the benefits of strategic actions taken over the past few years and the impact of strategic actions and restructuring which were continued in the reporting year.

Corporate loans and advances were our strength for several years. Considering current business trends, risks, and profitability, we tend to focus more on long-term loans & investments in different sectors. Like 2018, we continued to reap the benefits of our strategic tilt as disbursement of long-term loans and investments grew by 7.95% and respective portfolio by 19.62%.

We focused meticulously on human resources as one of our major strategies. The recruitment of quality resources continued in 2019. We invested a lot to improve the quality of the existing employees in the form of both local and foreign trainings and exposures. Employee motivation is visible in BIFFL because of competitive compensation package, increment and performance bonuses, family gatherings, annual retreats, social events, and so on. A well-defined succession plan has been introduced in BIFFL. A three-four level backup and career path have been introduced. BIFFL encourages leadership and provides ample opportunities for its employees to march forward.

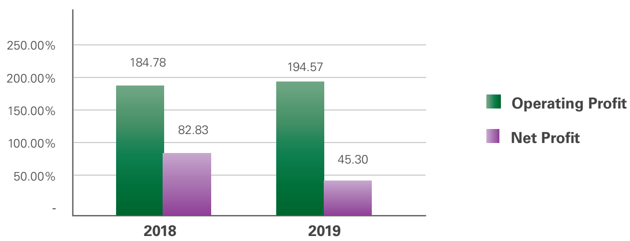
Analysis of our Financial and Operational Performance

Profitability Position

In 2019, the profitability indicators showed improvements in posting net profit after tax of BDT45.30 crore compared to BDT82.83 crore in 2018 reflecting a year-to-year negative growth of 45.31%. That negative growth is mainly due to a higher amount of provision kept in 2019 compared to the previous year. We were focusing more on our primary line of business and 2019's financials show the following results.

Particulars	In BDT Crore		Y-Y Growth	
	2018	2019	Amount	%
Operating profit	184.78	194.57	9.80	5.30%
Net profit	82.83	45.30	(37.53)	-45.31%

Operating Profit and Net Profit



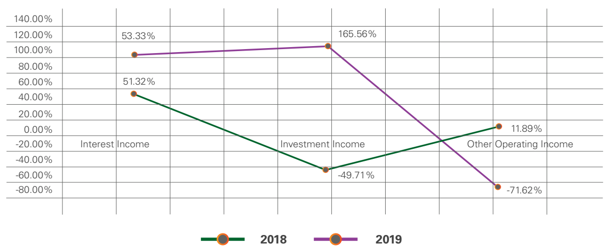
Revenue Position

Where the industry is facing numerous challenges in growing up revenue lines, BIFFL has succeeded in reaching BDT220.14 crore revenue with 8.13% growth over the last year's BDT203.59 crore. BIFFL is expecting continued growth in revenue and profit in the coming years with new PPP and energy efficient private projects financing.

In boosting our revenue, the core contributor was the interest revenue. In 2019, interest revenue contributed 78.86%, investment income 10.62%, and other income 10.51%, in total revenue.

Particulars	Percentage (%)	
	2018	2019
Interest income	55.61%	78.86%
Investment income	4.32%	10.62%
Other operating income	40.06%	10.51%
Total	**100.00%**	**100.00%**

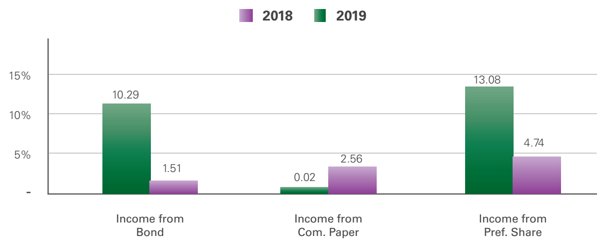
Total Revenue Growth



In 2019, BIFFL's income from bonds and preference shares increased by 583.69% and 176.02% respectively whereas, it experienced 99.22% negative growth in investment income from commercial papers. Overall, income from investment increased by 165.56% in this year.

Income from Investment	In BDT Crore		Y-Y Growth	
	2018	2019	Amount	%
Bond	1.51	10.29	8.78	583.69%
Commercial Paper	2.56	0.02	(2.54)	-99.22%
Preference Share	4.74	13.08	8.34	176.02%
Total	**8.81**	**23.39**	**14.58**	**165.56%**

Breakdown of Investment Income (BDT in Crore)

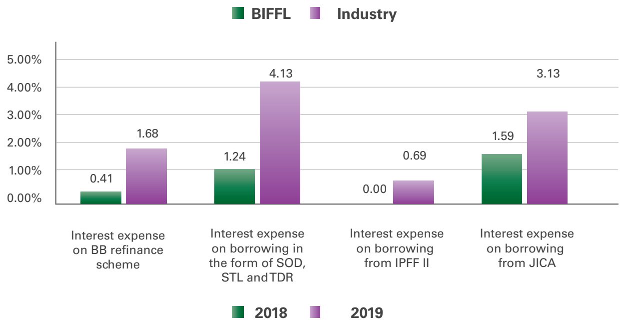


Interest Expenses

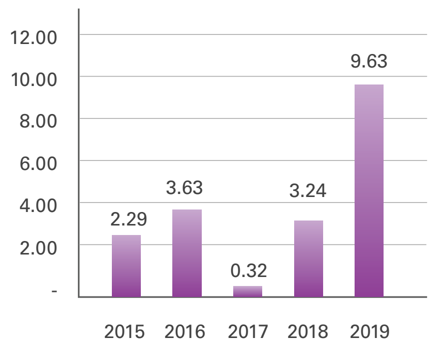
In 2019, interest expenses increased by 197.26% to BDT9.63 crore from BDT3.24 crore of 2018. This high growth of interest expense is due to the injection of new funds from BB under the refinancing scheme and loans from development partners like JICA, IPFF II, and Others.

Interest expenses	In BDT Crore		Y-Y Growth	
	2018	2019	Amount	%
BB refinance scheme	0.41	1.68	1.27	314.40%
Borrowing in the form of SOD, STL and TDR	1.24	4.13	2.89	232.97%
Borrowing from IPFF II	0.00	0.69	0.69	100.00%
Borrowing from JICA	1.59	3.13	1.54	96.34%
Total	**3.24**	**9.63**	**6.39**	**197.26%**

Breakdown of Interest Expenses (BDT in Crore)



Interest Expenses (BDT in Crore)



Though interest expenses have increased, the amount is not significant compared to the size of the company. It also indicates a positive trend in leveraging its equity base.

Operating Expenses

Operating expenses were BDT15.93 crore in 2019 compared to BDT15.57 crore in 2018 which reflects the company's increased operating activities and investment in human resources.

Particulars	In BDT Crore		Y-Y Growth	
	2018	2019	Amount	%
Salary and allowances	4.75	5.90	1.15	24.11%
Rent, taxes, insurance, electricity etc.	0.59	0.35	(0.24)	-40.74%
Legal expenses	0.13	0.07	(0.06)	-47.45%
Postage, stamp, telecommunication etc.	0.17	0.19	0.02	12.59%
Stationery, printing, advertisement etc.	1.46	0.68	(0.78)	-53.26%
Managing Director's salary and allowances	1.03	0.68	(0.34)	-33.46%
Directors' fees	0.13	0.14	0.01	5.06%
Auditors' fees	0.04	0.03	(0.01)	-27.72%
Depreciation and repairs of company's assets	4.09	4.65	0.56	13.76%
Other operating expenses	3.18	3.24	0.06	1.74%
Total	**15.57**	**15.93**	**0.36**	**2.29%**

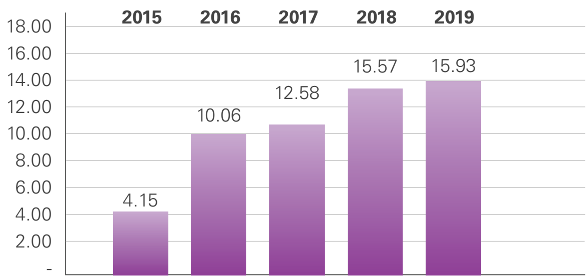
The main contributors to changes in operating expenses were:

- Staff related cost increased by 24.11%, comprising -
  - Growth in the average number of employees in 2019 compared to 2018.
  - Incentives are provided to employees in line with strong financial performance in 2019.
- Rent, insurance, and electricity expenses decreased by 40.74% along with a 13.76% rise of depreciation and repairs of the company's assets.
- Efficient business dealings with clients, effective cost management strategy reduced the cost of stationery, printing, and advertisement by 53.26% and legal expenses by 47.45%.
- Other expenses increased by 1.74% in 2019 compared to 2018. Major contributors were office maintenance, IT maintenance, training

expenditure, CSR expenses, project site supervision expenses, travelling allowance, and conveyances.

- Auditor's fees decreased by 27.72% in 2019 mainly due to the non-requirement of a special audit conducted for bond issuance in addition to statutory audit like 2018.

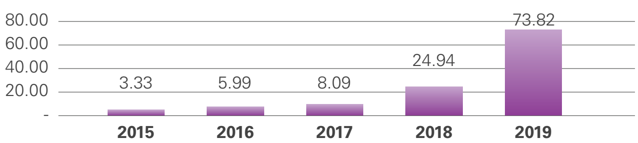
Operating Expenses (BDT in Crore)



Provision for Leases, Loans, Advances, Investment and Others

Provision for loans, leases, advances, invesment, and others increased over the last five years along with the growth in loan portfolio. Out of BDT73.82 crore provision maintained in 2019, BDT65.53 crore is maintained for Fixed Deposit with Financial Institutions mainly Peoples Leasing and Financial Services Ltd., Bangladesh Industrial Finance Company Ltd., and International Leasing and Financial Services Ltd. The remaining amount is maintained for loans, leases, advances, and investments.

Provision for Loan, Lease, Advances and Others (BDT in Crore)



Analysis of Financial Position

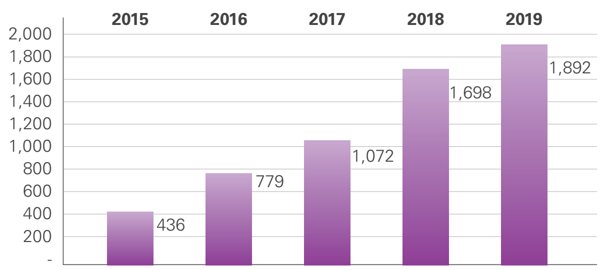
Leases, Loans, and Advances

In 2019, leases, loans and advances increased to BDT1,892.22 crore compared to BDT1,697.77 crore in the previous year reflecting year to year growth of 11.45%. We were focusing on financing different sectors like textiles, garments and accessories, transport, steel and engineering, power and energy, electronics and electrical, plastic, food and beverage, glass and ceramics, services, and other sectors.

Particulars	In BDT Crore		Y-Y Growth	
	2018	2019	Amount	%
Leases, loans, and advances	1,697.77	1,892.22	194.45	11.45%

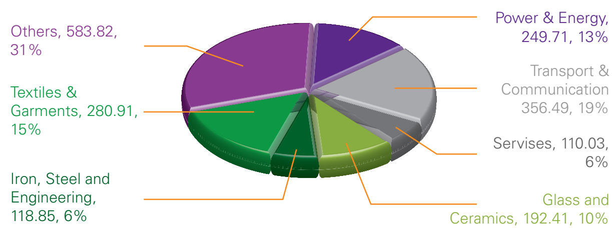
Our loans and leases portfolio has experienced a steady growth over the last five years. In 2015, the loans and leases portfolio was only BDT436 crore. However, within a span of 5 years, it reached to approx. BDT1,900 crore.

Loan, Leases and Advances (BDT in Crore)



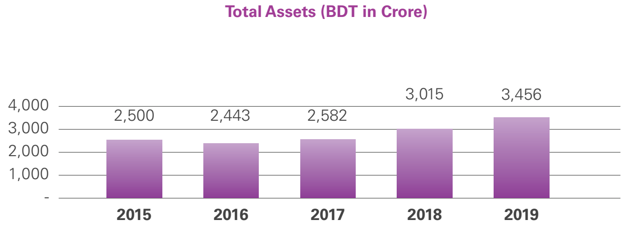
The major portion of the share of the leases and loans portfolio has been invested in connectivity (transport and communication) in line with BIFFL's vision of financing infrastructure development. Currently, it is also focusing on investing in the power and energy sector or more specifically green and renewable energy. Other important sectors are textile, glass and ceramics, steel, and engineering, services, etc.

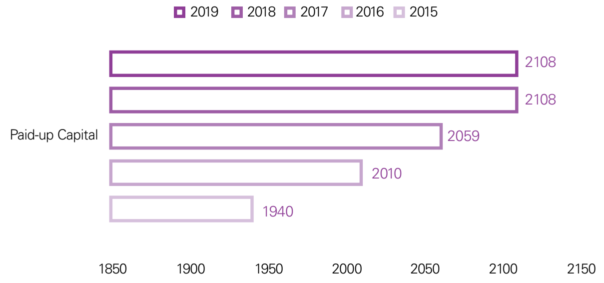
Sectorwise Loan Protfolio 2019 (BDT in Crore)



Total Assets

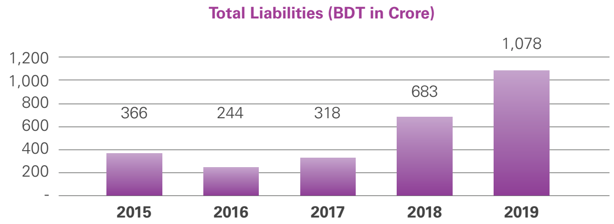
Total assets of BIFFL have increased by 38.25% in the last five years. However, much of this growth was achieved in 2018 and 2019 when the growth rate was 17.75% and 14.63% respectively. In 2015, total assets were 2,500 crore. At the end of 2019, total assets of BIFFL stood at BDT3,456 crore.





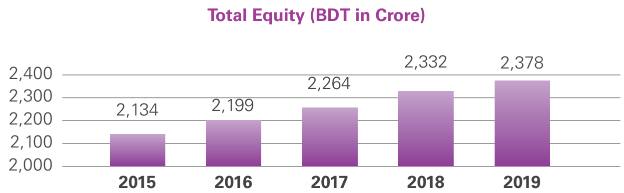
Total Liabilities

In 2019, total liabilities increased by 57.96% to BDT1,078.30 crore from BDT682.62 crore in 2018. The increase in total liabilities is mainly due to the injection of the JICA fund, the refinancing scheme of BB, and the fund from IPFF II of WB. However, the liability portion is still quite low compared to equity capital. Before 2019, major portion of this liability consisted of different operational liabilities and short-term fund arrangements with different banks and financial institutions.



Equity Capital

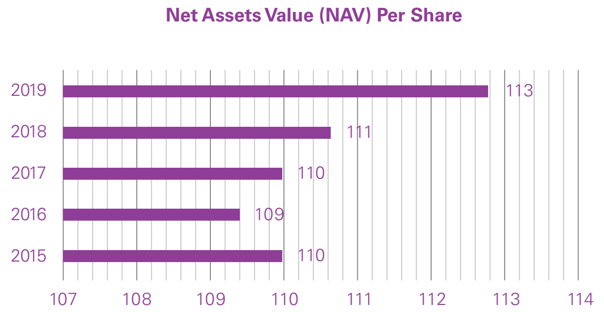
Over the last five years, the equity capital of BIFFL has increased by almost BDT244 crore. This increment is from retained earnings over the last five years. At the end of 2019, the amount of common equity capital was BDT2,378 crore.



Paid up capital at the end of 2015 was BDT1,940 crore which stood at BDT2,108 crore at the end of 2019.

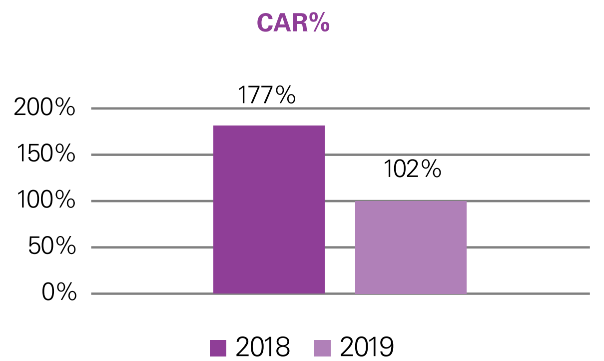
Net Assets Value (NAV) Per Share

Net assets value per share of BIFFL is in an increasing trend from 2016. At the end of 2019, NAV per share was BDT113, BDT2 higher than that of the previous year.



Capital and Capital Adequacy

BIFFL has a strong capital base with Capital Adequacy Ratio (CAR) above the minimum regulatory requirements. Required CAR is 10% whereas, in 2019 BIFFL had 102% compared to 177% in 2018. Fall in CAR by 75% is mainly due to an increase in risk-weighted assets of 77% in 2019 compared to the previous year. Total capital increased by 2.16% in 2019 with an amount of BDT2,401.21 crore and BDT2,350.55 crore in 2018.

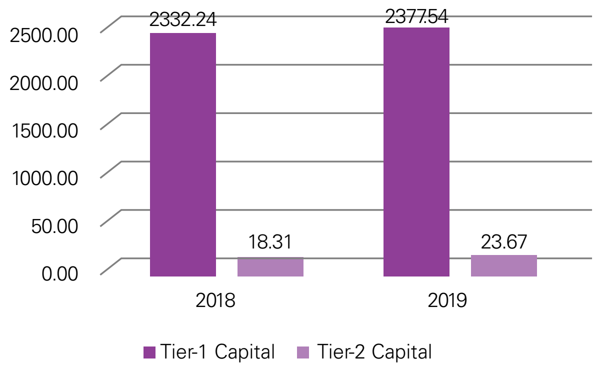


The balance sheet was well-positioned with our Basel II CAR at 102%. CAR is substantially well above the regulatory requirement of 10% after 11.45% growth of leases, loans, and advances portfolio.

Capital	In BDT Crore		Y-Y Growth	
	2018	2019	Amount	%
Tier-1	2,332.24	2,377.54	45.30	1.9%
Tier-2	18.31	23.67	5.36	29.3%
Total	**2,350.55**	**2,401.21**	**50.66**	**2.16%**

An increase in Tier-1 capital was mainly due to a higher amount of shareholders' equity compared to the previous year.

Eligible Capital (BDT in Crore)

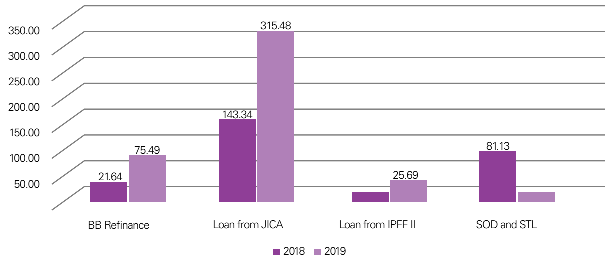


The liquidity level of BIFFL remained sound with increasing statutory liquid assets and cash reserve resulting in a positive liquidity coverage ratio which was well above the regulatory requirement.

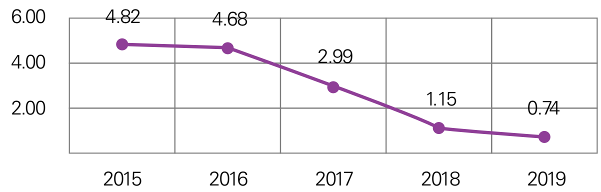
Fund from Bangladesh Bank refinancing scheme and Multilateral Agency

BIFFL received an amount of BDT175.26 crore, BDT25 crore and BDT53.85 crore fresh disbursement of long term loans from JICA, IPFF II and BB respectively in 2019. At the same time, a short-term loan of BDT81.13 crore from the money market was paid out in 2019.

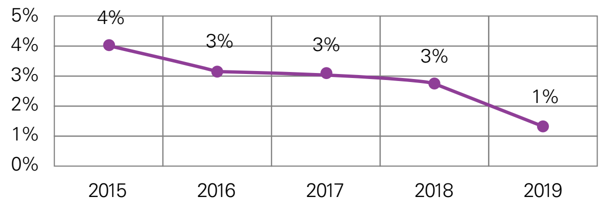
Borrowing Position



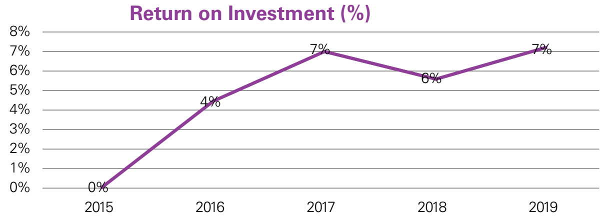
Current Assets to Liabilities (Times)



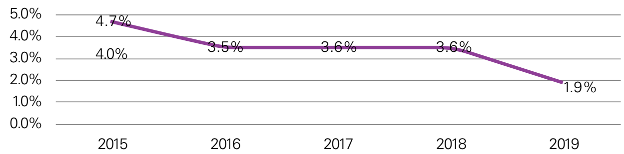
Return on Assets (%)



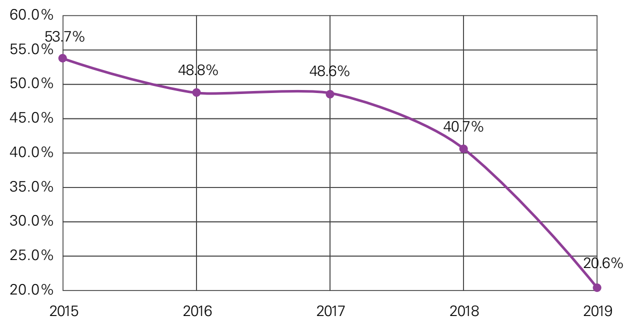
Return on Investment (%)



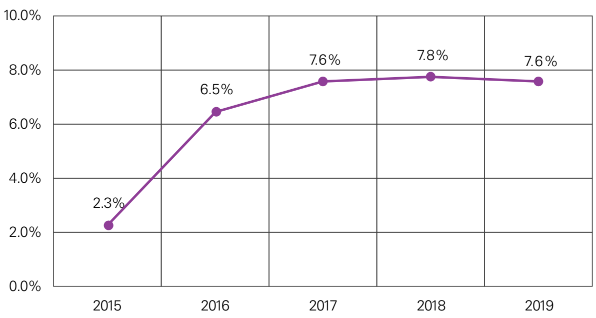
Return on Share Holders Equity (%)



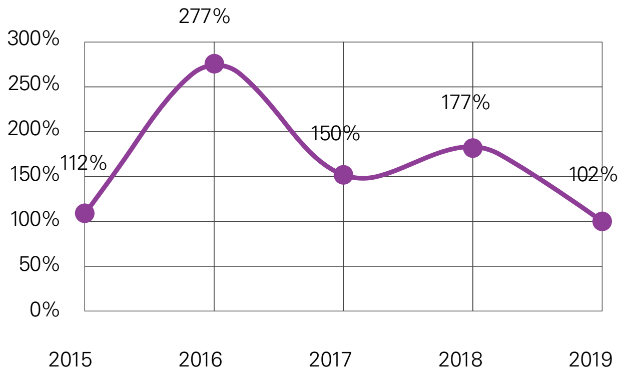
Profit Margin (%)



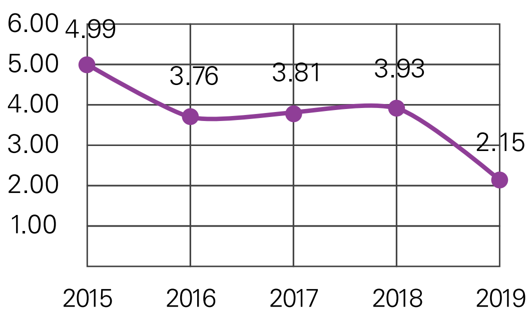
Opex as % of Operating Income



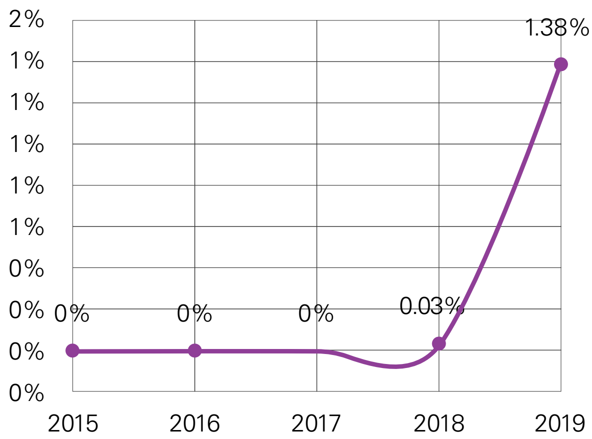
Capital Adequacy Ratio (%)



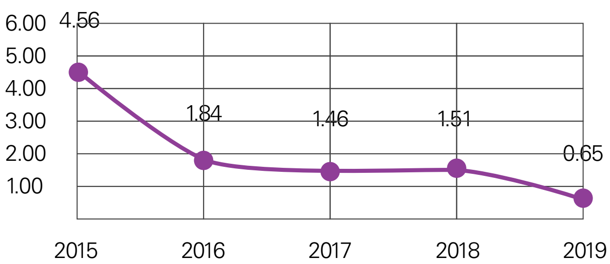
Earnings per Share (BDT)



Percentage of Classified Loans



Profit per Employee (BDT in Crore)



Key Operating & Financial Highlights

Particulars	2015	2016	2017	2018	2019	Growth of 2019 over 2018	5-Year AVG(%)
Financial Performance (BDT):							
Long-Term Investment	-	855,544,789	747,603,687	1,313,443,964	3,005,862,186	128.85%	37%
Short-Term Investment	-	1,650,000,000	1,750,000,000	250,000,000	250,000,000	0.00%	-38%
Loan Portfolio	4,358,268,450	7,790,365,136	10,719,748,885	16,977,708,408	18,922,252,016	11.45%	34%
Power & Energy	1,281,890,477	270,054,602	244,962,850	1,176,563,047	2,497,143,758	112.24%	14%
Transport & Communication	120,000,000	3,800,000,000	3,200,000,000	5,683,422,222	3,564,884,028	-37.28%	97%
Services	-	518,692,706	1,202,611,111	1,226,668,940	1,100,286,937	-10.30%	21%
Glass and Ceramics	-	102,481,875	467,547,146	1,104,177,287	1,924,139,629	74.26%	108%
Iron, Steel and Engineering	-	-	800,000,000	736,657,322	1,188,523,409	61.34%	14%
Textiles & Garments	-	-	664,378,185	1,444,541,904	2,809,066,683	94.46%	62%
Others	2,956,377,973	3,099,135,953	4,140,249,593	5,605,677,686	5,838,207,573	4.15%	15%
Total Assets	24,996,275,061	24,430,253,970	25,822,384,167	30,148,654,129	34,558,436,056	14.63%	7%
Total Liabilities	3,659,653,932	2,440,217,844	3,178,240,743	6,826,216,328	10,783,007,972	57.96%	24%
Total Equity	21,336,621,129	21,990,036,126	22,644,143,424	23,322,437,802	23,775,428,084	1.94%	2%
Net Current Assets	17,587,867,571	11,406,612,423	9,163,271,367	7,655,078,598	7,060,956,812	-7.76%	-17%
Operational Performance (BDT):							
Interest Income from Leases, Loans and Advances	188,049,291	412,661,561	748,241,004	1,132,242,764	1,736,088,527	53.33%	56%
Total Revenues	1,865,373,080	1,583,574,404	1,653,372,411	2,035,884,783	2,201,351,617	8.13%	3%
Operating Income	1,842,463,329	1,547,302,192	1,650,140,401	2,003,473,349	2,105,005,636	5.07%	3%
Operating Expenses	41,495,144	100,571,797	125,801,396	155,707,083	159,278,573	2.29%	31%
Financial Expenses	22,909,751	36,272,212	3,232,010	32,411,434	96,345,981	197.26%	33%
Provision for Loans, Leases, Advances, Investments, FDRs and Other Assets	33,250,490	59,936,697	80,858,449	249,241,429	738,228,621	196.19%	86%
Profit Before Provision & Tax	1,800,968,185	1,446,730,395	1,524,339,005	1,847,766,266	1,945,727,063	5.30%	2%
Profit Before Tax	1,767,717,695	1,386,793,698	1,443,480,556	1,598,524,837	1,207,498,442	-24.46%	-7%
Net Profit After Tax	1,002,363,040	773,414,997	804,107,298	828,294,378	452,990,281	-45.31%	-15%
EBITDA	1,825,517,861	1,497,942,604	1,564,365,401	1,918,575,286	1,349,004,967	-29.69%	-6%
Financial Ratios							
Current Assets to Liabilities Ratio (Times)	4.82	4.68	2.99	1.15	0.74	-35.42%	-31%
Return on Assets (%)	4.0%	3.2%	3.1%	2.7%	1.3%	-52.29%	-20%
Return on Investment (%)	0.00%	4.44%	7.02%	5.63%	7.18%	27.52%	13%
Return on Share Holders Equity (%)	4.70%	3.52%	3.55%	3.55%	1.91%	-46.35%	-17%
Profit Margin %)	53.74%	48.84%	48.63%	40.68%	20.58%	-49.42%	-17%
Opex as % of Operating Income	2.25%	6.50%	7.62%	7.77%	7.57%	-2.64%	27%
Earnings Per Share (BDT)	4.99	3.76	3.81	3.93	2.15	-45.31%	-15%
Profit Per Employee (BDT)	45,561,956	18,414,643	14,620,133	15,059,898	6,471,290	-57.03%	-32%
Capital Adequacy Ratio (CAR)	112.48%	276.71%	149.69%	177.06%	101.77%	-44.36%	-2%
% Classified Laons	-	-	-	0.03%	1.38%	4483.96%	577%
Equity Statistics:							
Number of Shares	194,000,000	201,000,000	205,900,000	210,800,000	210,800,000	0.00%	2%
Paid-up Capital (BDT)	19,400,000,000	20,100,000,000.00	20,590,000,000	21,080,000,000	21,080,000,000	0.00%	2%
Shareholders Equity (BDT)	21,336,621,129	21,990,036,126	22,644,143,424	23,322,437,802	23,775,428,084	1.94%	2%
Dividend (BDT) **	3,500,000,000	820,000,000	640,000,000	640,000,000	-		-35%
Net Assets Value (NAV) per Share	109.98	109.40	109.98	110.64	112.79	1.94%	1%

** In 2015 BIFFL paid dividend of BDT350 Crore for the year 2011 to 2014

Highlights

As per Bangladesh Bank Guidelines

SI No.	Key Indicators	Amount in Taka	
		31-Dec-19	31-Dec-18
1	Paid-up capital	21,080,000,000	21,080,000,000
2	Total capital	23,775,428,084	23,322,437,802
3	Capital surplus	21,657,598,903	22,178,014,972
4	Total assets	34,558,436,056	30,148,654,129
5	Total deposits	504,618,055	-
6	Total leases, loans, and advances	18,922,252,016	16,977,708,408
7	Total contingent liabilities and commitments	503,031,759	19,468,129
8	Credit deposit ratio	3750%	-
9	Percentage of classified loans against total leases, loans, and advances	1.38%	0.03%
10	Profit after tax and provision	452,990,281	828,294,378
11	Amount of classified loans during current period	256,776,476	5,126,319
12	Provision kept against classified loans	29,883,945	517,200
13	Cost of fund	1.46%	0.28%
14	Interest earning assets	30,170,764,534	26,372,426,533
15	Non-interest earning assets	4,387,671,522	3,776,227,596
16	Return on Investment (ROI)	7.18%	5.63%
17	Return on Assets (ROA)	1.31%	2.75%
18	Income from investment	233,825,597	88,050,697
19	Earnings per Share (EPS)	2.15	3.93
20	Net income per share	2.15	3.93

Vertical Analysis

For the Last 5 Years

Profit and Loss Account

Particulars	2015	2016	2017	2018	2019
Operating income					
Net interest	**8.85%**	**23.77%**	**45.06%**	**54.02%**	**74.49%**
Interest income	10.08%	26.06%	45.26%	55.61%	78.86%
Less: Interest expenses on borrowings	1.23%	2.29%	0.20%	1.59%	4.38%
Income frome investment	0.00%	7.03%	9.39%	4.32%	10.62%
Commission, exchange and brokerage income	0.00%	0.00%	0.00%	0.00%	0.00%
Other operational income	89.92%	66.91%	44.58%	40.06%	10.51%
Total operating income	**98.77%**	**97.71%**	**99.03%**	**98.41%**	**95.62%**
Operating expenses					
Salary and allowances	0.75%	1.61%	2.36%	2.34%	2.68%
Rents, taxes, insurance, electricity etc.	0.23%	0.33%	0.22%	0.29%	0.16%
Legal and professional fees	0.06%	0.17%	0.04%	0.07%	0.03%
Postage, stamp, telecommunication etc.	0.01%	0.13%	0.09%	0.08%	0.09%
Stationary, printing, advertisement	0.18%	0.56%	0.30%	0.72%	0.31%
Managing directors salary and allowances	0.30%	0.57%	0.58%	0.50%	0.31%
Directors' fees and expenses	0.03%	0.08%	0.08%	0.07%	0.06%
Audit fees	0.00%	0.01%	0.01%	0.02%	0.01%
Repairs, maintenance and depriciation	0.29%	1.62%	2.35%	2.01%	2.11%
Other expenses	0.36%	1.27%	1.58%	1.56%	1.47%
Total operating expenses	**2.22%**	**6.35%**	**7.61%**	**7.65%**	**7.24%**
Net operating income	**96.55%**	**91.36%**	**91.42%**	**90.76%**	**88.39%**
Provision for loans, investments and others	**1.78%**	**3.78%**	**4.89%**	**12.24%**	**33.54%**
Profit before tax and reserve	**94.76%**	**87.57%**	**87.31%**	**78.52%**	**54.85%**
Provision for tax made during the year	**41.03%**	**38.73%**	**38.67%**	**37.83%**	**34.27%**
Net profit after tax	**53.74%**	**48.84%**	**48.63%**	**40.68%**	**20.58%**

Vertical Analysis

For the last 5 years

Balance Sheet

Particulars	2015	2016	2017	2018	2019
Property and Assets					
Cash	**0.21%**	**0.24%**	**0.16%**	**0.11%**	**0.09%**
Cash in hand	0.00%	0.00%	0.00%	0.00%	0.00%
Balance with Bangladesh Bank	0.21%	0.24%	0.16%	0.11%	0.09%
Balance with others Banks and Financial Institutions	**70.38%**	**46.47%**	**36.41%**	**25.98%**	**23.05%**
Inside Bangladesh	70.38%	46.47%	36.41%	25.98%	23.05%
Outside Bangladesh	0.00%	0.00%	0.00%	0.00%	0.00%
Money at call and short notice	**0.00%**	**0.00%**	**0.23%**	**0.00%**	**0.08%**
Investment	**0.00%**	**10.26%**	**9.67%**	**5.19%**	**9.42%**
Government Securoties	0.00%	0.00%	0.00%	0.00%	0.00%
Others Investments	0.00%	10.26%	9.67%	5.19%	9.42%
Lease, Loans and Advances	**17.44%**	**31.89%**	**41.51%**	**56.31%**	**54.75%**
Fixed Assets	**0.03%**	**1.21%**	**1.03%**	**1.02%**	**0.77%**
Other Assets	**11.94%**	**9.93%**	**10.98%**	**11.40%**	**11.83%**
Total Property and Assets	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100%**
Liability and Shareholders' Equity					
Liabbilities					
Borrowings from Bangladesh Bank, Other Banks and Financial Institutions	2.99%	0.02%	0.01%	8.16%	12.06%
Term Deposits	0.00%	0.00%	0.00%	0.00%	1.46%
Other Liabilities	11.65%	9.97%	12.29%	14.48%	17.69%
Total Liabilities	**14.64%**	**9.99%**	**12.31%**	**22.64%**	**31.20%**
Shareholders' Equity	**85.36%**	**90.01%**	**87.69%**	**77.36%**	**68.80%**
Paid up capital	77.61%	82.28%	79.74%	69.92%	61.00%
Share premium	-	-	-	-	-
Statury reserve	4.35%	5.08%	5.43%	5.20%	4.80%
General reserve	-	-	-	-	0.14%
Fair value measurement reserve	-	-	-	-	-
Retained earnings	3.40%	2.65%	2.52%	2.24%	2.85%
Non controling interest	-	-	-	-	
Total Liability and Shareholders' Equity	**100.00%**	**100.00%**	**100.00%**	**100.00%**	**100%**

Horizontal Analysis

For the last 5 years
Profit and Loss Account

Particulars	2015	2016	2017	2018	2019
Operating income					
Net interest	**100%**	**228%**	**451%**	**666%**	**993%**
Interest income	100%	219%	398%	602%	923%
Less: Interest expenses on deposits & borrowings	100%	158%	14%	141%	421%
Income from investment	-	100%	157%	79%	210%
Commission, exchange and brokerage income	-	-	-	-	
Other operational income	100%	63%	44%	49%	14%
Total Operating income	**100%**	**84%**	**90%**	**109%**	**114%**
Operating expenses					
Salary and allowances	100%	183%	280%	341%	423%
Rents, taxes, insurance, electricity etc.	100%	124%	87%	139%	82%
Legal and professional fees	100%	242%	65%	120%	63%
Postage, stamp, telecommunication etc.	100%	771%	566%	621%	700%
Stationary, printing ,advertisement	100%	262%	145%	428%	200%
Managing directors salary and allowances	100%	162%	171%	183%	122%
Directors' fees and expenses	100%	208%	203%	217%	228%
Audit fees	100%	151%	174%	533%	386%
Repairs, maintenance and depriciation	100%	466%	707%	744%	846%
Other expenses	100%	297%	387%	471%	480%
Total Operating expenses	**100%**	**242%**	**303%**	**375%**	**384%**
Net operating income	**100%**	**80%**	**85%**	**103%**	**108%**
Provision for loans, investment and other assets	**100%**	**180%**	**243%**	**750%**	**2220%**
Profit before tax and reserve	**100%**	**78%**	**82%**	**90%**	**68%**
Provision for tax made during the year	**100%**	**80%**	**84%**	**101%**	**99%**
Net profit after tax	**100%**	**77%**	**80%**	**83%**	**45%**
Earning per share (EPS)	**100%**	**75%**	**78%**	**78%**	**43%**

Horizontal Analysis

For the last 5 years

Balance Sheet

Particulars	2015	2016	2017	2018	2019
Property and Assets					
Cash	**100%**	**111%**	**78%**	**64%**	**59%**
Cash in hand	100%	3555%	747%	883%	1034%
Balance with Bangladesh Bank	100%	110%	78%	64%	58%
Balance with others Banks and Financial Institutions	**100%**	**65%**	**53%**	**45%**	**45%**
Inside Bangladesh	100%	65%	53%	45%	45%
Outside Bangladesh	-	-	-	-	-
Money at call and short notice	**0%**	**0%**	**100%**	**0%**	**46%**
Investment	**0%**	**100%**	**100%**	**62%**	**130%**
Government Securoties	-	-	-	-	-
Others Investments	0%	100%	100%	62%	130%
Lease, Loans and Advances	**100%**	**179%**	**246%**	**390%**	**434%**
Fixed Assets	**100%**	**3775%**	**3400%**	**3905%**	**3404%**
Other Assets	**100%**	**81%**	**95%**	**115%**	**137%**
Total Property and Assets	**100%**	**98%**	**103%**	**121%**	**138%**
Liability and Shareholders' Equity					
Liabbilities					
Borrowings from Bangladesh Bank, Other Banks and Financial Institutions	100%	0.59%	0.46%	329%	557%
Term Deposits	-	-	-	-	100%
Other Liabilities	100%	84%	109%	150%	210%
Total Liabilities	**100%**	**67%**	**87%**	**187%**	**295%**
Shareholders' Equity	100%	103%	106%	109%	111%
Paid up capital	100%	104%	106%	109%	109%
Share premium	-	-	-	-	-
Statury reserve	100%	114%	129%	144%	153%
General reserve	-	-	-	-	100%
Fair value measurement reserve	-	-	-	-	-
Retained earnings	100%	76%	77%	79%	116%
Non controling interest	-	-	-	-	-
Total Liability and Shareholders' Equity	**100%**	**98%**	**103%**	**121%**	**138%**

Statement on Contribution to National Exchequer

Government is one of the most important stakeholders and also play a critical role in economic and technological advancement of the country. As a concious and ethical government owned entity, Bangladesh Infrastructure Finance Fund Limited (BIFFL) makes consistent contribution to the National Exchequer. For the year ended 31 December 2019, BIFFL contributed to the National Exchequer an amount of BDT57.92 crore compsoed of income tax, withholding tax, and withholding VAT.

Forms of Contribution	2019	2018	2017	2016
Income Tax	**572,298,649**	**626,410,466**	**401,906,989**	**819,646,450**
Payroll tax	3,555,045	3,501,643	3,228,043	2,205,800
Advance income tax	561,655,414	619,980,669	397,143,090	816,773,044
Tax on payment to suppliers, vendors, service providors etc.	7,088,190	2,928,155	1,535,856	667,606
Value Added Tax (VAT)	**6,950,948**	**5,378,349**	**3,806,467**	**3,639,402**
VAT on payment to suppliers, vendors, service providors etc.	6,950,948	5,378,349	3,806,467	3,639,402
Dividend	**-**	**150,000,000**	**150,000,000**	**120,000,000**
Cash dividend	-	150,000,000	150,000,000	120,000,000
Total Contribution	**579,249,597**	**781,788,816**	**555,713,456**	**943,285,852**

Value Added Statement

The value added statement appended below is the details of total value addition by Bangladesh Infrastructure Finance Fund Limited (BIFFL) and distribution thereof. The distribution of value reveals how the company contributed for socio-economic development by paying salaries and allowances to the employees, dividend to the shareholders (Government), taxes to the Government and retention of some amounts for growth and expansion.

Particulars	2019		2018		2017		2016		2015	
	BDT	%	BDT	%	BDT	%	BDT	%	BDT	%
Value Addition										
Total income	2,201,351,617		2,035,884,783		1,653,372,411		1,583,574,404		1,865,373,080	
Cost of borrowing	(96,345,981)		(32,411,434)		(3,232,010)		(36,272,212)		(22,909,751)	
Provisions	(738,228,621)		(249,241,429)		(80,858,449)		(59,936,697)		(33,250,490)	
Operating expenses excluding salary expenses and depreciation	(48,293,934)		(59,517,228)		(40,416,710)		(51,065,781)		(20,317,059)	
	1,318,483,082		**1,694,714,693**		**1,528,865,242**		**1,436,299,714**		**1,788,895,780**	
Distribution of Value Addition										
To employees as salaries and allowances	65,842,767	5%	57,792,269	3%	48,590,300	3%	34,566,019	2%	19,538,160	1%
To Government as income tax	760,435,907	58%	768,477,974	45%	641,851,639	42%	606,429,852	42%	765,585,884	43%
To shareholders (Government) as dividend	181,196,112	14%	-	-	640,000,000	42%	640,000,000	45%	820,000,000	46%
Value retained for expansion and furture growth										
Value retained in business	271,775,498	21%	828,294,378	49%	164,107,298	11%	133,414,997	9%	182,363,039	10%
Deferred tax	(5,927,746)	(0.45%)	1,752,485	0.10%	(2,478,381)	(0.16%)	6,948,849	0.48%	(231,228)	(0.01%)
Depreciation	45,160,544	3%	38,397,587	2%	36,794,386	2%	14,939,997	1%	1,639,925	.09%
Amount Distributed	**1,318,483,082**	**100%**	**1,694,714,693**	**100%**	**1,528,865,242**	**100%**	**1,436,299,714**	**100%**	**1,788,895,780**	**100%**
Number of employees at the end of the year	70		85		55		42		22	
Value created per employee	18,835,473		19,937,820		27,797,550		34,197,612		81,313,445	
Number of shares	210,800,000		210,800,000		205,900,000		201,000,000		194,000,000	
Value created per share	6.25		8.04		7.43		7.15		9.22	

Report on Green Banking

Areas of Investment

1. Energy Efficient Technologies
2. Green Construction Materials
3. Utility-scale Solar Power
4. Green Buildings
5. Waste Treatment and Recycling Facilities

A. Services

- Advisory Services
- Project Finance / Refinance
- Fund Arrangement
- Awareness and Promotions

B. Financed Projects

Energy Efficiency & Green Industry

Name of the Project	Project Location
Odyssey Craft (Pvt.) Ltd.	Dhamrai, Dhaka
Aman Spinning Mills Ltd.	Ashulia, Dhaka
M. M. Ispahani Ltd.	Pahartali, Chattogram
Bandhab Tex Ltd.	Panchdona, Narsingdi
Fair Electronics Ltd.	Shibpur, Narsingdi
GPH Ispat Ltd.	Sitakunda, Chattogram
Raw Tech Ltd.	Valuka, Mymensingh

Green Brick Projects

Name of the Project	Project Location
ARB Enterprise	Dhamrai, Dhaka
Makrail Auto Green Bricks Ltd.	Modhukhali, Faridpur
Dharmapur Ceramics Industries Ltd.	Ashulia, Dhaka
First Auto Bricks Ltd.	Polash, Narshingdi
Asim Auto Bricks Industry Ltd.	Mirjapur, Tangail
Phoenix Ceramic & Auto Bricks Ltd.	Bhuspur, Chattogram
Piya Auto Bricks Ltd.	Mirsharai, Chattogram
Usa Agro and Auto Bricks Ltd.	Dumki, Patuakhali
Nowhata Green Bricks Ltd.	Poba, Rajshahi
KB Auto Bricks Ltd.	Derai, Sunamganj
Eco Ceramics Industries Ltd.	Sirajdikhan, Munshiganj

C. Refinancing Schemes

BIFFL is offering soft loans from 3 different refinance schemes:

Energy Efficiency and Conservation Promotion Financing Project (Phase1&2)

a. Source of Fund: JICA, Amount: USD150 million; Interest Rate: 5%-7%.
b. Featured Areas: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telco Industry, Green Building and Home Appliance.

Refinance Scheme for Green Products/ Initiatives

a. Source of Fund: Bangladesh Bank, Amount: BDT200 Crore, Interest rate: 8%-9%, subject to tenor
b. Featured Areas: Solar Energy, Bio Gas, Wind Energy, Waste Treatment & Recycling, Energy Efficiency, Green Building, Green Bricks and other construction materials, etc.

Financing Brick Kiln Efficiency Improvement Project

a. Source of Fund: ADB /BB, Amount: USD50 million; Interest Rate: Up to 10%
b. Featured Areas: Zigzag kiln, Vertical Shaft Brick Kiln (VSBK), Hybrid Hoffman Kiln (HHK) and Tunnel Kiln.

D. Sector Specific Environmental Policies

Strategies are being formulated to design specific policies for different environment sensitive sectors.

Kushiara Power

This gas-fired combined cycle power plant is an important source of power for the North-Eastern city of Sylhet.

Risk Management

06

Statement on Risk Management

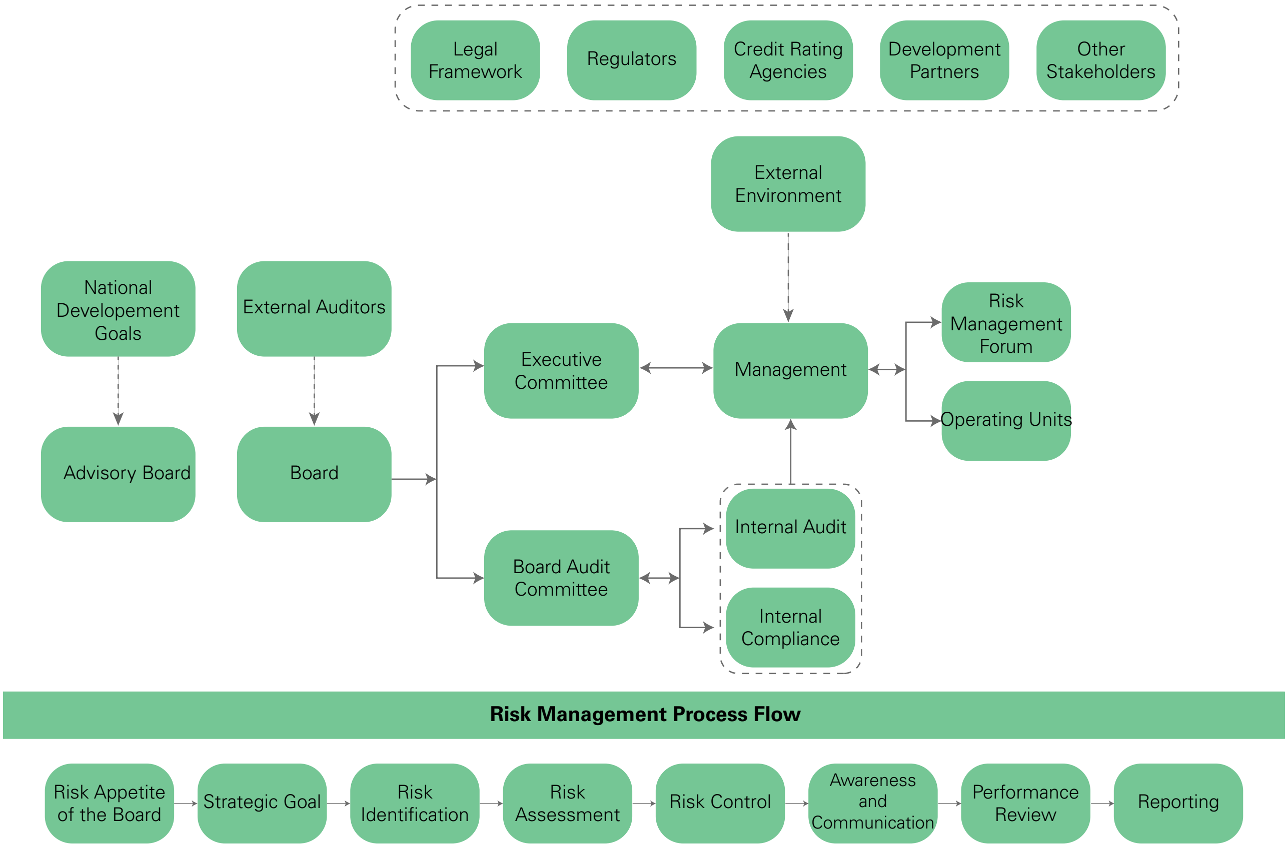
The importance of infrastructure for ensuring sustainable economic development and thereby, the amelioration of the socio-economic condition of millions of people cannot be overemphasized. The country has been failing to realize its full growth potential due to high transaction costs, mainly, arising from inadequate and inefficient infrastructure. One of the main reasons for such infrastructure-related shortcomings has been insufficient investment. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has established BIFFL and attached priority to materialize Public Private Partnership (PPP) concept in right earnest for delivering its multipronged benefits to the national economy. Conceptually, PPP project is a contract between the public sector and private sector, which requires new investments by the private partners i.e. money or technology or expertise /time or reputation, which transfers some key risks to the private sector (design / technology, construction / installation, availability, demand etc.) in which payments are made in exchange of performance for the purpose of delivering a service traditionally provided by the public sector.

With a continued average economic growth above 6.5% in the last ten years (2009-2019), Bangladesh now proudly stands as an emerging trade and investment destination. The steady growth in export business, hard-working labor force and committed entrepreneurs supported by the pro-business, pro-investment policies of the Government are leading Bangladesh towards the line of global business competency. The country's unequivocal position for peace and harmony, regional stability, cooperation, economic development through international and regional trade with its trade partners and an increasing flow of remittance by expatriate Bangladeshis living across the world have helped the country achieve and retain the impressive economic status. In FY 2018-19, GDP growth was 8.15% and it is expected to grow above 8% in the FY 2019-20. A strong domestic demand, high export growth and continued expansion of infrastructural facilities attributed to the accomplishment of accelerated growth. Bangladesh will continue to engage its efforts to achieve the SDG goals which will hinge on several factors such as accelerated resource mobilization, higher investment, efficiency in infrastructure implementation, skilled human resources and strong institutional set up.

Risk Management

BIFFL believes that effective risk management is of primary importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in and the risks those activities generate must be consistent with BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the firm will operate, including capital strength and earnings power. In BIFFL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized and if possible, eliminated to protect capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy.

Risk Management



BIFFL Risk Management Structure

Risk management procedures are approved, monitored, and mitigated at various stages of BIFFL with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Department and Risk Management Unit.

Board of Directors

The Board oversees and approves all major risk management policies and parameters considering market condition, regulatory requirements and lessons learned in the past. While setting forth policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations but protecting against down side risk from potential loss or foregone income and to protect interest of shareholders.

Executive Committee (EC) of the Board

Executive Committee of the Board is responsible to oversee that the management and its committees are operating within approved limits and authorities and that all major risks are managed and mitigated effectively while potential and actual losses arising from risks are within the acceptable limits. EC also approves all credit proposals except the large loan proposals, administrative proposals and major purchases as recommended by the Credit Committee, Management Committee and Purchase Committee respectively.

Audit Committee (AC) of the Board

Audit Committee independently monitors all activities of operations involving credit risks, operational risks and market risks through Internal Control & Compliance Department (ICCD) of BIFFL. Risk based audit plan for ICCD is approved by the Committee and its implementation is monitored on a regular basis to ensure that all risk factors are adequately addressed and any deviation is quickly corrected to ensure sustainable operation of BIFFL.

Risk Management Framework

BIFFL is a highly dedicated financial institution of Bangladesh conducting business in a professional manner by adopting the internationally accepted best practices upholding the ethical values and maintaining transparency in all activities. BIFFL believes in sustainable growth which is ensured through appropriate trade-off between risk and return.

Risk Identification, Assessment and Analysis

Risk analysis unit identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper (RMP) on monthly basis and conduct stress testing on quarterly.

In addition, Credit Committee (CC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to mitigate associated risks. CC reviews the appraisal of the individual project considering its technical, financial, management, economic and social & environmental aspects.

An independent Credit Risk Management (CRM) Department is in place at BIFFL to identify, measure and mitigate credit risks by ensuring compliance of prevailing regulations, credit policy and credit norms in order to safeguard credit portfolio and optimize shareholders' return. As per regulatory requirement and credit policy, Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify the risks involved in financing individual project. This is done at BIFFL periodically for reviewing loan portfolio..

To measure credit risk, BIFFL avails credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer from external Credit Rating Agency approved by the Central Bank. These reports are reviewed by CRM and CC to understand the liability condition, repayment behavior of the borrower and the extent of resilience in the short and long terms.

The Asset Liability Management Committee (ALCO) of the company regularly meets to assess the potential market risks and take appropriate actions for their mitigation. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control interest rate risk.

ICCD ensures that an appropriate framework exists to identify, assess and manage operational risk. However, internal control measures are in place at BIFFL to mitigate operational risks under Board Audit Committee.

Risk Reporting and Communication

After assessment of risks inherent at different departments of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum (RMF), consisting of the top management.

RMF recommends some specific action plans for managing the identified risks to be implemented by different departments across the organization. Furthermore, risks along with action plans are properly communicated to the Board of Directors through Board Audit Committee.

As per regulatory guidelines for comprehensive risk management, RMF is responsible for monitoring the following activities:

a. All regulatory compliances related to Basel II;
b. All regulatory compliances related to Stress Testing;
c. All regulatory compliances related to CAMELS Rating of Bangladesh Bank;
d. All regulatory compliances related to comprehensive risk management rating including preparation of RMP in line with the Bangladesh Bank's reporting format and informing the Board about major findings of RMP for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed, and that appropriate controls and responses are in place. Board Audit Committee and ICCD are to carry out regular audits of policy and standards, compliance and standard performance are reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

Risk Management Process

A well-structured and proactive risk management system is in place at BIFFL to address the risk relating to credit, market, liquidity, and operation. BIFFL has different committees for risk management and internal control. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices. In addition, as part of the industry's best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as prevailing regulatory guidelines. Through our risk management framework, we manage enterprise-wide risk, with the objective of maximizing risk-adjusted returns while remaining within our tolerance. As a part of this framework, the following set of principles has been prescribed:

Balancing risk and return

- Manage risks to build a sustainable franchise, in the interests of all stakeholders.
- Only take risks within our risk tolerances and risk appetite, and where consistent with approved strategy.
- We manage risk profile to maintain a low probability of an unexpected loss event that would materially undermine the confidence of our investors.

Responsibility and accountability

- Take individual responsibility to ensure risk-taking is disciplined and focused, particularly within area of authority.
- Make sure risk-taking is transparent, controlled and reported in line with the risk management framework, within risk appetite and risk tolerance boundaries and only where there is appropriate infrastructure and resource.

Anticipation

- Anticipate material future risks, learn lessons from events that have produced adverse outcomes and ensure awareness of known risks.

Competitive advantage

- Achieve competitive advantage through efficient and effective risk management and control.

Several risk factors have the potential to affect the results of our operations or financial condition but may not necessarily be deemed as top or emerging risks. However, they inform the ongoing assessment of top and emerging risks which may result in risk appetite being revised. The principal risks associated with business and ways of mitigations are described below:

Credit Risk Management

Credit risk is one of the most significant risks that BIFFL faces as an institution. As a result, BIFFL has a well-established framework in place for managing credit risk across all businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level as well as at the company-wide level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including 'watch lists', portfolio review, updated risk ratings and classification triggers. Credit risk management, as one of the core risks, is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed, and appropriate due diligence are carried out in appraisal and subsequent approval of new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk management as it helps BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities. CRMD is responsible to review the credit rating of the borrower annually.

Credit risk for counterparty arises from an aggregation of the following:

- Financial Risk
- Business/ Industry Risk
- Management Risk
- Security Risk
- Relationship Risk

Each of the above mentioned key risk areas need to be evaluated and aggregated to arrive at an overall risk grading measure.

a) Evaluation of Financial Risk

Risk that counterparties will fail to meet obligation due to financial distress. This typically entails analysis of financials i.e. analysis of leverage, liquidity, profitability and interest coverage ratios. To conclude, this capitalizes on the risk of high leverage, poor liquidity, low profitability and insufficient cash flow.

b) Evaluation of Business/Industry Risk

Risk that adverse industry situation or unfavorable business condition will impact borrowers' capacity to meet obligation. The evaluation of this category of risk looks at parameters such as business outlook, size of business, industry growth, market competition and barriers to entry/exit. To conclude, this capitalizes on the risk of failure due to low market share and poor industry growth.

c) Evaluation of Management Risk

Risk that counterparties may default as a result of poor managerial ability including experience of the management, its succession plan and team work.

d) Evaluation of Security Risk

Risk that BIFFL might be exposed due to poor quality or strength of the security in case of default. This may entail strength of security and collateral, location of collateral and support.

e) Evaluation of Relationship Risk

These risk areas cover evaluation of limits utilization, account performance, conditions/ covenants, compliance by the borrower and deposit relationship.

Credit Strategy

A sound credit strategy is crucial for improving an organization's investment capacity as well as maximizing its profitability. The following general policy governs the credit strategy of BIFFL:

a) Projects processed through PPP Authority under the PPP Act 2015 will be given preference for financing;

b) BIFFL will approve credit facilities primarily to clients who are involved in business activities having successful track record of profitable business growth;

c) At all times, the policy of "Know Your Customer (KYC)" and his/her credit standing will be considered as the foremost requirement in processing loan applications;

d) BIFFL's lending decisions shall primarily be based on merit of individual proposals analyzed from legal, financial, technical, marketing, social, environmental, economic, and management points of view.

e) BIFFL shall also support projects/ investments related to innovative ideas, social, community and infrastructure development;

f) BIFFL shall give priorities to projects wherein the developer has been identified through a competitive bidding process.

Eligibility Criteria

In order to be eligible for funding from BIFFL, a project shall meet the following eligibility criteria:

a) BIFFL shall consider only those projects for financing which will withstand the viability test from the commercial and socio-economic viewpoints. Viable projects may also include those projects that will become viable after receiving "Viability Gap Financing (VGF)" from the Ministry of Finance, Government of the People's Republic of Bangladesh, as per approved "Guidelines of Viability Gap Financing for PPP Projects";

b) Subject to the availability of fund, BIFFL may lend up to 40 percent of the total project cost or US$100 million whichever is lower for a single project;

c) Any "For-Profit" or "Not-For-Profit" entity legally registered in Bangladesh or abroad at the time of submission of proposal(s) in response to Request for Qualification (RFQ) or Unsolicited Proposal(s) will be eligible to apply for BIFFL financing. However, at the time of contract signing, the foreign entity is required to be registered as a legal entity in Bangladesh;

d) The project shall be implemented (i.e. developed, financed and operated for the project term) by a:

   i) **Public Sector Company,** with 51 percent or more of the subscribed and paid-up equity owned and controlled by the GoB, jointly or severally;

   ii) **Private Sector Company,** with 51 percent or more of the subscribed and paid-up equity owned and controlled by the private sector.

e) A private sector company not selected through a competitive bidding process would be eligible for direct lending by BIFFL only after the necessary statutory/ administrative approvals and clearances from relevant government agency/ authority have been obtained provided that-

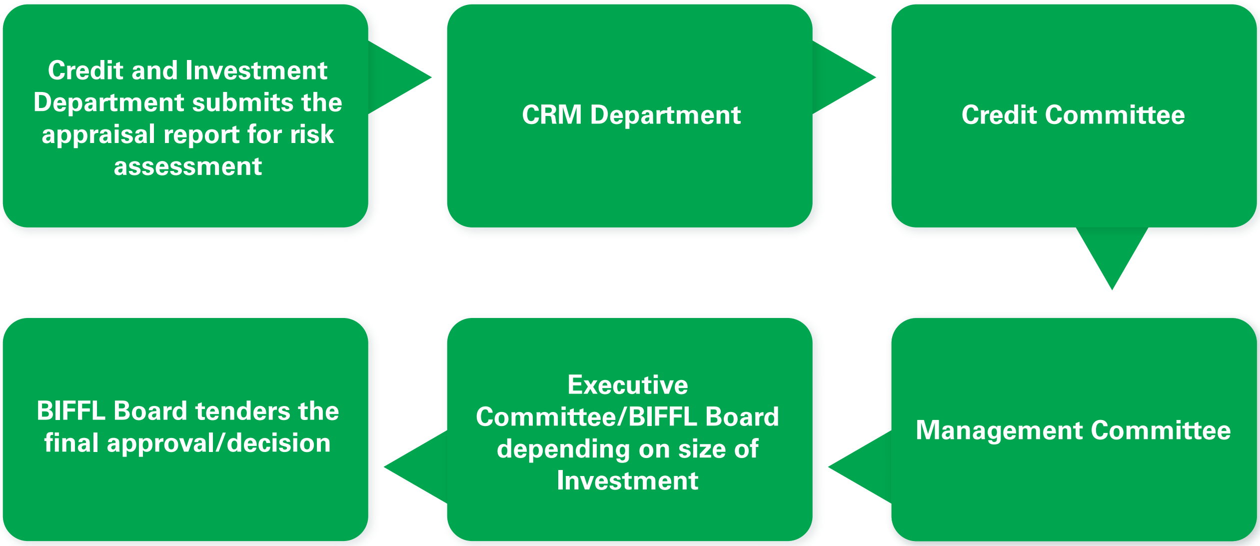
   - The service to be provided by the infrastructure project is regulated and non-monopolistic in nature;
   - The project is being set up under an agreement with the Government or a public sector undertaking; and
   - Total lending for such private projects does not exceed 25 percent of the lending program of BIFFL in any fiscal year.

f) Projects should be an integral part of the GOB's priority plan for the relevant sector/ sub-sectors;

g) To ensure sponsor's commitment to the project, equity should represent not less than 20 percent of the total project cost;

h) Projects should meet GOB and BIFFL's Environmental and Social Assessment Criteria; and

i) The economic rate of return of the project should be at least 12 percent.



Flow Chart: Credit Approval Process

In case BIFFL management needs any clarification regarding eligibility of a project, the same may be referred to the Board for appropriate directions.

Credit Approval Process

BIFFL Board of Directors has the overall authority and responsibility for management of risks. The Board approves the risk management policies of BIFFL. The Credit Committee (CC) is a sub-committee including senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The credit risk management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the CC. Nevertheless, the credit proposal is clearly stated that all instructions and guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now two stages depending on the size of the loan which are Executive Committee (EC) and/or BIFFL Board. The EC is a committee including CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of Credit Committee. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval. Befor EC/Board respective proposals are placed before management committee for review and insight.

BIFFL believes in diversification in terms of products and sectors. Sectoral allocation has already been passed by the BIFFL Board of Directors to overcome any adverse impact on the BIFFL's return. According to risk-return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/ project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/ economic condition of the country vis-a-vis the world.

Credit Risk Grading

Credit Risk Grading (CRG) is a valuable tool for credit risk management as it helps the Banks & financial institutions to understand various dimensions of risk involved in different credit transactions. The aggregation of such grading across the borrowers, activities and the lines of business can provide better assessment of the quality of credit portfolio of FIs. The credit risk grading system is vital to take decisions both at the pre-sanction stage as well as post-sanction stage.

Functions of Credit Risk Grading

Well-managed credit risk grading systems promote FI, safety and soundness by facilitating informed decision making. Grading systems measure credit risk and differentiate individual credits and groups of credits by the risk they pose. This allows FIs management and examiners to monitor changes and trends in risk levels. The process also allows FIs management to manage risk to optimize returns.

Use of Credit Risk Grading

- The CRG matrix allows application of uniform standards to credits to ensure a common standardized approach to assess the quality of individual obligor, credit portfolio of a unit, line of business, the branch or the financial institution as a whole.
- As evident, the CRG outputs would be relevant for individual credit selection, wherein either a borrower or an exposure/ facility is rated. The other decisions would be related to pricing (credit-spread) and specific features of the credit facility. These would largely constitute obligor level analysis.
- Risk grading would also be relevant for surveillance and monitoring, internal MIS and assessing the aggregate risk profile of a financial institution It is also relevant for portfolio level analysis.

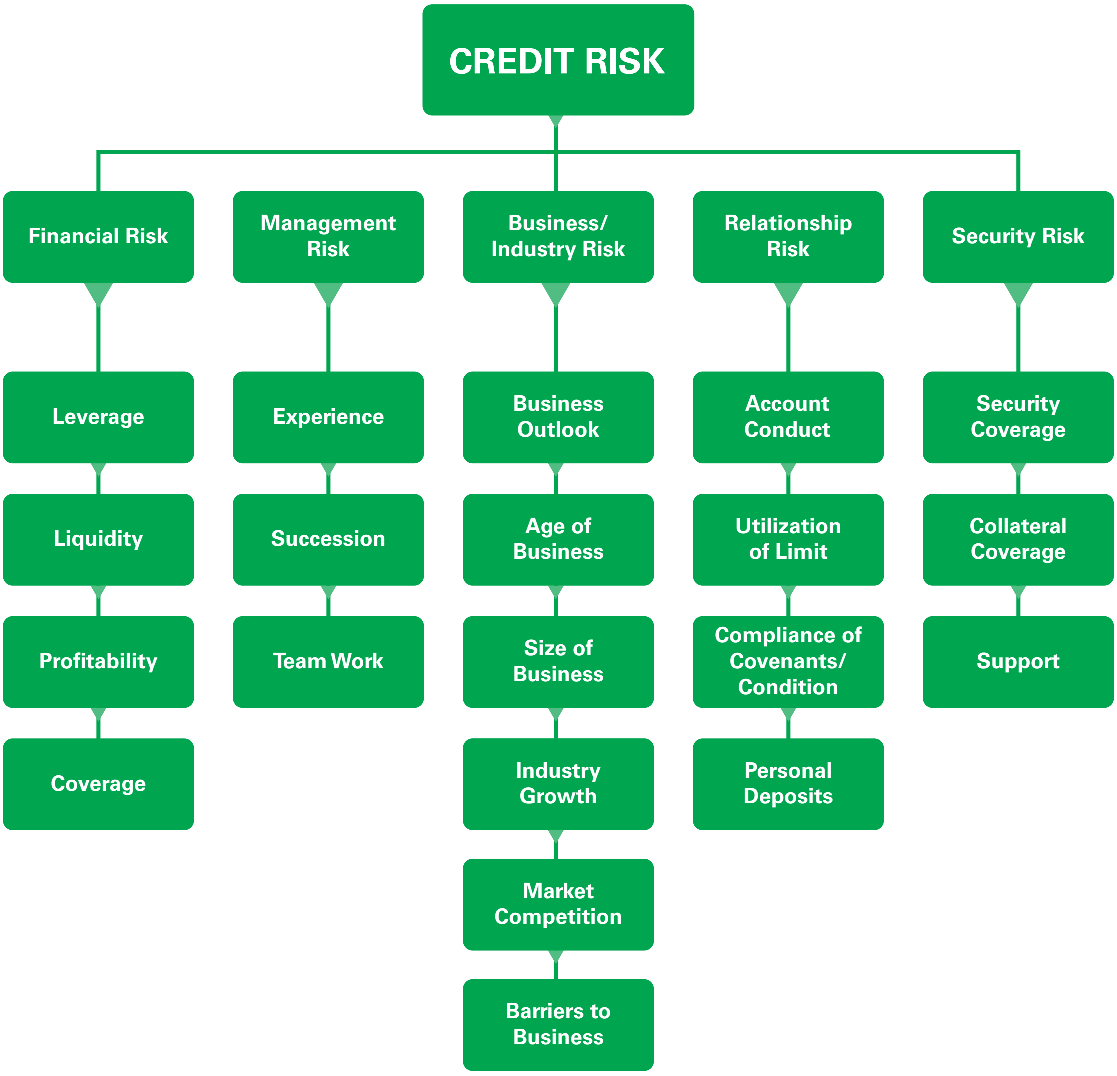
Number and Short Name of Grades Used in the CRG

The proposed CRG scale consists of 8 categories with Short names and Numbers are provided as follows:

Grading	Short Name	Number
Superior	SUP	1
Good	GD	2
Acceptable	ACCPT	3
Marginal/Watchlist	MG/WL	4
Special Mention Account	SMA	5
Substandard	SS	6
Doubtful	DF	7
Bad & Loss	BL	8

Credit Risk Matrix

These are the major risk components that are evaluated and aggregated in order to arrive at an overall risk grading measure.



Market Risk Management

Market risk encompasses funding and liquidity risk, interest rate risk and price risk, each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury Department of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk Management

Adequate liquidity and sources of funding are essential to BIFFL's businesses. Funding and liquidity risks arise from several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings and political and economic conditions.

BIFFL has no exposure in capital market yet and therefore, it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury Department in collaboration with Accounts and Finance Department manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in terms of its assets and liabilities. But it exposes liquidity risk of converting its fixed deposit into cash at reasonable price on time.

Operational Risk Management

Operational risk is the potential loss arising from the failure of company's systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay in performance of the works. Operational risk is the risk of loss, whether direct or indirect, to which the FI is exposed due to inadequate or failed internal processes or systems, human error, or external events. Operational risk includes legal and regulatory risk, business process and change risk, fiduciary or disclosure breaches, technology failure, financial crime and environmental risk. It exists in some form in every financial institution's business and function. Operational risk can not only result in pecuniary loss, but also regulatory sanctions and damage to the reputation. BIFFL is very successful at managing operational risk with a view to safeguarding stakeholders assets and preserving shareholder value.

Reputational Risk Management

Reputational risk is the risk that negative publicity regarding BIFFL's conduct, business practices or associations, whether true or not, will adversely affect its revenues, operations or customer base, or require costly litigation or other defensive measures. BIFFL finances projects that enhance our economic activities that bring change in the people's lives. BIFFL does not involve in any controversial business venture that may damage the reputation of the company.

Environmental Risk Management

Environmental risk is a facilitating element of credit risk arising from environmental issues. These can be due to environmental impacts caused by and / or due to the prevailing environmental conditions. These increase risks as they bring an element of uncertainty or possibility of loss in the context of a financing transaction. The overall purpose of environmental risk management is to understand and manage risks that arise from environmental concerns. This brings a focus on planning and implementing policies and procedures to mitigate environmental risks.

The specific purposes are:

- To examine the environmental issues and concerns associated with potential business activities proposed for financing;
- To identify, evaluate and manage the environmental risks and the associated financial implications arising from these issues and concerns; and
- To enhance the credit risk appraisal process.

Compliance Risk Management

Compliance risk is defined as the current or prospective risk of legal sanction and/or material financial loss that an organization may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of the best practice as well as from the possibility of incorrect interpretation of laws or regulations. The guidelines articulate the respective roles of the board, senior management and compliance function units in managing compliance risks and also require formulation of a written compliance risk management policy.

BIFFL has always fostered a compliance oriented culture. Senior management has constantly stressed the need to do business in a compliant manner. In general, compliance risk management is embedded in the day to day to business processes and practices of the company.

Potential Risks

a. Potential financial loss;

b. Serious regulatory implications (revocation of license, imprisonment, possibility of fines/ penalties from regulators);

c. Potential/actual damage to reputation;

d. Major corporate governance failure;

a. Customer dissatisfaction;

e. Loss of business opportunities.

Plan of action to mitigate potential compliance risks

a. Understand applicable rules and regulations and keep up to date;

b. Communicate new rules and regulations to concerned departments and help them in adoption of the same;

c. Communicate the required reports/statements to regulators within the stipulated time period;

d. Maintain cordial relations with the regulators, customers and other stakeholders;

e. Act as a liaison between management and regulators;

f. Arrange for in-house trainings and attend out-of-house trainings on new developments in the financial sector;

g. Develop checklists for applicable rules and regulations and ensure compliance of the concerned departments, like through DCFCLs.

The ICCD of BIFFL was formed in 2016. Since then, the department is monitoring the company's reporting compliance to Bangladesh Bank and other regulatory authorities. The department also ensures the compliance of relevant laws, regulations, directives of different regulators and its own policies.

Risk Management Forum

BIFFL Risk Management Forum (RMF) consists of 12 senior management personnel who have years of experience in the financial service industry.

Roles and Responsibilities of RMF

The roles and responsibilities of BIFFL RMF have been framed in line with the provisions of Bangladesh Bank circular. Some important roles and responsibilities are highlighted below:

- RMF identifies and analyses the risk of the portfolio of the company and formulates regulations to control the risks and guides the management in implementing the regulations. This forum also reviews the risk management policy time to time and modifies the same when needed;
- BIFFL has its own risk management framework which is guided by the Board of Directors and governed by senior management personnel of the company. In order to ensure compliance to financial regulations and manage different risks involved in business, BIFFL has formed several

management committees namely AC, EC, ALCO, CCU, CC, ICCD, MANCOM, Risk Analysis Unit etc. and these management meetings are held regularly, and the actions taken or topics discussed in the meetings are reported to Bangladesh Bank;

- Risk management forum reviews the business, economic and market variables on a regular basis and compare the results with the existing credit and risk management policy and proposes to the Board of Directors if any adjustment is required;
- RMF analyses and reviews the financials of the company with the credit policy. Before approving any loan proposal, the Board of Directors considers the legal, economic, social and environmental impact of the projects and prioritizes the projects that are consistent with the mission and vision of BIFFL.
- RMF reviews the risk management paper every month and assesses the sector-wise, product-wise and location-wise loan distribution data as well as stress test data and takes initiatives in the meeting to take necessary actions to ensure lending practices consistent with the existing credit policy;
- RMF also analyses the situation of the world economy and the perspective of Bangladesh economy and discusses potential business opportunity and devise strategies to invest in the new or untapped market.

Financial Reporting

BIFFL maintains proper accounting practices in recording transactions. Adequate books of accounts e.g. account statements, loan register etc. are maintained and updated regularly. The financial statements are also prepared following the International Financial Reporting Standards (IFRSs) and relevant circulars of the Bangladesh Bank. BIFFL maintains transparency in conducting business and protects the confidential information at the same time.

BIFFL regularly reports to Bangladesh Bank following the regulatory requirements and submits the financial reports in due time. Bangladesh Bank and BIFFL RMF recommend action plans to concerned department for mitigating identified risk areas and follow-up the implementation of previous recommendations. Some of the major reports are-

Name of the Report	Frequency
Risk Management Report	Monthly
Loan/Lease Reschedule Statement	Monthly
Interest Rate for Deposit and Lending	Quarterly
Loan/Lease Write off Statement	Quarterly
Sector Wise Loan/Lease	Quarterly
CP Reporting	Quarterly
Loan Lease Classification	Quarterly
Recovery of Loan/Lease/Business Activity	Quarterly
Large Loan Statement	Quarterly
Industrial Loan and Advances	Quarterly
Collateral-Security Database	Quarterly

Statement on Non-Performing Loan (NPL) Management

Management of Non-Performing Loan (NPL)

NPL to total loan is the single most important ratio which should be kept as low as possible in order to maintain sound health of a financial institution. BIFFL follows the following steps that are core building blocks related to the development and implementation of an NPL management strategy:

- Assessing the operating environment, including internal NPL management capabilities, external conditions impacting NPL workout and capital implications.
- Developing the NPL management strategy, including targets in terms of development of operational capabilities (qualitative) and projected NPL reductions (quantitative) over the short, medium and long-term time horizons.
- Implementing the operational plan, including any necessary changes in the organisational structure of the bank.
- Fully embedding NPL management strategy into the management processes of BIFFL, also including regular review and independent monitoring.

Industrial Trend of NPL

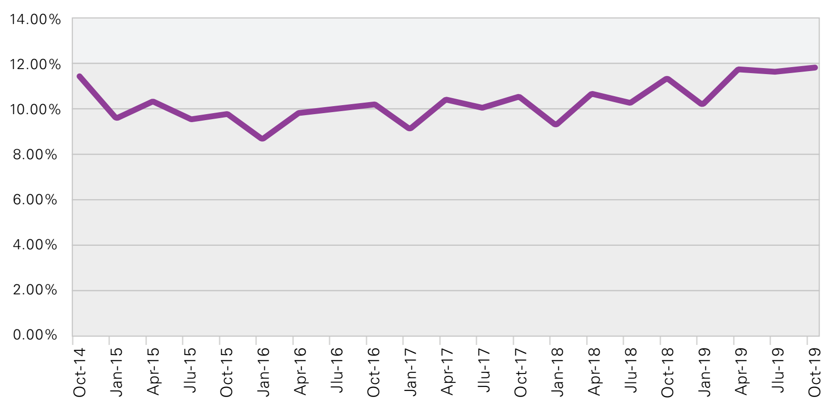
Bangladesh's NPL Ratio stood at 12.0 percent in September 2019, compared with the ratio of 11.7 percent in the previous quarter. The ratio reached an all time high of 28.0 percent in Mar 2003 and a record low of 6.1 percent in December 2011.

The asset of NBFIs increased by 0.9 percent in December 2018. Total asset in December 2018 was BDT85,160 crore and in December 2017 was BDT83,990 crore. At the end of June 2019, total assets of NBFIs increased to BDT87,430 crore.

NBFIs are investing in different sectors of the economy, but their investments are mostly concentrated in industrial sector. Sector wise composition of NBFIs' investment at the end of June 2019 was as follows: industry 45.3 percent, real estate 19.4 percent, margin loan 2.0 percent, trade and commerce 14.5 percent, merchant banking 3.4 percent, agriculture 2.5 percent and remaining 12.9 percent was in other sectors.

In December 2018, all NBFIs' total investment in capital market was BDT1,770 crore compared to BDT2,170 crore in December 2017. As of 30 June

Bangladesh NPL Ratio (Oct 2014-Oct 2019)



2019, NBFIs total investment in capital market stood at BDT2,360 crore which is accounted for 2.7 percent of the total assets of all NBFIs.

Total deposits of the FIs in December 2018 went up to BDT48,010 crore (63.0 percent of total liabilities) from BDT46,800 crore (64.5 percent of total liabilities) in 2017 showing an overall increase of 2.6 percent. At the end of June 2019, total deposit of FIs stood at BDT45,810 crore.

Total liability of the NBFIs increased to BDT76,200 crore in December 2018 from BDT72,600 crore in December 2017 while equity decreased from BDT11,990 crore to BDT11,480 crore during the same period of the previous year showing an overall increase in liability by 5.0 percent and decrease in equity by 2.5 percent. At the end of June 2019, total liability and equity stood at BDT75,180 crore and BDT 12,250 crore respectively.

NPL at BIFFL

BIFFL is engaged in financing Infrastructure Development and tries to lower its NPL ratio as much as possible. In 2019, NPL ratio of BIFFL was only 1.38 percent. Relentless effort of all the BIFFL team members including Credit and Investment Department, Credit Risk Management Department, Credit Administration Department and Special Asset Management Department under close supervision of Chief Executive Officer and effective oversight of the Board of Directors towards keeping NPL at minimum level.

Written Off Loans

In 2019, the total amount of NPL at BIFFL was BDT261,902,796 which was only 1.38 percent of the total loan portfolio. BIFFL hasn't written off any loan so far but BIFFL will write-off loans that consistently remain as bad/loss category.

The guidelines established by Bangladesh Bank for CIB reporting, provisioning and write-off of bad and doubtful debts, and suspension of interest should be followed in all cases. These requirements are the minimum, and BIFFL adopts more stringent provisioning/ write-off policies. Regardless of the length of time, once a facility is past due, provisions is made against the actual and expected losses at the time they are estimated. The approval to take provisions, write-offs or release of provisions/ upgrade of an account is restricted to the Board of Directors based on recommendation from the Recovery Unit (RU).

The RU should determine the Force Sale Value (FSV) for accounts grade 6 or worse. Force Sale Value is generally the amount that is expected to be realized through the liquidation of collateral held as security or through the available operating cash flows of the business, net of any realization costs. Any shortfall of the FSV compared to total facility outstanding is fully provided for once an account is downgraded to grade 7. Where the customer is not cooperative, no value should be assigned to the operating cash flow in determining FSV.

Following formula is applied in determining the required amount of provision:

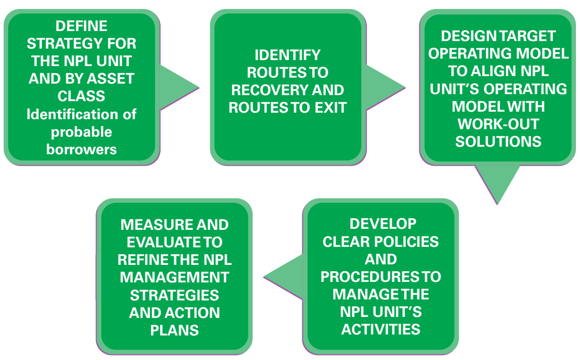
1	Gross Outstanding	XXX
	Less:	
	(i) Cash margin held or Fixed Deposits/SP under lien (as per the eligibility criterion)	(XXX)
	(ii) Interest in Suspense Account	(XXX)
2	Facility Value (For which provision is to be created before considering estimated realizable value of other security/collateral held)	XXX
3	Less: Estimated salvage value of security/collateral held	(XXX)
4	**Net Facility Value**	**XXX**

Our Strategies to Manage NPL

Firm specific variables are more important in explaining NPL than macroeconomic variables. This indicates bad management is responsible for increase in NPL. BIFFL has always engaged its efforts towards reduction and prudent management of NPL through systematic, proactive and focused approach. BIFFL follows these three steps in controlling NPL flow:

Elaborate credit monitoring policies and procedures: BIFFL's NPL management is governed by comprehensive Credit Policy and its application in selection of protential borrowers. Underwriting criteria, models, policies and NPL management procedures are continuously checked and reviewed in comparison with actual performances.

Early alert system: The main goal of early alert system is to identify problematic borrowers for immediate attention and remediation, with the goal of preventing those loans to become NPL. It provides scopes for taking precautions before making any loan a bad loan.



Incentive program for NPL recovery: BIFFL introduces incentive programme to encourage RU to bring down the NPL. The table below shows an indicative incentive plan for RU:

Recovery as a % of Principal plus Interest	Recommended Incentive as % of net recovery amount	
	If CRG 7-8	if written off
76% to 100%	1.00%	2.00%
51% to 75%	0.50%	1.00%
20% to 50%	0.25%	0.50%

Special Asset Management Department

Special Asset Management Department (SAMD) started its activities in 2017 for better functional and continual process of up gradation and to robustly initiate the recovery activities of the company. The whole department is restructured and recognized for ensuring a better recovery. The main job of the department is to reduce and/or adjust NPLs and for better management of classified liabilities adopting advanced, specialized tools and mechanism including initiating legal procedures to arrest deterioration of assets and speed up recovery of written-off investment. The department also processes all the related issues like negotiations for settlement outside of Court, written-off and rescheduling for better result of reducing the classified investments.

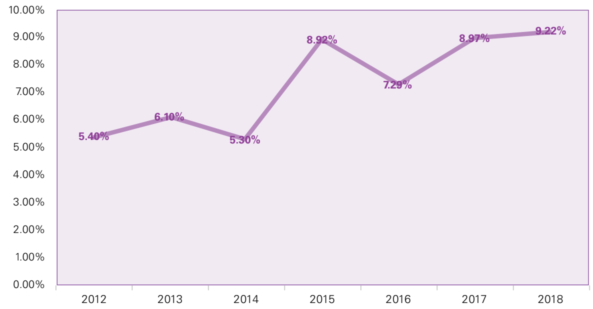
Recovery of Classified and Written Off Loans

Industry Overview and Current Position of BIFFL

Effective flow of investment and savings culture is the precondition of the economic development of any country. As a developing country, Bangladesh faces several obstacles such as increasing trend of NPL as well as underdeveloped capital market which mostly depend on the mobilization of the savings and granting credit facilities to the investors by the commercial banks & FIs. It is known to all that NPL shrinks the profitability of NBFIs. NBFIs do not earn interest income from the classified loans. NPL decreases the loanable fund of the NBFIs and it stops the recycling of lending business. Every NBFI always tries to maintain good quality of the assets but in some cases, it is not possible. There are several reasons for the classification of loan.

Presently, there are 34 NBFIs operating in Bangladesh. Among these, 3 are government owned, 12 are joint ventures with foreign participation and the rest 19 are locally private owned companies. At the end of June 2019, the NPL for NBFIs was 11.9 percent. In the total asset composition of all NBFIs, the concentration of loans, lease and advances was 77.6 percent.

NPL ratio of NBFI (2012-2018)



BIFFL has only 1.38 percent of classified loan at the end of the FY2019. Through the concerted effort of all the team members of BIFFL, no loan has been written off so far and BIFFL is working for complete reduction of classified loans.

Goals regarding NPL Management in 2020

- Monitoring cautiously for minimizing NPL; and
- Improved supervision system for timely repayment and awareness of the clients.

Strategies and Policies in Action

BIFFL successfully kept its NPL to 1.38 percent in 2019 and shows the level of efficiency in portfolio management and successful drive towards reduction and recovery of NPLs and total cash recovery against classified investment to satisfactory level. The department is expected to achieve a better position through concerted efforts in reducing the classified investment in the year 2020. The major strategies and policies are:

- Arrangement of regular meetings with panel lawyers to speed up legal process; and
- Running recovery campaign from time to time.

Strategic Outlook in 2020

- Initiatives will be taken for collecting fund from classified loans;
- Close monitoring of all active loan accounts properly;
- Engagement of separate team for NPL management;
- Emphasize to settle the accounts under litigation outside the court with the help of legal department; and
- More emphasize on primary screening of potential borrowers.

Summit Gazipur

Summit Gazipur Power Limited is a dual fuel Independent Power Producer (IPP) located at Kodda, Gazipur.

Corporate Governance (CG) and Compliance

07

Directors' Report

The Board of Directors of Bangladesh Infrastructure Finance Fund Limited has the honor to present its 9th Annual Report, 2019 along with audited financial statements prepared in compliance with section 184 of the Companies Act, 1994 and regulations of Bangladesh Bank and other regulators applicable. The key financial results of 2019 and other material changes during January 2020 to September 2020 have been presented in the annual report.

Strategic Pillar

The Government of Bangladesh (GoB) has set development goals to transform Bangladesh from low-income economy to a middle-income economy by the end of 2021. The Vision 2021 focuses on a development scenario with higher standard of living of the citizen, better education, social justice, equitable socio-economic environment, social security and sustainable development by ensuring protection of nature along with higher per capita income. Still the country lacks adequate infrastructure in Transport, Power and Energy sector which obstructs the economy from realizing its growth potential. One of the main reasons for this is insufficient investment in infrastructure.

In Bangladesh, about 65 percent of the population are of working age, between 15 and 64. This offers a great demographic dividend. Yet, Bangladesh is unable to exploit the full potential of the demographic dividend as it cannot create adequate number of jobs for the working-age population. It is expected, infrastructure development will contribute a lot in economic growth and employment generation.

Public Private Partnership (PPP) is a priority program of the GoB where BIFFL has been established to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions.

Established in 2011, BIFFL approved 95 projects of BDT7,108.43 crore in different sectors such as Power and Energy, Transport and Communication, Economic Zones, Green and Energy Efficient Projects and Healthcare. It disbursed BDT3,752.57 crore to 70 projects. Also 21 projects are under consideration which might require about BDT4,000.00 crore.

Current World Economy

According to the United Nation's World Economic Situation and prospects as of mid-2020, the world economy is projected to shrink by 3.2 percent in 2020. Under the baseline scenario, GDP growth in developed countries will plunge to -5.0 percent in 2020, while output of developing countries will shrink by 0.7 percent. A prolonged weakness in global economic activity may cause significant setbacks for sustainable development, including the goals to eradicate poverty and create decent jobs for all. At the same time, pervasive inequalities and the deepening climate crisis are fueling growing discontent in many parts of the world.

Despite significant headwinds, East Asia remains the world's fastest growing region and the largest contributor to global growth, according to the Report. In China, GDP growth was projected to moderate gradually from 6.1 percent in 2019 to 6.0 percent in 2020 and 5.9 percent in 2021, supported by accommodative monetary and fiscal policies. However, due to outbreak of COVID-19 China's GDP growth has fallen below 5 percent in 2020 from 6.1 percent in 2019, but it is expected to recover to 6.4 percent in 2021.

Reference:

1. *World Economic Situation and Prospects as of mid-2020, www.un.org.publication.*
2. *OECD Economic Outlook Interim Report Coronavirus: the world economy at risk (March 2020) and the IMF's policy tracking platform Policy Responses to COVID-19 for the key economic responses from governments.*

Economic Growth of Bangladesh

Bangladesh recorded one of the fastest growth rates in the world in the past few years with a stable economic performance that has helped to reduce poverty and social inequalities. With a purchasing power parity adjusted GDP per capita of US$5,028 in 2019, Bangladesh is a lower middle-income country. The economy performed well in 2019, expanding by an impressive 7.8 percent. In Bangladesh, the population has risen at a rate of just 1 percent per year since 2014. This has meant that per capita incomes have grown considerably in recent years. The annual rate of GDP growth is forecast to slow to an average of 7.3 percent between 2020 and 2025. The Center for Economic and Business Research (CEBR) forecasts that over the subsequent nine years, the economy will continue to grow at this impressive rate, which will see Bangladesh climb from 40th place in the World Economic League Task (WELT) to 25th place by 2034.

According to the updated IMF forecasts from 14 April 2020, the post-pandemic global economic recovery and the private consumption boosted by strong remittance flows from the Bangladeshi diaspora around the world are expected to be the key drivers of growth in 2021.

Reference:

1. *Bangladesh: Economic and Political Overview (https://www.nordeatrade.com/dk/explore-new-market/bangladesh/economical-context.)*

Key Economic Challenges

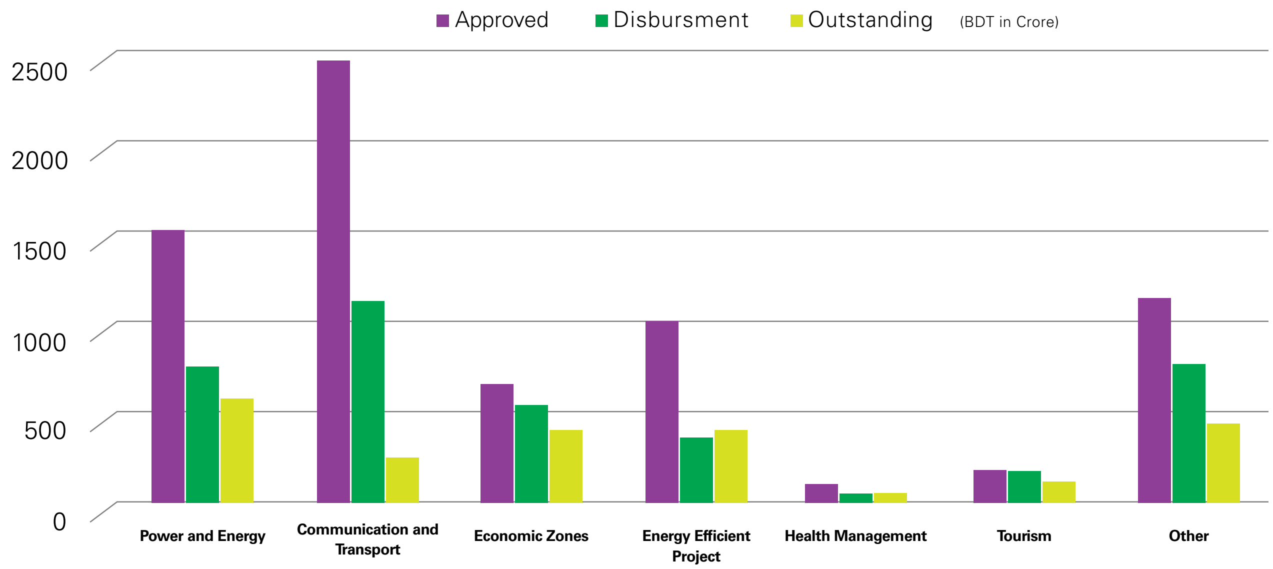
The economy of Bangladesh faces challenges of infrastructure bottlenecks, insufficient energy, mismanagement, systemloss, natural calamities, and scarcity of skilled workforce, that might lead to negative export, sluggish private investment, tepid revenue collection and, most importantly, the mounting non performing loans in the financial sector. Meanwhile the Country's economy is assailed with falling private investments and unemployment.

BIFFL's Performance

As on August 2020, BIFFL approved 95 loan proposals for financing BDT7,108.43 crore in different projects in various sectors and disbursed BDT3,752.57 crore in 70 projects.

Sectoral Exposure

Sectors	As of 31 August 2020 (in BDT Crore)				
	Approved	No. of projects Approved	Disbursement	No. of projects Disbursed	Outstanding
Power and energy	1,550.00	24	791.75	16	600.00
Connectivity	2,505.00	4	1,132.98	3	226.18
Economic Zones	660.00	5	537.06	4	403.92
Environment-friendly and energy-efficient projects	1016.71	36	349.50	24	387.79
Health	80.00	2	20.00	1	26.47
Tourism	150.00	2	150.00	2	90.99
Others	1,146.72	22	771.28	20	422.76
Total	**7,108.43**	**95**	**3,752.57**	**70**	**2,158.12**



Proposals in Pipeline

At present, 21 projects including some PPP projects are under consideration while BIFFL has an opportunity to invest about BDT4,000 crore.

Sources of Fund

The growth of Company's loan portfolio requires alternative sources of fund in the coming years. BIFFL has applied to the Government for additional fund as equity to meet the demand of investible fund. The Finance Division, Ministry of Finance sanctioned BDT500 crore out of which BDT200 crore has already been transferred to BIFFL's account. Besides, BIFFL is currently implementing a number of Multilateral Agency funded projects and is continuing discussion for sourcing additional finance from Development Partners i.e. JICA, ADB, KfW, The World Bank etc.

JICA EE&CPFP

From the Energy Efficiency and Conservation Promotion Financing (EE&CPF) Project under the Loan Agreement No.: BD-P90 included in the 36th Japanese ODA loan package, dated June 2016 between Japan and GoB, a total loan of JPY9,978 million or approximately US$95 million are equally available to both BIFFL and IDCOL. BIFFL has received JPY574 million or approximately US$5.50 million for consultancy services as grant. This service can be used for 6 years. BIFFL will only bear the costs related to Administration, VAT, Income tax etc.

JICA EE&CPFP Phase II

Based on the success of EE&CPF, JICA extended the second phase of the project under the Loan Agreement No.: BD-P109 dated May 2019 included in the 40th ODA Loan Package of Japan Government. Under the second phase, BIFFL received half of the extended fund of JPY20,076 million for on-lending and engaging consultancy service. This amount is almost twice of the initial phase of EE&CPF Project.

JICA FVCIP

The Food Value Chain Improvement Project (FVCIP) is another JICA funded project under the Loan Agreement No.: BD-P115 included in the 41st ODA Loan package of Japan government. BIFFL is the sole implementing agency of the project. This project with an amount of JPY11,218 million aims to improve credit access for agribusiness and food processing industries and enhance the quality and productivity of processed products by providing concessional loans for their facility investment, thereby contributing to improvement of the whole food value chain in Bangladesh. A part of the proceeds will also be used for technical assistance.

The World Bank IPFF-II Project

The loan under Investment Promotion and Financing Facility (IPFF)-II is US$416.70 million, out of which the contribution from IDA (International Development Association) will be US$100 million and SDR (Special Drawing Right) will be US$256.70 million. The remaining US$60 million will be the responsibility of the GoB. BIFFL is one of the Participating Financial Institutions implementing the project having a unique allocation of US$30 million for financing through innovative financial instruments.

ADB PPIDF-3

ADB extended a fund of US$50 million to BIFFL. The Loan Agreement has been signed. A project review and consultation mission from the ADB visited Bangladesh from January 28-29, 2019 to conduct project review on 'Third Public-Private Infrastructure Development Facility (PPIDF-3)'. The loan amount may be raised to US$100 million.

BIFFL has a vision to raise fund from international market and is looking for cooperation and support from globally reputed firms. In this connection, BIFFL signed a Memorandum of Understanding (MoU) with Blue Mount Capital (WA) Pty Ltd., and recently with Cargill Financial Service International Inc. (USA).

Financial Outcome

The company finalized its Annual Accounts/Financial Statements ended on 31-12-2019 and UHY Syful Shamsul Alam & Co., Chartered Accountants, audited the accounts accordingly. In 2019, the profit after tax stood at BDT45.30 crore and shareholders' equity stood at BDT2,377.54 crore. Other key financial information are as follows:

Particulars	2019	2018	Growth/Change
	BDT in crore	BDT in crore	
Balance Sheet Highlights			
Total Assets	3,455.84	3,014.87	14.63%
Total Liabilities	1,078.30	682.62	57.96%
Total Equity	2,377.54	2,332.24	1.94%
Paid-up Capital	2,108.00	2,108.00	-
Total Leases, Loans, and Advances	1,892.23	1,697.77	11.45%
Total Investment	325.59	156.34	108.25%
Operational Performance			
Total Revenue	**220.14**	**203.59**	**8.13%**
Interest Expenses	9.63	3.24	197.26%
Operating Income less Interest Expenses	**210.5**	**200.35**	**5.07%**
Operating Expenses	15.93	15.57	2.29%
Profit Before Provision	**194.57**	**184.78**	**5.30%**
Total Provision for 2019	73.82	24.92	196.22%
Profit Before Tax	**120.75**	**159.85**	**-24.46%**
Provision for Income Tax	75.45	77.02	-2.04%
Net Profit After Tax & Provision	**45.30**	**82.83**	**-45.30%**
Other Key Ratios			
Earnings Per Share (EPS) per share @BDT100	2.15	3.93	-45.29%
Net Assets Value (NAV) per share @BDT100	112.79	110.64	1.94%
Net Operating Cash Flow Per Share (NOCFPS) @ BDT100	9.52	(11.90)	180%

Dividend

In 2019, BIFFL's Board in its 89th meeting held on 08 September 2020 recommended dividend of BDT18,11,96,112 for the year 2019 to be approved in the 9th Annual General Meeting on 30 September 2020. Up to 2018, BIFFL paid BDT5.60 billion (BDT560 crore) to the shareholders as dividend since its inception.

BIFFL's contribution to the Government Exchequer/ National Treasury

For the Income Year 2019-20, the Income Tax of BIFFLs stands at BDT76,04,35,907 and by 15 September 2020 the company deposited the total amount of tax in favor of The Deputy Commissioner of Taxes, TCEA Wing, LTU, Dhaka.

Contribution to the Government Exchequer (BDT in crore)

Up to September 2020 from inception	Income Tax and VAT	BDT571.74
	Dividend	BDT560.00
	Total	**BDT1,131.74**

BIFFL's contribution in achieving SDGs

The 2030 Agenda comes at a time when Bangladesh has already kicked off its journey towards an upper-middle income country by 2030 and a developed country by 2041. Bangladesh has incorporated priorities of Sustainable Development Goals (SDGs) in all its development policies. In this connection BIFFL is working as a unique organization for infrastructural development. Meanwhile, it has approved 59 infrastructure projects in different sectors, through partnership between the private and public sector which will have a direct impact on poverty eradication, gender equality and sustainable development of the country. Besides, it contributes to promotion of Energy Efficiency and Conservation through financing 36 energy efficient projects of BDT1,016.71 crore which has a great impact on the environment and climate.

BIFFL has been working with different Multilateral Development Partners for capacity development (Technical Assistance) for energy efficiency and conservation promotion, infrastructure development and food value chain improvement projects which reflect on achievement of SDG-11.

Human Resources

Human Resource is the most vital component of an organization. BIFFL recruits and engages talented officials and proactive staff to keep the organization growing towards its purpose. Currently, the number of employees is 65, as follows:

Organizational Affairs		No. of Employee
Functional Management		
Chief Executive Officer		01
Governance and Compliance Management		
	Governance and Corporate Affairs Department	02
	Internal Control and Compliance Department	01
Human Resources		
	Officers	07
	Support Staff	21
Accounts and Finance Department		03
Treasury Management Department		04
Information Technology Department		01
Credit and Investment		
	Chief Operating Officer	01
	Credit and Investment Department	06
	Credit Risk Management Department	05
	Credit Administration Department	05
	Special Assets Management Department	08
	Total	**65**

Currently, the gender ratio of Male and Female employees in BIFFL is 4:1.

The company has a plan to increase its staff strength matching company's objective and investment plan. BIFFL's Board and Management also emphasizes on continuous development of professional skills, knowledge and expertise of employees through training, exposure and exchange programs.

The Board in its 84th meeting held on 26-12-2019 considered the necessity of strengthening the governance structure of BIFFL for ensuring practice of rules, regulations and compliance as well as transparency and accountability of the organization. In line with this, the Board advised to restructure the organogram of BIFFL. Subsequently, the Board in its 86th meeting held on 27-02-2020 instructed to restructure the organogram for ensuring good governance and suitable service line of the officers with optimum career growth up to the age of retirement.

Shareholding Structure

Shareholders	Number of Shares								
	2011	2012	2013	2014	2015	2016	2017	2018	2019
Finance Division, MoF	159,999,984	159,999,984	159,999,984	159,999,984	193,999,984	200,999,984	205,899,984	210,799,984	210,799,984
Secretary Finance Division, MoF	10	10	10	10	10	10	9	9	9
Secretary Bridges Division, MoRT&B	1	1	1	1	1	1	1	1	1
Secretary Economic Relations Division, MoF	0	0	0	0	0	0	1	1	1
Secretary Energy & Mineral Resource Division, MoPE&MR	1	1	1	1	1	1	1	1	1
Secretary Power Division, MoPE&MR	1	1	1	1	1	1	1	1	1
Secretary Road Transport and Highways Division, MoRT&B	1	1	1	1	1	1	1	1	1
Secretary Prime Minister's Office	1	1	1	1	1	1	1	1	1
Additional Secretary Finance Division, MoF	1	1	1	1	1	1	1	1	1
Total	**160,000,000**	**160,000,000**	**160,000,000**	**160,000,000**	**194,000,000**	**201,000,000**	**205,900,000**	**210,800,000**	**210,800,000**

Board of Directors

The Board of Directors of BIFFL, comprising eight Government officials from different Ministries and the CEO as an Ex-officio member of the Board, makes the policy and guidelines, approves of the loan/financing and business management functions of the organization. The CEO conducts the day to day business affairs of the company under the supervision of the Board.

Existing Board of Directors

Sl.	Name	Designation	Appointment
01.	Mr. Abdur Rouf Talukder	Chairman	8-Aug-18
02.	Mr. Md. Anisur Rahman	Director	27-Feb-20
03.	Mr. Md. Nazrul Islam	Director	7-Nov-17
04.	Mr. Mohammed Belayet Hossain	Director	20-Nov-19
05.	Dr. Sultan Ahmed	Director	27-Feb-20
06.	Mr. M. Tofazzel Hossain Miah	Director	27-Feb-20
07.	Ms. Fatima Yasmin	Director	04-Jun-20
08.	Mr. Md. Ekhlasur Rahman	Director	6-Feb-18
09.	Mr. S. M. Anisuzzaman	CEO and Ex-officio Member of the Board	04-May-20

Change of Directors in 2019-2020 (as on August 2020)

*In order of the date of joining

Sl.	Name	Designation	Appointment	Ceased
01.	Khandker Anwarul Islam	Director	15-Dec-11	30-Oct-19
02.	Dr. Ahmad Kaikaus	Director	20-Feb-17	23-Jan-20
03.	Mr. Md. Nazrul Islam	Director	7-Nov-17	Continuing...
04.	Mr. Sajjadul Hassan	Director	6-Feb-18	23-Jan-20
05.	Mr. Md. Ekhlasur Rahman	Director	6-Feb-18	Continuing...
06.	Mr. Abu Hena Md. Rahmatul Muneem	Director	28-May-18	23-Jan-20
07.	Mr. Abdur Rouf Talukder	Chairman	8-Aug-18	Continuing...
08.	Mr. Monowar Ahmed	Director	23-Dec-18	27-Feb-20
09 .	Mr. Mohammed Belayet Hossain	Director	20-Nov-19	Continuing...
10.	Mr. Md. Anisur Rahman	Director	27-Feb-20	Continuing...
11.	Dr. Sultan Ahmed	Director	27-Feb-20	Continuing...
12.	Mr. M. Tofazzel Hossain Miah	Director	27-Feb-20	Continuing...
13.	Ms. Fatima Yasmin	Director	04-Jun-20	Continuing...

Board Meeting and Attendance

In 2019, 13 Board Meetings were held. The attendances of the meeting from January 2019 to 9 September 2020 are as follows:

Directors	No. of Meeting	No. of attendance	% of attendance
Mr. Abdur Rouf Talukder	18	18	100%
Khandker Anwarul Islam	11	8	73%
Dr. Ahmad Kaikaus	14	8	57%
Abu Hena Md Rahmatul Muneem	14	8	57%
Mr. Sajjadul Hassan	14	11	79%
Mr. Md. Anisur Rahman	4	3	75%
Mr. Md. Nazrul Islam	18	7	39%
Mr. Monowar Ahmed	15	10	67%
Mr. Mohammed Belayet Hossain	7	7	100%
Dr. Sultan Ahmed	4	4	100%
Mr. M. Tofazzel Hossain Miah	4	4	100%
Ms. Fatima Yasmin	3	3	100%
Mr. Md. Ekhlasur Rahman	18	18	100%

Directors Rotation in the 9th Annual General Meeting

Pursuant to provisions stipulated in the Companies Act, 1994 (1^{st} schedule, clause 79 & 80), one-third (1/3) of Directors, senior most in order of appointment/re-appointment in BIFFL, will retire by rotation in the 9^{th} Annual General Meeting. The retiring Directors are eligible to be re-elected (1^{st} schedule, clause 81). The retiring Directors are as follows:

Name of Director	Designation	Appointment/ Re-election	Remarks
Mr. Abdur Rouf Talukder	Chairman	08 August 2018	First appointment
Mr. Md. Nazrul Islam	Director	20 March 2019 (Re-elected in 8^{th} AGM)	First appointment on 07 November 2017
Mr. Md. Ekhlasur Rahman	Director	20 March 2019 (Re-elected in 8^{th} AGM)	First appointment on 06 February 2018

Board Committees

The Board of Directors constituted two Board committees named the Executive Committee and Audit Committee consisting of Directors vide Board meeting dated 19-08-2020. Recently, the committees were reconstructed in the 86^{th} meeting held on 27-02-2020.

During the period between 01-01-2019 to 07-09-2020, 14 meetings of the Executive Committee and 04 meetings of the Audit Committee were held.

Recruitment of the Chief Executive Officer

The former Chief Executive Officer of BIFFL, Mr. S. M. Formanul Islam resigned on 28-07-2019. Subsequently, BIFFL's Board in its 81^{st} meeting held on 29-08-2019 assigned the Executive Committee to start the recruitment process. BIFFL's Board conducted a written test followed by an interview and finally selected Mr. S. M. Anisuzzaman as CEO. He was appointed for 3 years after approval of Bangladesh Bank. Afterwards, Mr. S. M. Anisuzzaman joined BIFFL as CEO on 4 May 2020.

Audit of the Financial Statements for FY2019

The auditor, UHY Syful Shamsul Alam & Co. Chartered Accountants, audited the financial statements and transaction papers for the FY2019 and submitted the Audited Financial Statement. The financial statements of BIFFL provided a true and fair view of the Balance Sheet as on 31 December 2019, and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and complying with the Companies Act, 1994, the Financial Institution Act,1993, the rules and regulations of Bangladesh Bank, the Securities and Exchange Rules,1987 and other applicable laws and regulations. After conducting the audit for the FY2019, the auditor arrived at an unqualified opinion on the Financial Statements of the company.

Appointment of Auditors

Appointed by the Shareholders of BIFFL, UHY Syful Shamsul Alam & Co. (SSA&C) conducted Audit of BIFFL for the last 3 years from FY2017 to FY2019. According to Bangladesh Bank (DFIM) Circular No-04, dated 30-04-2015, no audit firm can be appointed as Auditor after conducting audit for more than three consecutive years.

In compliance with the directive, a new audit firm may be appointed in the upcoming Annual General Meeting. In this connection, Request for Quotations (RFQ) was circulated through 2 prominent national dailies to initiate the process of appointment. Subsequently, 13 audit firms submitted their expression of interest.

BIFFL's Audit Committee in its 19th meeting examined the proposals based on market reputation of the applicant firms, and recommended ACNABIN (Chartered Accountants) for appointment as an Auditor of BIFFL for the FY2020. Subsequently, the Board in its 89th meeting held on 08-09-2020 recommended to approve the appointment of ACNABIN (Chartered Accountants) for the FY2020.

Corporate Governance

BIFFL has been following corporate governance principles in its operations. Besides, the Board emphasizes on transparency and accountability. A separate detailed report on corporate governance is included as part of the annual report.

Regulatory Compliance

BIFFL has complied with the provision of the Companies Act,1994, Financial Institutions Act, 1993 and all rules and regulations of the regulators such as Registrar of Joint Stock Companies and Firms (RJSC), Bangladesh Bank, Bangladesh Securities and Exchange Commission (BSEC) etc. during the FY2019. Under section 184 of the Companies Act, 1994 and BSEC Corporate Governance Guidelines, Condition-1.5, we report that:

01. The Financial Statements prepared by the Management of the company presents the company's state of affairs, cash flows and changes in equity;
02. Proper books of accounts of the company are maintained;
03. Appropriate accounting policies have been consistently applied in preparation of the financial statements and the accounting estimates are based on the reasonable and prudent judgment;
04. International Accounting Standards (IASs), as applicable in Bangladesh, has been followed in preparation of the Financial Statements and any departure there-from has been adequately disclosed;
05. The system of financial control is sound in design and has been effectively implemented and monitored;

06. There is no significant doubt upon the company's ability to continue as a Going Concern;

07. The key operating and financial data for the last 5-year at a glance is given;

08. The Board has recommended dividend for the year, 2019;

09. During the year of 2019, 13 meetings were held, and the Directors have served the Board with their position;

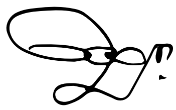
10. The pattern of shareholding of BIFFL is fully government owned as on 31 December 2019.

Acknowledgement

The Board of Directors of BIFFL takes this opportunity to express its heartiest appreciation and gratitude to the valued shareholders, borrowers and other stakeholders including the regulatory bodies, auditors, bankers, employees and business associates for their continued support and cooperation towards the success of the company. The Board also thanks Bangladesh Bank, Bangladesh Securities and Exchange Commission, Registrar of Joint Stock Companies and Firms, National Board of Revenue and other regulatory bodies for their valuable guidance and advice extended to the company from time to time. The Board also acknowledges UHY Syful Shamsul Alam & Co., the Auditors of the company for their efforts.

The Board believes that, BIFFL will be able to play a significant role in the national economy by contributing to sustainable infrastructure development.

For and on behalf of the Board of Directors,



Abdur Rouf Talukder
Chairman, BIFFL

Statement on Corporate Governance

Corporate governance is the practice through which a company is controlled and managed. This is done through procedures aligned with recognized standards that uphold the interests of shareholders and other stakeholders. It ensures transparency, accountability and fairness in the corporate sector and safeguards the interest of all stakeholders.

In pursuit of its objectives, BIFFL is committed to establish its corporate governance framework by adopting, reviewing and complying with all related requirements.

In line with this, Board reviews and improves the systems and policies from time to time to ensure the best practices in the industry.

BIFFL has adopted the guidelines of corporate governance issued by the Bangladesh Securities and Exchange Commission (BSEC) and the Bangladesh Bank. The extent of compliance by BIFFL for the year ended 31 December 2019 with the guidelines are given in:

Annexure-I

The code of the best practice on corporate governance issued by the Bangladesh Securities and Exchange Commission (BSEC) vide notification no. BSEC / CMRRCD/2006-158 / 207 / Admin / 80, dated 3 June 2018.

Annexure-II

BIFFL's level of compliance with the requirements of the Bangladesh Bank circular DFIM Circular no. 07, dated 25 September 2007.

Corporate Governance Framework

Good corporate governance practices are not only confined to practice but also lies in every function of the organization. BIFFL operates within a comprehensive governance framework, which is outlined below:

- BIFFL's Board comprises of 8 senior Government officials from different Ministries and the CEO as an Ex-officio member of the Board. The appointment of Independent Director(s) is in the process;
- Board Committees i.e. Executive Committee and Audit Committee comprising of Directors are working as per terms of reference prescribed by Bangladesh bank;
- Formation of Risk Management Forum and Risk Analysis Unit;
- Formation of different units to strengthen the process of business operation through segregation of duties;
- Adoption of the Finance and Accounts Manual and Treasury Policy;
- Adoption of the Human Resource Policy;
- Revision of the Credit Policy;
- Approval of Environmental and Social Monitoring Framework following guidelines of Bangladesh Bank;
- Approval of ICT Policy;
- Approval of ALM Policy;
- Approval of Anti-Money Laundering Policy;
- Approval of Green Banking Policy and Green

Office Guide;

- Approval of ICC Policy and ICC Systems Guidelines- Policy and Procedure;
- Strengthening the process of identification, recording and disclosure of related party transactions; and
- Expansion of geographical presence.

(i) Board and Board Committees

Board of Directors

The Board of Directors is the highest authority of BIFFL which is collectively responsible for setting out the company's strategic aims, providing the necessary leadership to implement such aims, supervising the management and reporting to shareholders on their stewardship. The Board is also responsible to the shareholders for the overall management and performance of the company.

In 2019, a total of 13 Board meetings were held with more than 80% attendance of the members.

Executive Committee (EC)

The EC consists of 4 members. Matters related to ordinary business operations of the company and those the Board authorizes from time to time are vested on the EC. The Committee ensures proper and timely implementation of polices and guidelines through the management. Company Secretary acts as the secretary of EC.

In 2019, a total of 12 EC meetings were held with more than 90% attendance of the members.

Audit Committee (AC)

The AC consists of 4 members and is responsible to examine any matter relating to the financial affairs of the company and to review all audit and inspection reports, internal control systems and procedures, accounting policies and adherence to compliance requirements, among others. The Committee also performs an annual assessment of the effectiveness of the company's internal audit functions and ensures that internal audit has adequate resources to fulfill its mandate. Company Secretary acts as the secretary of AC.

In 2019, a total of 3 meetings of the AC were held with more than 90% presence of the members.

(ii) Management Committees

In compliance with the regulatory requirements and to facilitate the functions of the organization, BIFFL formed some committees and units. The existing committees and units are as follows:

Management Committee (MANCOM)

The MANCOM is responsible for all aspects of day to day operations in line with the various policies and guidelines adopted by the Board. The committee is also responsible to implement the decisions made by the Board. The committee comprises of:

01	**Mr. S. M. Anisuzzaman** Chief Executive Officer	Chairman
02	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Member
03	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Member Secretary
04	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
05	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
06	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
07	**Ms. Rabeya Rahman** In-charge, Treasury Department	Member
08	**Mr. Muhammed Shahjahan** In-charge, HR and Administration Department	Member
09	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member
10	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member

The Committee sits at least once each month to make decisions and supervise the regular functions and operations of the organization. In 2019, a total of 16 meetings were held with the presence of most of the members.

Credit Committee (CC)

To maintain proper discipline in the loan/investment approval process and to ensure better assessment of quality of credit/investment portfolio of BIFFL, CC is formed comprising following officials:

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chairman
02	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Member
03	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
04	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
05	**Ms. Rabeya Rahman** In-charge, Treasury Department	Member
06	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member

The Credit Committee:

i. Reviews the risks and upcoming challenges (technical, economic, social & environmental, and/or legislative) that may adversely affect the proposed project.

ii. Review the compliance of applicable policies (internal and external) and rules & regulations/circulars/directives/guidelines of the regulators in the project appraisal process.

iii. Considers the observation and recommendation of the Credit Risk Management Department (CRMD) on the proposal and review the mitigation scopes of the observations.

iv. Places specific recommendation based on the information, analysis and appraisal report placed by the Credit & Investment Department and the viability, risks & challenges of the project sorted out by the CRMD including the mitigation scope to overcome the risks and challenges.

Asset Liability Management Committee (ALCO)

In order to manage the balance sheet risk specially for mitigating liquidity and interest rate risks and to assist the MANCOM in decision-making process, BIFFL management formed an ALCO. The committee is also responsible for creating an optimal structure of the company's balance sheet to provide the maximum profitability, limiting the possible risk level, monitoring the capital adequacy and risk diversification. The ALCO convenes periodical meeting and regularly reviews the decisions of the meeting. The members of the ALCO are:

01	**Mr. S. M. Anisuzzaman** Chief Executive Officer	Chairman
02	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Member
03	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Member
04	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
05	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
06	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
07	**Ms. Rabeya Rahman** In-charge, Treasury Department	Member Secretary
08	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member

09	**Mr. Asif Ahmed Khan** Senior Officer, Technical	Member
10	**Mr. Khandokar Riazul Hoque** Mgt. Trainee Officer, Credit Administration Department	Member

Risk Management Forum (RMF)

The RMF was formed in accordance with the Bangladesh Bank's DFIM Circular no. 01 dated 07 April 2013 to introduce proactive risk management procedures in line with the international best practices. The RMF:

- Reviews management's plans for mitigation of the material risks faced by BIFFL, evaluating their potential impact and implementing appropriate strategies to manage those risks;
- Promotes awareness of a risk-based culture and achievement of a balance between risk minimization and reward for mitigation of risks;
- Peviews the sufficiency of personnel, systems, procedures and other risk management issues;
- Reviews and assess the integrity and adequacy of the risk management function, including process and organizational structure.

The forum consists of the following members:

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chief Risk Officer
02	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Member
03	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
04	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
05	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
06	**Ms. Rabeya Rahman** In-charge, Treasury Department	Member
07	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member
08	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member
09	**Mr. Asif Ahmed Khan** Senior Officer, Technical	Member
10	**Ms. Mehnaz Hossain** Senior Officer, Credit Administration Department	Member Secretary
11	**Mr. Khandokar Riazul Hoque** Mgt. Trainee Officer, Credit Administration Department	Member
12	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Risk Analysis Unit (RAU)

The RAU is formed to act as the secretariat of the Risk Management Forum with the responsibility for identifying and analyzing various types of risks appropriately and in a timely manner. The RAU comprises:

01	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Unit Head
02	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
03	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member
04	**Ms. Mehnaz Hossain** Senior Officer, Credit Administration Department	Member Secretary
05	**Mr. Md. Shahalam Khan** Mgt. Trainee Officer, Credit and Investment Department	Member
06	**Mr. Khandokar Riazul Hoque** Mgt. Trainee Officer, Credit Administration Department	Member

07	**Mr. Amir Hossain Nadim** Mgt. Trainee Officer, Credit Risk Management Department	Member

Central Compliance Unit (CCU)

Pursuant to the directions and guidelines of the "Guidance Notes on Prevention of Money Laundering and Terrorist Financing" issued by Bangladesh Financial Intelligence Unit, Bangladesh Bank, BIFFL formed the CCU. The unit is responsible to monitor, supervise and follow up the entire compliance issues of the organizations including the compliance with Anti-Money Laundering (AML) and Combating Financing of Terrorism (CFT) under the policy on AML, as approved by the Board. The CCU comprises:

01	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Chief Anti Money Laundering Compliance Officer
02	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
03	**Ms. Rabeya Rahman** In-charge, Treasury Department	Member
04	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member
05	**Ms. Mehnaz Hossain** Senior Officer, Credit Administration Department	Deputy CAMLCO and Member Secretary
06	**Mr. Khandokar Riazul Hoque** Mgt. Trainee Officer, Credit Administration Department	Member
07	**Mr. Amir Hossain Nadim** Mgt. Trainee Officer, Credit Risk Management Department	Member
08	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Integrity and Ethics Committee

BIFFL has formed an Integrity and Ethics Committee as per the directions and guidelines of Bangladesh Bank to abide by the code of integrity and good governance in line with National Integrity Strategy of Bangladesh. The committee is responsible for development of the integrity and ethical standard among the employees of the organization. The committee comprises:

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chairman
02	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Focal Point
03	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
04	**Mr. Muhammed Shahjahan** In-charge, HR and Administration Department	Member
05	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member
06	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Sustainable Finance Committee

Pursuant to the directions of SFD Circular no. 02, dated 01 December 2016 issued by Bangladesh Bank, BIFFL formed the Sustainable Finance Committee. The committee is responsible for supervising the activities of Sustainable Finance Unit of BIFFL. The committee formed as follows:

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chairman
02	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Member
03	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member Secretary

04	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
05	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member
06	**Mr. Asif Ahmed Khan** Senior Officer, Technical	Member
07	**Mr. Amir Hossain Nadim** Mgt. Trainee Officer, Credit Risk Management Department	Member
08	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Sustainable Finance Unit (SFU)

01	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Unit Head
02	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
03	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member
04	**Mr. Molla Karimul Islam** Senior Officer, Credit Risk Management Department	Focal Point Official
05	**Ms. Mehnaz Hossain** Senior Officer, Credit Administration Department	Member
06	**Mr. Niaz Morshed** Mgt. Trainee Officer, Credit and Investment Department	Member
07	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

ICT Steering Committee

Pursuant to the directions of Guidelines on ICT Security for Banks and Non-Bank Financial Institutions, dated May 2015 issued by Bangladesh Bank, BIFFL formed ICT Steering Committee as follows:

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chairman
02	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
03	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
04	**Mr. Muhammed Shahjahan** In-charge, HR and Administration Department	Member Secretary
05	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member
06	**Mr. Asif Ahmed Khan** Senior Officer, Technical	Member
07	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

ICT Security Committee

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chairman
02	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
03	**Mr. Sheikh Anower Sadat** Head of Credit and Investment Department	Member
04	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
05	**Mr. Asif Ahmed Khan** Senior Officer, Technical	Member
06	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Customer Service and Complaints Management Cell

01	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Head
02	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
03	**Mr. Muhammed Shahjahan** In-charge, HR and Administration Department	Member Secretary
04	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member
05	**Mr. Mokabbir Sarkar** Senior Officer, Credit Administration Department	Member
06	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Environmental and Social Unit

01	**Mr. Molla Karimul Islam** Senior Officer, Credit Risk Management Department	Head
02	**Ms. Adeba Ebnat** Senior Asst. Officer, Credit Risk Management Department	Member

Procurement Committee

01	**Mr. Mohammad Sagir Hossain Khan** Chief Operating Officer	Chairman
02	**Mr. Mohammad Monirul Islam Khan FCS** Company Secretary	Member
03	**Mr. Md. Tanvir Warsi** Head of Credit Risk Management Department	Member
04	**Mr. Sujit Basak** In-charge, Internal Control and Compliance Department	Member
05	**Mr. Muhammed Shahjahan** In-charge, HR and Administration Department	Member
06	**Mr. Salah Uddin Kader Chy** In-charge, Accounts & Finance Department	Member
07	**Mr. Asif Ahmed Khan** Senior Officer, Technical	Member
08	**Mr. Riyad Hasan** In-charge, Procurement Unit	Member Secretary
09	**Mr. Refat Muntaquine** In-Charge, IT & MISD	Member

Annexure-I

Corporate Governance Compliance Report on BSEC's Notification

Status of compliance with the conditions imposed by the Securities and Exchange Commission's notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 3 June 2018 issued under section 2CC of the Securities and Exchange Ordinance 1969. The status report on compliance with those conditions is furnished below:

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1	**Board of Directors**			
1.1	Size of the Board of Directors:	√		
1.2	Independent Directors:			Appointment of Independent Director is under process
1.2 (a)	At least one fifth (1/5) of the total number of directors	-	-	"
1.2 (b) (i)	Does not hold any share or holds less than 1% share of the total paid-up shares	-	-	"
1.2 (b) (ii)	Not connected with any sponsor/director/ shareholder who holds 1% or more shares of the total paid-up shares on the basis of family relationship	-	-	"
1.2 (b) (iii)	Not been an executive of the company in immediately preceding 2 (two) financial years	-	-	"
1.2 (b) (iv)	Does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary/associated companies	-	-	"
1.2 (b) (v)	Not a member, director or officer of any stock exchange	-	-	"
1.2 (b) (vi)	Not a shareholder, director or officer of any member of stock exchange or an intermediary of the capital market	-	-	"
1.2 (b) (vii)	Not a partner or an executive or was not a partner or an executive during the preceding 3 (three) years of any statutory audit firm	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.2 (b) (viii)	Not be an independent director in more than 5 (five) listed companies	-	-	"
1.2 (b) (ix)	Not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan to a bank or a NBFI	-	-	"
1.2 (b) (x)	Not been convicted for a criminal offence involving moral turpitude	-	-	"
1.2 (c)	Appointed by the Board and approved by the shareholders in the AGM	-	-	"
1.2 (d)	Not remain vacant for more than 90 (ninety) days	-	-	"
1.2 (e)	Tenure of office of an independent director shall be for a period of 3 (three) years, which may be extended for 1 (one) term only	-	-	"
1.3	Qualification of Independent Directors:			Not applicable
1.3 (a)	Knowledge of Independent Directors	-	-	"
1.3 (b)	Qualifications of Independent Director:			
1.3 (b) (i)	Who is or was a promoter or Director of an unlisted company or any listed company or a member of any national or international chamber of commerce or business association	-	-	"
1.3 (b) (ii)	Who is or was a top level executive not lower than CEO or MD or DMD or CFO or Head of F&A or CS or Head of IAC or Head of Legal of an unlisted company	-	-	"
1.3 (b) (iii)	Former official of govt. or statutory or autonomous or regulatory body in the position not below 5th Grade of national pay scale having at least educational background of bachelor degree in Economics or Commerce or Business or Law	-	-	"
1.3 (b) (iv)	University teacher who has educational background in Economics or Commerce or Business Studies or Law	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.3 (b) (v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a CA or a CMA or a CFA or a CCA or CPA or CMA or CS or equivalent qualification	-	-	"
1.3 (c)	Shall have at least 10 (ten) years of experience in any field mentioned in clause (b)	-	-	"
1.3 (d)	The qualifications or experiences in clause (b) may be relaxed subject to prior approval of the commission	-	-	"
1.4	Quality of Chairperson of the Board of Directors and Managing Director or CEO:			
1.4 (a)	The position of Chairperson of the Board of Directors and the MD or CEO of the company shall be filled by different individuals	√		
1.4 (b)	The MD or CEO of a listed company shall not hold the same position in another listed company	√		
1.4 (c)	The Chairperson of the Board shall be elected from among non-executive directors of the company	√		
1.4 (d)	The roles and responsibilities of the Chairperson and MD or CEO shall be clearly defined by the Board	√		
1.4 (e)	In the absence of Chairman, the remaining members may select one of themselves from non-executive directors as Chairperson for the particular Board meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	√		
1.5	The Directors Report to Shareholders:			
1.5 (i)	Industry outlook and possible future developments in the industry	√		
1.5 (ii)	Segment-wise or product-wise performance	√		
1.5 (iii)	Risks and concerns	√		
1.5 (iv)	Discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin	-	-	Not applicable

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.5 (v)	Discussion on continuity of any extra-ordinary gain or loss	√		
1.5 (vi)	Discussion on related party transactions along with a statement	√		
1.5 (vii)	Utilization of proceeds from public issues, rights issues and/or through any others	-	-	Not applicable
1.5 (viii)	Explanation if the financial results deteriorate after the company goes for IPO, RPO, Rights Offer, Direct Listing	-	-	Not applicable
1.5 (ix)	Explanation on any significant variance occurs between Quarterly financial performance and Annual Financial Statements	-	-	No such event occurred
1.5 (x)	Remuneration to directors including independent directors	√		
1.5 (xi)	Fairness of Financial Statements	√		
1.5 (xii)	Proper books of accounts maintained	√		
1.5 (xiii)	Application of appropriate accounting policies and estimates	√		
1.5 (xiv)	Followed IAS/BAS/IFRS and BFRS in preparation financial statements	√		
1.5 (xv)	The system of internal control sound in design & effectively implemented & monitored	√		
1.5 (xvi)	Minority shareholders have been protected from abusive actions	√		
1.5 (xvii)	No significant doubt upon its ability to continue as a going concern	√		
1.5(xviii)	Reporting of significant deviations from the last year's in operating results	√		
1.5 (xix)	Key operating and financial data of at least preceding 5 (five) years	√		
1.5 (xx)	Reasons of not declared dividend	√		
1.5 (xxi)	Statement that no bonus share or stock dividend declared as interim dividend	-	-	No such event occurred
1.5 (xxii)	Total number of board meeting held & attendance reporting	√		
1.5 (xxiii) (a)	Parent/Subsidiary/Associated Companies and other related parties	-	-	No such relationship

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.5 (xxiii) (b)	Directors, CEO, CS, CFO, HIA and their spouses and minor children	√		
1.5 (xxiii) (c)	Executives	√		
1.5 (xxiii) (d)	10% or more voting interest	-	-	Not applicable
1.5 (xxiv) (a)	Brief resume of the Director	√		
1.5 (xxiv) (b)	His/her expertise in functional areas	√		
1.5 (xxiv) (c)	Companies in which the person holds the directorship and the membership of committees of the Board	√		
1.5 (xxv)	Management's discussion and analysis signed by CEO or MD on company's position and operations	√		
1.5 (xxv) (a)	Accounting policies and estimation	√		
1.5 (xxv) (b)	Changes in accounting policies and estimation, if any	√		
1.5 (xxv) (c)	Comparative analysis	√		
1.5 (xxv) (d)	Compare financial performance and position with peer industry	√		
1.5 (xxv) (e)	Explain the financial and economic scenario	√		
1.5 (xxv) (f)	Risks and concern to the financial statement and the mitigation plan	√		
1.5 (xxv) (g)	Future plan or projection or forecast for company's operation, performance and financial position	√		
1.5 (xxvi)	Certification by the CEO and the CFO to the Board under condition no. 3(3)	√		
1.5 (xxvii)	The report and certificate for compliance of conditions of this Code as required under condition no. 9	√		
1.6	Meeting of the Board of Directors: Conduct its Board meetings and records the minutes of the meetings	√		
1.7	Code of Conduct for the Chairperson, other Board members and CEO:			
1.7 (a)	Lay down a code of conduct, based on the recommendation of the NRC at condition no. 6	√		BIFFL adopted code of conduct as circulated by BB

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
1.7 (b)	The Code of Conduct shall be posted on the website	√		
2	**Governance of Board of Directors of Subsidiary Company**			BIFFL has no subsidiary
2 (a)	Composition of the Board of Directors	-	-	"
2 (b)	At least 1 (one) independent director to the subsidiary company	-	-	"
2 (c)	Submission of minutes to the holding company	-	-	"
2 (d)	Review of minutes by the holding company	-	-	"
2 (e)	Review of financial statement by the holding company	-	-	"
3	**Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HOIC) and Company Secretary (CS)**			
3.1	Appointment:			
3.1 (a)	Board shall appointment MD or CEO, CS, CFO, and HIAC	√		
3.1 (b)	Position of MD or CEO, CS, CFO, and HIAC shall be filled by different individuals	√		
3.1 (c)	MD or CEO, CS, CFO, and HIAC shall not hold any executive position in any other company	√		
3.1 (d)	Board shall clearly define roles, responsibilities and duties of CS, CFO, and HIAC shall be filled by different individuals	√		
3.1 (e)	MD or CEO, CS, CFO, and HIAC shall not be removed from their position without approval of the Board	√		
3.2	Requirement to attend Board of Director's Meetings: The MD or CEO, CS, CFO, and HIAC shall attend the meetings of the Board	√		
3.3	Duties of Managing Director (MD) or Chief Executive Director (CEO) and Chief Financial Officer (CFO):			

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
3.3 (a)	MD or CEO and CFO shall certify to the Board that they have reviewed financial statements	√		
3.3 (a) (i)	The statements do not contain any materially untrue statement that might be misleading	√		
3.3 (a) (ii)	The statement present a true and fair view of the company's affairs and compliance with existing standards and laws	√		
3.3 (b)	Certify that no transactions entered into which are fraudulent, illegal or violation of the code of conduct for the Company's Board	√		
3.3 (c)	The certification shall be disclosed in the annual report	√		
4	**Board of Director's Committee**			
4 (i)	Audit Committee (AC)	√		
4 (ii)	Nomination and Remuneration Committee (NRC)	-	-	Formation of NRC is under process
5	**Audit Committee**			
5.1	Responsibility to the Board of Directors:			
5.1 (a)	Have an Audit Committee as a sub-committee of the Board	√		
5.1 (b)	Assist the Board in ensuring true and fair view of the state of affairs and monitoring system	√		
5.1 (c)	Audit Committee shall be responsible to the Board	√		
5.2	Constitution of Audit Committee:	√		
5.2 (a)	At least 3 (three) members	√		
5.2 (b)	Appointment of members of the Audit Committee	√		
5.2 (c)	Qualification of Audit Committee members	√		
5.2 (d)	Term of service of Audit Committee members	√		
5.2 (e)	Secretary of the Audit Committee	√		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
5.2 (f)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	√		
5.3	Chairperson of the Audit Committee:			
5.3 (a)	Board shall select the Chairperson of the AC, who shall be an Independent Director	-	-	No Independent Director
5.3 (b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting for quorum as required under condition no. 5.4 (b) but the reason of absence of the regular chairperson shall be duly recorded in the minutes	√		
5.3 (c)	Chairperson of the Audit Committee shall remain present in the AGM	√		
5.4	Meeting of the Audit Committee:			
5.4 (a)	At least 4 (four) meeting in a financial year	√		
5.4 (b)	Quorum of the meeting of the AC	√		
5.5	Role of Audit Committee:	√		
5.5 (a)	Oversee the financial reporting process	√		
5.5 (b)	Monitor choice of accounting policies and principles	√		
5.5 (c)	Monitor Internal Audit and Compliance process	√		
5.5 (d)	Oversee hiring and performance of external auditors	√		
5.5 (e)	Hold meeting with the external or statutory auditors for review of the financial statements	√		
5.5 (f)	Review the annual financial statements before submission to the Board for approval	√		
5.5 (g)	Review the quarterly and half yearly financial statements before submission to the Board for approval	√		
5.5 (h)	Review the adequacy of internal audit function	√		
5.5 (i)	Review of Management's discussion and analysis	√		
5.5 (j)	Review statement of all related party transactions	√		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
5.5 (k)	Review Management Letters/ Letter of Internal Control weakness issued by statutory auditors	√		
5.5 (l)	Oversee the determination of audit fees based on scope and magnitude	√		
5.5 (m)	Disclosure to the AC about the uses/ applications of funds raised by IPO/RPO/ Right issue	-	-	Not applicable
5.6	Reporting of the Audit Committee:			
5.6 (a)	Reporting to the Board of Directors:			
5.6 (a) (i)	Report on activities of Audit Committee to the Board	√		
5.6 (a) (ii)	Immediately report to the Board:			
5.6 (a) (ii) (a)	Conflicts of interest	√		
5.6 (a) (ii) (b)	Material defect identified in the internal audit and compliance process	√		
5.6 (a) (ii) (c)	Infringement of laws, rules and regulations	√		
5.6 (a) (ii) (d)	Any other matter which deems necessary to be disclosed	√		
5.6 (b)	Reporting to the Authorities	√		
5.7	Reporting to the Shareholders & General Investors:	√		
6	**Nomination and Remuneration Committee (NRC)**			
6.1	Responsibility to the Board of Directors:			
6.1 (a)	Have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board	-	-	"
6.1 (b)	The NRC shall assist the Board	-	-	"
6.1 (c)	The ToR of the NRC in writing as stated at the condition no. 6 (5) (b)	-	-	"
6.2	Constitution of the NRC:			
6.2 (a)	At least 3 (three) members	-	-	"
6.2 (b)	All members are non-executive directors	-	-	"
6.2 (c)	Members of the committee are nominated and appointed by the Board	-	-	"
6.2 (d)	Board have the authority to remove and appoint any members	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
6.2 (e)	Fill the vacancy for death, resignation, disqualification or removal	-	-	"
6.2 (f)	Appoint or co-opt any external expert as advisor	-	-	"
6.2 (g)	Secretary of the Committee	-	-	"
6.2 (h)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	-	-	"
6.2 (i)	No remuneration other than Director's fee	-	-	"
6.3	Chairperson of the NRC:			
6.3 (a)	Board shall select the Chairperson of the committee, who shall be an Independent Director	-	-	"
6.3 (b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	-	-	"
6.3 (c)	Chairperson of the Audit Committee shall remain present in the AGM	-	-	"
6.4	Meeting of the NRC:			
6.4 (a)	At least 1 (one) meeting in a financial year	-	-	"
6.4 (b)	Convene emergency meeting	-	-	"
6.4 (c)	Quorum of the meeting	-	-	"
6.4 (d)	The proceedings of each meeting be recorded in the minutes	-	-	"
6.5	Role of the NRC:			
6.5 (a)	Be independent and responsible to the Board	-	-	"
6.5 (b)	Oversee and make report with recommendations	-	-	"
6.5 (b) (i)	Formulating policy for remuneration of the Directors and top level executive	-	-	"
6.5 (b) (i)(a)	The level and composition of remuneration	-	-	"
6.5 (b) (i) (b)	The relationship of remuneration to performance	-	-	"
6.5 (b) (i) (c)	Remuneration involves a balance between fixed and incentive pay	-	-	"

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
6.5 (b) (ii)	Policy on Board's diversity	-	-	"
6.5 (b) (iii)	Identifying process for qualification of Directors and top level executive	-	-	"
6.5 (b) (iv)	Criteria for evaluation of performance of ID	-	-	"
6.5 (b) (v)	Identifying the company's needs for employees and determine the employment process	-	-	"
6.5 (b) (vi)	Developing, recommending and reviewing the company's human resource and training policies	-	-	"
6.5 (c)	Disclose the nomination and remuneration policy and the activities of NRC in its annual report	-	-	"
7	**External/Statutory Auditors**			
7.1	Shall not engage external/statutory:			
7.1 (i)	Appraisal or valuation services or fairness opinions	√		
7.1 (ii)	Financial information systems design and implementation	√		
7.1 (iii)	Book-keeping	√		
7.1 (iv)	Broker-dealer services	√		
7.1 (v)	Actuarial services	√		
7.1 (vi)	Internal audit services	√		
7.1 (vii)	Services that the Audit Committee determines	√		
7.1 (viii)	Audit services on compliance of corporate governance under condition no. 9(1)	√		
7.1 (ix)	Other services that creates conflict of interest	√		
7.2	Audit firms shall not hold any share of the company they audit	√		
7.3	Audit firm shall not certify on compliance of corporate governance	√		
8	**Maintaining a website by the Company**			
8.1	Have an official website	√		
8.2	Keep the website functional	√		
8.3	Available the detailed disclosures on its website	√		

Condition No.	Title	Compliance status		Remarks
		Complied	Not complied	
9	**Reporting and Compliance of Corporate Governance**			
9.1	Obtain certificate regarding compliance of conditions of Corporate Governance Guidelines	-	-	Not applicable
9.2	The professional for the certificate appointed by the shareholders in the AGM	-	-	Not applicable
9.3	Annexure-C attached, in the directors' report whether the company has complied these conditions or not	√		

Annexure-II

Compliance with the Requirements of Bangladesh Bank

Bangladesh Bank requires the Financial Institutions to comply with the guidelines on corporate governance as per the DFIM Circular no. 7 dated 25 September 2007 taken appropriate steps to comply with the guidelines and implemented the same. Status report on compliance with those guidelines is given below:

Condition no.	Particulars	Complied status (put √ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
01	**Responsibilities and authorities of Board of Directors** The responsibilities of the Board of Directors are mainly related to and developing strategy. Those are as-			
	A. Work Planning and Strategic Management			
	i. The Board shall determine the vision/ mission of the company. Board shall also determine the strategy and work plan for enhancement of institutional efficiency and other policy matters on annual basis. The Board shall make necessary amendments on the strategy on quarterly basis.	√		
	ii. The Board shall have its analytical review to be incorporated in the annual report as regard to the success or failure in achieving the target as set out in the annual work plan and inform the same to the shareholders in the Annual General Meeting (AGM).	√		
	iii. The Board shall determine the Key Performance Indicators for chief executive along with other top-level executives and re-assess on half yearly basis.	√		
	B. Formation of Sub-Committee			
	For making timely decision, Executive Committee and Audit Committee can be formed. No alternative director shall be included in this committee.	√		
	C. Financial Management			
	i. Annual budget and statutory financial reports shall be authorized by the Board of Directors.	√		

Condition no.	Particulars	Complied status (put √ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
	ii. The Board shall review company's statement of income and expense, statement of loan/ lease, liquidity requirement, capital adequacy of provision, action taken for legal cases and recovery of default loan.	√		
	iii. The Board shall approve the procurement policy and shall accordingly approve the delegation of power for making such expenditure. The maximum delegation of power shall rest on the CEO and top management. However, decision relating to purchase of land, building, and vehicle shall remain with the Board.	√		
	iv. Bank account of the company shall be operated by a group constituted from amongst the Management which must be approved by the Board and having dual signatures (As amended through circular no. 09, dated October 08, 2007).	√		
	D. Loan/Lease/Investment Management			
	i. The policies, strategies, procedures etc. in respect of loan appraisal of loan/ lease/ investment proposal sanction, disbursement, recovery, rescheduling, and write-off shall be made with the Board's approval under the purview of the existing laws, rules and regulations. The Board shall specifically delegate the power of sanction of loan/lease/ investment and such delegate should desirably be made among the CEO and other top management of the company.	√		
	ii. No Director shall interfere directly or indirectly in the process of loan approval.	√		
	iii. Core Risk Management Guidelines shall be approved by the Board of Directors of the company.	√		
	E. Risk Management			
	Approval shall be taken from Board of Directors for syndicate loan/lease/investment and large loan, lease or investment.	√		

Condition no.	Particulars	Complied status (put √ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
	F. Internal Control & Compliance			
	Audit Committee shall be formed for effective implementation of an integrated internal control system of the company and for keeping loan/lease/investment quality at a desired level. Board Audit Committee shall review the report provided by the Internal Control & Compliance Department, the external auditor and the Bangladesh Bank shall make comments thereon.	√		
	G. Human Resources Management (HRM)			
	Polices relating to recruitment, promotion, transfer disciplinary and punitive measures, HR development etc. and service rule shall be framed and approved by the Board. The Chairman or the Board shall no way involve themselves or influence over any administrative affairs including recruitment, promotion, transfer and disciplinary measures as executed under the service rules. No member of the Board shall be included in the selection committees for recruitment and promotion of different levels except the position MD, DMD and GM or equivalent.	√		
	H. Appointment of Managing Director and Increase of Salaries & Allowances			
	Board of Director shall appoint a competent Managing Director with approval of the Bangladesh Bank. Board shall approve any increment of salaries and allowance of the Managing Director.	√		
	I. Benefit to the Chairman			
	Chairman may be offered an office room, a personal secretary, a telephone at the office, a vehicle in the business-interest of the company subject to the approval of the Board.	√		

Condition no.	Particulars	Complied status (put √ in the appropriate column)		Remarks (if any)
		Complied	Not Complied	
02	**Responsibilities and Duties of Chairman**			
	i. Chairman shall not personally possess the jurisdiction to apply policy making or executive or operational and routine affairs of the company.	√		
	ii. The Minutes of the Board meetings shall be signed by the Chairman.	√		
	iii. Chairman shall sign-off the personal for appointment of Managing Director and revision of his salaries & allowances.	√		
03	**Responsibilities of Managing Director**			
	The Managing Director or Chief Executive officer of the company or whatsoever be called, shall work under the following area:	√		
	i. Managing Director shall discharge his responsibilities on matters relating to financial, business and administration vested by the Board upon him. He is also accountable for achievement of financial and other business targets by means of business plan, efficient implementation of administration and financial management.	√		
	ii. Managing Director shall ensure compliance of Financial Institution Act 1993 and other relevant circulars of Bangladesh Bank and other regulatory authorities.	√		
	iii. All recruitment /promotion /training, except recruitment/promotion/ training of DMG & GM (as equivalent to EVP) shall be vested upon the Managing Director. He shall act such in accordance with the approve HR policy of the company.	√		
	iv. Managing Director may re-schedule job responsibilities of employees.	√		
	v. Managing Director shall sign all the letters/ statements/ relating to compliance of policies and guidelines. However, Departmental/unit heads may sign daily letters/ statements as set out in DFIM circular no.2 dated 06 January 2009 if so authorized.	√		

Ethics and Compliance

BIFFL pays close attention to the moral concerns in order to make the right ethical practice on a day-to-day basis over and above observing the law, as one of the basic professional requirements for the NBFIs. It is also committed to establishing and upholding the highest standards of ethics and compliance by its employees. This commitment is reflected in its Code of Conduct that covers, among other issues, the following areas:

a. Their relationship with and responsibilities to BIFFL;

b. Their relationship with and responsibilities to customers;

c. Compliance with laws and regulations;

d. Acting professionally and ethically;

e. Protection of business assets;

f. Disclosure of conflicts of interest;

g. Prohibition of any conduct involving dishonesty, fraud, deceit or misrepresentation including insider trading.

Code of Ethics and Conduct at BIFFL

Key areas of our efforts are:

- **Fair Treatment of Customers:** BIFFL ensures that customers are treated fairly and without prejudice that fosters good support and helps to build a long-term sustainable business relationship.

- **Privacy and Security of Client Information:** As per our 'Code of Conduct', all information gathered from customers/clients during the course of providing service is to be considered confidential unless it is clearly stated otherwise.

- **Transparency and Accuracy of Financial, Tax, and Other Reporting:** The employees of BIFFL must ensure that information/ reporting relating to their customer is readily available, accurate, and transparent.

- **Interaction in Print, Electronic and Social Media:** All media (print, electronic and social) inquiries are forwarded to representatives of the corporate communication department or any authorized personnel to initiate contact with the media on behalf of the organization.

- **Ethics against Discriminatory Harassment:** BIFFL Management ensures strict compliance with antidiscrimination and harassment policy whereby the wrongdoer may be subjected to the full range of disciplinary actions up to and including termination of his /her employment as well as may be tried by the prevailing laws of the country.

- **Kickback and Secret Commission:** BIFFL employees must not receive payment or compensation of any kind from any customer/ vendor/ supplier, except as authorized under the organization's business. In particular, BIFFL strictly prohibits the acceptance of secret commissions from suppliers and clients.

- **Personal Investment and Insider Trading:** It is also prohibited for BIFFL employees to take part in the trading of publicly traded securities and investments for personal gain if they possess material non-public information about the security or the issuer.

- **Conduct towards Female Colleagues:** Any harassment or discriminatory behavior directed at female employees in the form of derogatory or provocative comments, physical violence, horseplay/inappropriate jokes, unwanted physical contact, use of the epithet, comments or innuendo, obscene or harassing telephone calls, e-mails, letters, notes, or other forms of communication, and any other conduct that may create a hostile working environment is strictly prohibited. In some cases, it can lead to termination of employment.

- **Workplace Security and Safety:** One of the primary concerns of BIFFL is to maintain a healthy and productive work environment by ensuring the safety and security of office premises.

Monitoring Compliance

At BIFFL, compliance with our Code of Conduct and Ethics is embedded in our employment contracts, recruitment and performance management activities. All new employees joining BIFFL as well as existing employees are required to read the Code of Conduct and duly sign a statement of compliance attesting that they have read and understood the aforementioned and provide their commitment to comply with the applicable laws, regulations, and corporate ethics, be held accountable for carrying out the compliance responsibilities, and acknowledge that ignorance of the rules and regulations outlined in the Code cannot be an excuse for non-compliance. We also arrange a session on the Code of Conduct during the orientation program for the new joiners. All the employees of BIFFL are required to comply with the Code of Conduct; any breach of this code may lead to disciplinary action. Moreover, BIFFL practices a reward and recognition program which is designed to reward employees who demonstrate ethical principles and uphold the core values of integrity and morality in the Code of Conduct. This type of recognition serves to validate the ethical actions of the concerned employee, encourages repeat behavior, and thus helps sustain a culture of transparency, accountability, and integrity.

Communication of the Statement of Ethics and Business Practices

At the time of joining, all the BIFFL employees required to sign an annual declaration confirming that they have read and understood the Code of Conduct. It is the responsibility of the Human Resource Department to circulate the required declaration and ensure the sign of the employee. The Internal Control and Compliance Department (ICCD) ensures whether an employee has breached the Code of Conduct.

Board's Commitment

The BIFFL Board acknowledges its responsibility for ensuring that the company's business activities are conducted following the highest standards of ethics and compliance.

The Board views adherence to ethical standards and compliance as an integral part of the broader corporate governance framework and seeks to adopt a holistic approach in ensuring its implementation. As a part of this, it has instituted several approaches to underline its commitment to high standards of ethical behavior:

- Setting down standards of expected behavior through the formulation and communication of a Code of Conduct.
- Installing a system of internal controls, which is reviewed, evaluated and updated on an ongoing basis.
- Positioning company policies and procedures on ethical foundations to ensure that ethical considerations are integrated into day-to-day decision-making, activities and processes.
- Establishing a clearly-defined organizational structure that assigns responsibility and authority for the conduct of organizational functions while at the same time ensuring accountability for individual actions.
- Establishing a variety of monitoring mechanisms including the creation and empowerment of an operationally independent internal audit team with reporting responsibilities to the Audit Committee.

Statement of CEO and CFO

We have reviewed the financial statements of BIFFL which contains balance sheet as on 31 December 2019, profit & loss account, satement of changes in equity, statement of cash flows for the year ended 31 December 2019 and a summary of significant accounting policies and others explanatory notes.

These financial statements prepared and presented fairly in accordance with:

1. International Financial Reporting Standards (IFRSs) adopted by the Institute of Chartered Accountants of Bangladesh (ICAB);
2. Bangladesh Bank guidelines;
3. Companies Act,1994;
4. Income Tax Ordinance, 1984;
5. Financial Institution Act, 1993;
6. Bangladesh Securities and Exchange Rules, 1987; and
7. Other applicable laws and regulations.

The company has taken proper and sufficient care in installing a system of internal control, which is reviewed, evaluated and updated on an ongoing basis. The internal control and compliance unit conducts periodic audits to provide reasonable assurance that the established policies and procedures of the company are consistently followed.

Based on the internal control system of the company and our review of these financial statements, we certify to the best of our knowledge and belief that:

1. The statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
2. The statements together present a true and fair view of the company's affair and follow existing accounting standards and applicable laws.
3. The company did not involve with any transactions during the year which are fraudulent illegal or violation of the company's code of conduct.
4. Proper books of accounts as required by the law have been kept by the company.
5. The expenditure incurred was for the company's business.
6. Adequate provisions have been made for lease/loans and advances, investments and other assets which in our opinion are doubtful to be recovered.

Salah Uddin Kader Chy
In-charge, Accounts and Finance

S. M. Anisuzzaman
Chief Executive Officer

Report on Going Concern

Going concern is one of the fundamental accounting assumptions that underlies the preparation of financial statements of the companies. Under the going concern concept, it is assumed that a company will continue its operation and that there is neither the intent nor the need to liquidate it or cease its operation. The purpose of this going concern statement is to bring together the requirements of International Accounting Standards, Companies Act, Listing rules and Bangladesh Securities & Exchange Commission on going concern in the preparation of the financial statements.

The Management and Directors of BIFFL have made annual assessment based on the accounting period ended on 31 December 2019 whether the company is a going concern. The assessment involves making appropriate inquiries including review of budgets and future outcomes of inherent risks involved in the business.

BIFFL's Management and Directors have reached the conclusion from the following factors that the financial statement for the year ended 31 December 2019 is prepared based on the going concern assumption.

The following indicators underline the company's ability to continue as a going concern:

1) Less reliance on bank borrowings	The company has no significant dependence on bank borrowings. In a few occasions, it had to borrow from the money market on a short-term basis.
2) Positive key financial ratios	The company's financial ratios (please see the key operating and financial highlights at page 80) revealed the sound financial strength and prospect.
3) Consistent payment of dividend	BIFFL has been paying dividend to the shareholders which reflects the company's long-term viability in operational existence.
4) Credibility in settling of obligation	The company has strong credibility in terms of settlement of obligation to the creditors and relevant authorities. It has no default payment history for settlement of its obligations.
5) Consistency in making operating profit	The company is making operating profit consistently from the beginning of its operation.
6) Growth in quality lending portfolio	In 2019, the portfolio of loans, leases and advances of BIFFL has increased by 11.45 percent compared to 2018, whereas it has only 1.38 percent classified loan. This represents the positive indication of sustainable business of the company.
7) Employee satisfaction and working environment	BIFFL is an employee-friendly organization. There exists a very good corporate environment in the company. It pays a very competitive compensation package with fringe benefits like car facilities, provident fund, performance bonuses, gratuity, group insurance, hospitalization insurance, rewards and recognition etc.

8) Maintenance of Capital Adequacy Ratio (CAR)	As per DFIM circular no. 14, dated December 28, 2011 of Bangladesh Bank regarding Capital Adequacy and Market Discipline for FIs, each Financial Institution is required to maintain CAR at least 10% of the total risk-weighted assets. As on 31 December 2019, CAR of BIFFL was 102%.
9) Strong equity base	BIFFL is one of the highest equity-based companies among the FIs. As on 31 December 2019, total equity of the company was BDT2,377.54 crore including paid up capital of BDT2,108 crore.
10) Ability to pay operational expenses	The company has not faced any difficulties in meeting its day to day operational expenses and has continued its reputation of paying vendors on time. The company generates sufficient operating cash flow to meet its operational expenses.
11) Borrowing facilities from multilateral agencies	The solidity of financial position and the reputation allows the Company to negotiate or renew borrowing facilities at favorable rates and flexible terms and conditions from different development partners i.e. JICA, ADB, the World Bank, KfW and others.
12) Strong CAMELS Rating	CAMELS Rating is used by Bangladesh Bank as a tool for evaluating the strength and performance of a non-bank financial institution. The composite rating adjudged by the Bangladesh bank signifies satisfactory performance of BIFFL. The report contained no adverse material observations of the Bangladesh Bank on the activities of the company.
13) Changes in Government's policy	Board and management anticipate no significant changes in legislation or Government's policy which may materially affect the business of the company.

Based on the review of the above indicators, the Management and Directors of the company is in the view that the preparation of the financial statements of the company for the year ended 31 December 2019 on the basis of "going concern assumption" is appropriate.

Disclosure on Capital Adequacy and Market Discipline

Background

This chapter discusses the disclosure of activities BIFFL had undertaken to manage its risk based capital adequacy and other requisites in 2019 under the purview of the Basel II regulations. These market discipline disclosures under Basel II are made following the same guidelines to complement the minimum capital requirements and the supervisory review process. Establishing a transparent and disciplined financial market by providing accurate and timely information related to liquidity, solvency, performance, and risk profile of an FI is another important objective of this disclosure.

Consistency and Validation

The quantitative disclosures are made based on consolidated audited financial statements of BIFFL for the year ended 31 December 2019. They are prepared under relevant IFRSs as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) and related circulars/instructions issued by Bangladesh Bank (BB) from time to time.

A. Scope of Application

Qualitative Disclosures

BIFFL maintains the two pillars and the liquidity standards prescribed by BB.

Pillar-1

Credit Risk, Market Risk & Operational Risk are considered under this pillar for maintenance of the level of capital. Among the three approaches available to measure the credit risk, BIFFL employs a 'Standardized Approach'. The same approach has been used for market risk measurement. As for operational risk, 'Basic Indicator Approach' is followed for simplicity. BIFFL is also maintaining the non-risk-based Leverage Ratio at a healthy level.

Pillar-2

All other risks as well as the entire risk management framework from both the internal and external (supervisory) perspective are covered under this pillar. BIFFL has developed a comprehensive ICAAP (Internal Capital Adequacy Assessment Process) module to capture the risks minutely.

Liquidity Standards

BIFFL has successfully adopted and is maintaining the standards set for the two key Liquidity Ratio: The Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR).

Quantitative Disclosures

BIFFL has no subsidiaries.

B. Capital Structure

Qualitative Disclosures

Summary information on the terms and conditions of the main features of all capital instruments, especially in case of capital instruments eligible for inclusion in common equity Tier-1 and Tier-2.

The regulatory capital base is quite different from accounting capital. As per Basel II guidelines, regulatory capital consists of Tier-1 (Common Equity Tier-1 and Additional Tier-1) and Tier-2 capital.

Tier-1 capital is known as going concern capital and Tier-2 capital also known as gone concern capital.

- Tier-1 capital of BIFFL consists of fully Paid-up Capital, Statutory Reserve, General Reserve & Retained Earnings.
- Tier-2 capital of BIFFL consists of general provisions.

Quantitative Disclosures

Particulars	BDT in crore
Common equity Tier-1 capital	2,377.54
Regulatory adjustments	-
Total common equity Tier-1 capital	**2,377.54**
Tier-2 capital	23.67
Regulatory adjustments	-
Total Tier-2 capital	**23.67**
Total eligible capital	**2,401.21**

C. Capital Adequacy

Qualitative Disclosures

Assessing regulatory capital in relation to overall risk exposures of an NBFI is an integrated and comprehensive process. BIFFL follows the 'Asset Based Approach' rather than 'Capital Based Approach' in assessing the adequacy of capital to support current and projected business activities. BIFFL focuses on strengthening the risk management control environment rather than increasing capital to cover up weak risk management and control practices. It has been generating most of its incremental capital from retained profit (stock dividend and statutory reserve transfer etc.)

BIFFL maintains adequate capital to absorb material risks foreseen. Therefore, BIFFL's Capital to Risk-Weighted Assets Ratio (CRAR) remained consistently within the comfort zone during 2019. The surplus capital maintained by BIFFL will act as a buffer to absorb all material risks and to support future activities. To ensure the adequacy of capital to support future activities, the FI assesses capital requirements periodically considering future business growth. Credit Risk Management Department (CRMD) under the guidance of the Management, takes active measures to identify, quantify, manage, and monitor all risks to which the FI is exposed to.

Quantitative Disclosures

Particulars	BDT in crore
Capital requirement for credit risk	206.8
Capital requirement for market risk	-
Capital requirement for operational risk	28.62
Minimum Capital Requirement (MCR)	**235.45**
Total eligible capital	**2,401.21**
Risk Weighted Assets (RWA)	2,354.49
Capital to risk weighted asset ratio	**101.98**
Common equity Tier-1	2,377.54
Tier-1 capital ratio	100.98
Tier-2 capital ratio	1.00
Capital conservation buffer (1.25% of RWA)	29.43

D. Credit Risk

Qualitative Disclosures

General Disclosure

Credit risk is defined as the probability of failure of the counterparty to meet its obligation as per agreed terms. FIs are very much prone to credit risk due to its core activities i.e. lending to corporate, Consumer, SME, another bank/FI. The main objective of credit risk management is to minimize negative impact through adopting proper mitigants and to limit credit risk exposures within the acceptable limit. Credit risk management has been independent of the origination of business functions to establish better control and to reduce conflicts of interest. The Head of Credit Risk Management Department (HoCRMD) has well-defined responsibility for the management of credit risk. Final authority and responsibility for all activities that expose the FI to credit risk rest with the Board of Directors (BoD). The Board however delegated authority to the CEO or other officers of the CRMD.

Board sets forth credit policies and delegates authority to the Management for setting procedures, which together has structured the credit risk management framework in the FI. The Credit Policy contains the core principles for identifying, measuring, approving, and managing credit risk in the FI and is designed to meet the organizational requirements that exist today as well as to provide flexibility for the future. These policies represent the minimum standards for credit extension by the FI, and are not a substitute to experience and good judgment

Definitions of past due and impaired credit

To define past due and impairment through classification and provisioning, BIFFL follows Bangladesh Bank circulars and guidelines. The summary of some objective criteria for loan classification and provisioning requirement is as below:

As per Bangladesh Bank's Prudential Guidelines on Capital Adequacy and Market Discipline for FIs, the unsecured portion of any claim or exposure (other than claims secured by residential property) that is past due for 90 days or more, net of specific provisions (including partial write-off) will be risk weighted as per risk weights of respective balance sheet exposure. For defining the net exposure of the past due loan, eligible financial collateral (if any) may be considered for credit risk mitigation.

To encounter and mitigate credit risk, the following control measures are taken at BIFFL:

- Vigorous monitoring and follow up by fully dedicated recovery and collection team;
- Strong follow up of compliance of credit policies by appraiser and credit department;
- Taking collateral, performing valuation and legal vetting on the proposed collateral by members of our own dedicated technical and legal department;
- Seeking legal opinion from external lawyers for any legal issues if required;
- Regular review of the market situation and industry exposures;
- Insurance coverage for funded assets;
- In addition to the best industry practices for assessing, identifying, and measuring risks, BIFFL also considers the Guideline for Managing Core Risks of Financial Institutions issued by BB for the management of risks.

Approved Credit Policy by the Board of Directors

The Board has approved the credit policy for the company where major policy guidelines, growth strategy, exposure limits and risk management strategies have been described/ stated. Credit policy is regularly updated to cope up with the changing global, environmental, and domestic scenarios.

Separate Credit Risk Management (CRM) Department

An independent CRMD is in place, at BIFFL, to scrutinize projects from a risk-weighted point of view and assist the management in creating a high-quality credit portfolio and maximize returns from risky assets. CRMD has been segregated from the Credit Administration Department (CAD) in line with Central Bank's guidelines. CRMD assess credit risks and suggest mitigations before recommendation of every credit proposal while CAD confirms that adequate security documents are in place before disbursement.

Monitoring and Recovery Team

A strong recovery team monitors the performance of the loans and advances, identifies early signs of delinquencies in the portfolio, and takes corrective measures to mitigate risks, improve loan quality, and ensure recovery of loans promptly including legal actions.

Independent Internal Control & Compliance Department

Appropriate internal control measures are in place at BIFFL. An Internal Control & Compliance Department has been established to ensure compliance with all internal guidelines, BB guidelines, operational procedures, and adequacy of internal control and documentation procedures.

Credit Evaluation

To mitigate credit risk, BIFFL searches for credit reports from the Credit Information Bureau (CIB) of BB. The report is scrutinized by CAD and CRMD to understand the liability condition and repayment behavior of the client. Depending on the reports, opinions are taken from the concerned related parties for a better understanding of the client's credit worthiness.

Credit Approval Process

To ensure both speedy service and mitigation of credit risk, the approval process is maintained through a multilayer system. Depending on the size of the loan, a multilayer approval system is designed. As the smaller loan is very frequent and comparatively less risky, lower sanctioning authority is set to improve processing time and associated risk. Large loans require more scrutiny as the associated risk is higher hence sanctioning authority is higher as well.

Early Warning System

The performance of loans is regularly monitored to trigger an early warning system to address the loans and advances whose performance shows any deteriorating trend. It helps the company to grow its credit portfolio with the ultimate objective of protecting the interest of the stakeholders.

Methods used to measure credit risk

As per the directives of BB, 'The Standardized Approach' is applied by the company to measure its risk.

Quantitative Disclosures

Total gross credit risk exposures (by major types) as of 31-12-19:

Inside Bangladesh	Amount in BDT
Urban	
Dhaka Division	3,488,397,067
Chittagong Division	246,794,276
Khulna Division	-
Rajshahi Division	-
Barisal Division	-
Sylhet Division	-
Sub-total	**3,735,191,342**
Rural	
Dhaka Division	6,780,232,119
Chittagong Division	5,212,336,162
Khulna Division	5,175,566
Rajshahi Division	120,089,954
Barisal Division	48,373,975
Sylhet Division	3,020,852,898
Sub-total	**15,187,060,674**
Outside Bangladesh	-
Total	**18,922,252,016**

Leases, loans and advances on sector basis as of 31-12-19:

Name of the sectors	Amount in BDT
i) Textiles	10,817,309
ii) Garments and accessories	2,798,249,374
iii) Transport (including marine transport)	3,564,884,028
iv) Chemicals and pharmaceuticals	-
v) Iron, steel and engineering	1,188,523,409
vi) Agricultural equipment and agro industries	-
vii) Power and energy	2,497,143,758
viii) Electronics and electrical	276,754,544
ix) Information technology	-
x) Paper printing and packaging	-
xi) Plastic	4,415,305

xii) Real estate and housing	-
xiii) Food and beverage	5,564,814
xiv) Glass and ceramics	1,924,139,629
xv) Services	1,100,286,937
xvi) Others	5,551,472,909

E. Equities: Disclosures for Banking Book Positions

Qualitative Disclosures

The general qualitative disclosure requirement to equity risk, including:

- Difference between holding on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons;
- Total equity shares holdings are for capital gain purposes.

Quantitative Disclosures

BIFFL is yet to make any investment in the share market.

F. Interest Rate Risk in the Banking Book

Qualitative Disclosures

Interest rate risk is the risk that affects the FI's financial condition due to changes in market interest rates. Changes in interest rates affect both the current earnings (earnings perspective) and also the net worth of FI (economic value perspective). FI assesses the interest rate risk both in earning and economic value perspective. The process of interest rate risk management by the FI involves the determination of the business objectives, expectation about future macro-economic variables, and understanding the money markets and debt market in which it operates. Interest rate risk management also includes quantifying the appetite for market risk to which FI is comfortable. The FI uses the following approach to manage interest rate risk inherent in the Balance sheet:

Simple Gap Analysis

Traditional gap analysis of on-balance sheet Asset Liability Management (ALM) involves careful allocations of assets and liabilities according to re-pricing/maturity buckets. This approach quantifies the potential change in net interest income using a specified shift in interest rates, e.g. 100 or 200 basis points, or a simulated future path of interest rates.

Assumptions: For Gap analysis FIs considers the following:

- For fixed-rate contracts, remaining maturity is considered;
- For contracts with the provision of re-pricing, the time remaining for the next re-pricing is considered;
- The main assumption of gap analysis is that the interest rate moves in a parallel fashion. In reality, however, the interest rate does not move upward;
- Contractual repayment schedule is met;
- Re-pricing of assets and liabilities takes place in the midpoint of the time bucket;
- The expectation that loan payment will occur on schedule;
- No early encash is considered in term and recurring deposit;
- Non-maturity deposit withdrawal is considered based on past withdrawal behavior;
- Interest paid on liabilities tends to move faster than interest rates earned on assets;
- Interest rate attached to FI's assets and liabilities does not move at the same speed as market interest rates; and
- Point at which some assets and liabilities are re-priced is not easy to identify.

Quantitative Disclosures

Funding Gap Analysis

Funding gap analysis attempts to determine the potential impact on Net Interest Income (NII) due to changes in interest rate. Result of funding gap analysis as on 31 December 2019:

Particulars	Minor (2%)	Moderate (4%)	Major (6%)
NII	24.51	49.02	73.53

Duration Gap Analysis

The focus of the duration analysis is to measure the level of FI's exposure to interest rate risk in terms of sensitivity of Market Value of Equity (MVE) to interest rate movements. Duration gap can be used to evaluate the impact on the MVE of the FI under different interest rate scenarios. ALCO monitors the leveraged liability duration and duration gap of the total FI balance sheet every quarter to assess the impact of the parallel shift of the assumed yield curve.

F. Market Risk

Qualitative Disclosures

Market Risk

Market risk is defined as the possibility of loss due to changes in the market variables. It is the risk that the value of on/off balance sheet positions will be adversely affected by movements in equity price, interest rate and currency exchange rates. The objective of our market risk policies and processes is to obtain the best balance of risk and return whilst meeting customers' requirements. The primary categories of market risk for the FI are:

- **Interest rate risk:** Arising from changes in yield curves, credit spreads and implied volatilities on interest rate options.
- **Currency exchange rate risk:** Arising from changes in exchange rates and implied volatilities on foreign exchange options.
- **Equity price risk:** Arising from changes in the prices of equities, equity indices, equity baskets and implied volatilities on related options.

BIFFL has a comprehensive Treasury Policy, Asset-Liability Management Policy, Investment Policy approved by the Board to assess, monitor, and manage all the aforementioned market risks. Various internal limits have been set to monitor market risk and the capital requirement is assessed as per the standardized approach of Basel II.

Methods used to measure market risk: FI applies the maturity method in measuring interest rate risk in respect of securities in trading books. The capital charge for entire market risk exposure is computed under the standardized approach using the maturity method and in accordance with the guideline issued by BB.

Market risk management system: To manage the interest rate risk, BIFFL regularly monitors various ratios and parameters. Of the ratios, the key ratios that ALCO regularly monitors are

- Liquidity Coverage Ratio (LCR);
- Net Stable Funding Ratio (NSFR);
- Maximum Cumulative Outflow (MCO);
- Liquid asset to total assets;
- Volatile liability dependency ratio;
- Snap liquidity ratio;
- Short-term borrowing to Liquid assets ratio.

ALCO also regularly monitors the interest rate sensitive gap and duration gap of the total portfolio.

To manage equity risk, the investment committee of the FI takes prudent decisions complying sectorial preferences as per the investment policy of the FI and capital market investment limit set by BB.

G. Operational Risk

Qualitative Disclosures

Operational Risk

Operational risk is the risk of loss arising from fraud, unauthorized activities, error, omission, inefficiency, systems failure, or external events. It is inherent in every business organization and covers a wide spectrum of issues. We seek to minimize exposure to operational risk, subject to cost benefit trade-offs. BIFFL captures some identified risk events associated with all functional departments of the FI through standard reporting format.

Views of Board on the system to reduce operational risk

The policy for measuring and managing operational risks is approved by the Board in line with the relevant guidelines of BB. The Audit Committee of the Board directly oversees the activities of the ICCD to protect against all operational risks. As a part of continued surveillance, the Management Committee (MANCOM), Risk Management Forum (RMF), and CRMD regularly review different aspects of operational risks and suggest formulating appropriate policies, tools and techniques for the mitigation of operational risk.

Performance gap of executives and staffs

BIFFL is an equal opportunity employer. It recognizes the importance of having the in the right people at right positions to achieve organizational goals. Our recruitment and selection are governed by the philosophy of fairness, transparency and diversity. Understanding what is working well and what requires further improvement is essential to our performance management system. The performance management process aims to clarify what is expected from employees as well as how it is to be achieved. Our learning and development strategy puts special focus on continuous professional development to strengthen individuals' skill set by removing weaknesses to perform the assigned job with perfection. We have a wide range of internal and external training programs to enhance capabilities as well as minimize the performance gap that will contribute more to the bottom line. Peoples' performance is assessed on the bases of performance objectives and Key Performance Indicators (KPIs) set at the beginning of each year. Decisions related to rewards and recognitions for the employees are taken on the bases of how well the assigned KPIs are met.

Potential external events

The overall environment within which an NBFI operates creates certain externalities which could affect business performance directly such as:

Fraud risk is the risk of incurring losses as a result of an intentional act or omission by a third party involving dishonesty, for personal and/or business gain, to avoid personal and/or business loss, or to conceal the improper or unauthorized activity. This includes facilitation, misrepresentation, money laundering, terrorist financing, theft, forgery, and cyber-crime.

Business continuity risk is the risk of incurring losses resulting from the interruption of normal business activities, i.e. interruptions to our infrastructure as well as to the infrastructure that supports our businesses.

Information security risk is the risk of an event that could result in the compromise of organizational assets, including, but not limited to, unauthorized use, loss, damage, disclosure, or modification of organization assets. It includes the risk of cyber threats on the organization.

Regulatory compliance risk is the risk of incurring regulatory sanctions (including restrictions on business activities, fines, or enhanced reporting requirements), financial and/or reputational damage arising from our failure to comply with applicable laws, rules and regulations.

Vendor risk arises from adverse events and risk concentrations due to failures in vendor selection, insufficient controls, and oversight over a vendor and/or services provided by a vendor and other impacts to the vendor itself.

Policies and processes to mitigate operational risk

Risk analysis unit is primarily responsible for risk identification, measurement, monitoring, control, and reporting of operational risk. This unit identifies risk issues primarily through a review of the Departmental Control Function Check List (DCFCL) and reports to the Head of ICCD. DCFCL is a self-assessment process for detecting 'high' risk areas and finding mitigation of those risks. The forum titled `Risk Management Forum (RMF)' also oversees the operational risk issues. RMF analyzes 'high' and 'moderate' risk indicators and sets responsibility for specific people to resolve the issues.

Approach for the calculation of capital charge for operational risk

BIFFL applies the 'Basic Indicator Approach'. Under this approach, FIs have to calculate the average annual Gross Income (GI) of the last three years and multiply the result by 15% to determine the required capital charge. GI is the sum of 'Net interest income' and 'Net non-interest income' of a year or 'Total operating income' of the FI with some adjustments as noted below. GI shall:

- Be gross of any provision (e.g. for unpaid interest),
- Be gross of operating expenses, including fees paid to outsource service providers,
- Include lost interest i.e. interest suspense on classified loans (SS, DF, BL).

Quantitative Disclosures

Capital requirement	BDT in Crore
Operational Risk	28.62

Corporate Social Responsibility

BIFFL has donated one portable X- Ray machine to Dhaka Shishu Hospital under Corporate Social Responsibility (CSR) activities.

Ashuganj Power

Located on the bank of Meghna river, Ashuganj Power Company Limited is currently the largest public sector power producer in Bangladesh.

Notice, Reports & Financial Statements

08

Bangladesh Infrastructure Finance Fund Limited
BIFFL Office, 117 Kazi Nazrul Islam Avenue, Eskaton Garden, Dhaka - 1217
email: info@biffl.org.bd; website: www.biffl.org.bd

Ref: BIFFL/CS-2.2.1/2020
Date: 08 September 2020

NOTICE
The 9th Annual General Meeting

The 9th Annual General Meeting (AGM) of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year ended on 31 December 2019 will be held on Wednesday, 30 September 2020 at 6:00 pm through online meeting platform. The Agenda of the meeting are as follows:

AGENDA:

1. To receive, consider and adopt the Audited Financial Statements of the year 2019 ended on 31-12-2019 including Independent Auditor's Report, and the Directors' Report, 2019;
2. To approve the Dividend for the year 2019;
3. To re-elect the Director(s);
4. To appoint Auditors for the year 2020;
5. Miscellaneous, in any;

The Shareholders, Directors and Auditors are requested to attend the meeting. The Meeting ID, Password and Link will be given to the respective participants before the meeting.

Note: The proceedings of the meeting will be recorded for reference as guided by the Bangladesh Bank and Bangladesh Securities and Exchange Commission.

By the order of the Board,

Mohammad Monirul Islam Khan FCS
Company Secretary
Bangladesh Infrastructure Finance Fund Limited
Cell: 01841655302, e-mail: mohammad.khan@biffl.org.bd

Auditor's Report and Audited Financial Statements of Bangladesh Infrastructure Finance Fund Limited For the year ended 31 December 2019

Independent Auditor's Report

To the Shareholders of Bangladesh Infrastructure Finance Fund Limited
Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the balance sheet as at 31 December 2019 and the profit and loss account, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the company as at 31 December 2019, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note no. # 2 of the financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for ***the Audit of the Financial Statements*** section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Bangladesh and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code & the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without modifying our opinion, we draw attention to the following matters:

1. As disclosed in note no. #4.3.1 of the financial statements, out of total investment in 3 months' period FDR investments to different banks and financial institutions amounting BDT5,559,010,363 of 12 (twelve) companies namely BD Finance & Investment Limited, BIFC Limited, Padma Bank Limited, ICB Islamic Bank Limited, International Leasing and Financial Services Limited, Peoples Leasing & Financial Services Limited, Premier Leasing & Finance Limited, Prime Finance & Investment Limited, Reliance Finance Limited, and Union Capital Limited, Bangladesh Bank vide letter no. FIID(I-06)/2020-283 dated 22 March 2020 and letter no. FIID/I-06/2020-343 dated 02 July 2020 identified these FDR investments are risky investments based on their recovery status but considering the present condition of business and financial sector of the country Bangladesh Bank allowed the preparation of financial statements for the year ended 31 December 2019 without maintaining provision against these FDR investments as disclosed in note no. #35.1.1 of the financial statements.The company has accounted for the interests of these FDR investments in Interest Suspense Account as disclosWed in note no. #13.6.1 of the financial statements.

2. As disclosed in note no. #8 of the financial statements, an apartment (floor space) amounting BDT193,307,576 was purchased in the year 2016 for official use located at "Borak Unique Heights" and included in the fixed assets, the mutation of which is under process in the name of the company.This is a non-compliance with regard to IAS-16, 'Property, Plant & Equipment'.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk	Our response to the risk
Investments	
Classification The classification and measurement of these instruments require judgment and complex estimates.	We assessed the processes and controls put in place by the company to identify and confirm the classification and existence of financial instruments.
The recognition, measurement and disclosure for these instruments are stringently specified by various Bangladesh Bank's circular which results in departures from IFRSs as explained in note no. #2.2.1.	We obtained an understanding, evaluated the design and tested the operating effectiveness of the key controls over the financial instruments accounting procedures.
The company's disclosures relating to Investments are disclosed in note no. #2.10.2 & 6 of the financial statements.	Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
Leases, loans and advances	
Classification & Provisioning The classification and provisioning of Leases, loans and advances are determined by specific Bangladesh Bank's circulars which have wide ranging effect on the financial position and performance of the financial instruments namely through provisioning requirements. The process for estimating the provision for Leases, loans and advances portfolio associated with the credit risk is significant and complex. At year end the company reported total Leases, loans and advances of BDT18,922,252,016 (2018: BDT16,977,708,408) and provision for Leases, loans and advances of BDT1,092,206,464 (2018: BDT433,617,842).	We tested the design and operating effectiveness of key controls focusing on the following: • The credit appraisal, loan disbursement procedures, monitoring and provisioning process; • Identification of loss events, including early warning and default warning indicators; • Reviewed quarterly Financial Institution's Classification of Loans (CL) Statement; Furthermore, we have assessed on test basis the loan application receipt, assessment, documentation and authorization process against company's policy and Bangladesh Bank's requirements. Legal expert's views regarding securitization of the loans has also been considered.
The calculation of RWA (Risk Weighted Assets) is, to some extent, dependent on the classification of Leases, loans and advances which ultimately impact the CAR (Capital Adequacy Ratio)- a significant indicator of financial instruments health under the BASEL-II regime.	As part of our audit process we have reviewed the loan files, bank statements, and its provisioning requirements. Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following:

Risk	Our response to the risk
Furthermore the recognition and measurement of these leases, loans and advances are dictated by Bangladesh Bank's circulars namely FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006, FID circular no. 05 dated 18 July 2006, FID circular no. 06 dated 20 August 2006, FID circular no. 02 dated 05 May 2007 and DFIM circular no. 04 dated 28 June 2007 respectively which limits the fair implementation of respective IFRSs. The company's disclosures relating to loans and advances are included in note no. #2.2.2, 2.2.12, 2.10.3,7 & 13.5.	• Reviewed the adequacy of the company's general and specific provisions; • Assessed the methodologies on which the provision amounts were based, recalculated the provisions and tested the completeness and accuracy of the underlying information; Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.

Borrowings from Banks, other Financial Institutions and Agents

Valuation

Borrowings from banks, other financial institutions and agents by Bangladesh Infrastructure Finance Fund Limited (BIFFL) as at 31 December 2019 stood at BDT4,166,587,594 against BDT2,461,178,639 as at 31 December 2018. This reflects an increase of BDT1,705,408,955 as compared to last year.

The material change in the balance of Borrowings from banks, other financial institutions and agents was due to the disbursement of loan from JICA under a sub-loan agreement with the Government of the People's Republic of Bangladesh which amounted to BDT1,721,309,722 and Borrowing from IPFFII (Investment Promotion and Financing Facility II) of World Bank under facility access agreement with Bangladesh Bank and BIFFL which amounted to BDT256,914,148. In addition, the balances of secured overdraft & short-term loan amounting to BDT811,320,935 repaid fully.

Due to the substantial increase in these balances, loan from JICA, IPFF II and payment of secured overdraft & short-term loan was considered significant to our audit.

The company's disclosures relating to borrowings from banks, other financial institutions and agents are disclosed in note no. #11 of the financial statements.

We assessed the system of internal control over secured overdraft & short-term loan and borrowing from EECPFP JICA Loan. We have performed analytical procedures on average balances and interest expenses to assess the reasonableness of the recorded balances.

We also considered receipt of Bangladesh Bank's documents & subsequent disbursement of fund from Bangladesh Bank to confirm the balance of EECPFP JICA Loan.

We substantially recalculated the interest expenses for secured overdraft & short-term loan and borrowing from EECPFP JICA and IPPF II during the year.

We determined whether borrowings from banks, other financial institutions and agents are classified in accordance with regulations and relevant accounting principles.

Risk	Our response to the risk
IT systems and controls	
Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed and the reliance on automated and IT dependent manual controls. Where any entry can be changed at any time without adjusting entry. The company has disclosed relating to its IT systems in note no. #2.25 to the financial statements.	Our firm's own IT Specialist tested the design and operating effectiveness of the company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the company's periodic review of access rights. We inspected requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application layer controls identified as key to our audit. Where deficiencies were identified, we tested compensating controls or performed alternate procedures. In addition, we understood where relevant, changes were made to the IT landscape during the audit period and tested those changes that had a significant impact on financial reporting.
Legal and regulatory matters	
We focused on this area because the company operates in a legal and regulatory environment that is exposed to significant litigation and similar risks arising from disputes and regulatory proceedings. Such matters are subject to many uncertainties and the outcome may be difficult to predict.	We obtained an understanding, evaluated the design and tested the operational effectiveness of the company's key controls over the legal provision and contingency process.
Significant legal and regulatory matters pertaining to the company were: • Compliance of rules and regulations, including submission of returns to various regulators; and • Litigation (cases) filed on behalf of or against the company including any provisioning requirements. These uncertainties inherently affect the amount and timing of potential outflows with respect to the provisions which have been established and other contingent liabilities. Overall, the legal provision represents the company's best estimate for existing legal matters that have a probable and estimable impact on the company's financial position. The company's disclosures relating to its legal and regulatory compliance are included in note no. #2.27 of the financial statements.	We enquired to those charged with governance to obtain their view on the status of all significant litigation and regulatory matters. We enquired of the company's internal legal counsel for all significant litigation and regulatory matters and inspected internal notes and reports. We assessed the methodologies on which the provision amounts are based, recalculated the provisions, and tested the completeness and accuracy of the underlying information.

Materiality

The scope of our audit was influenced by materiality point of view. We set certain quantitative thresholds for materiality. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole. Based on our professional judgment, we determined materiality for the financial statements as a whole as follows:

Overall materiality	BDT74,836,552 (2018:BDT255,890,204 based on 1% of average assets of previous 5 years).
How we determined it	5% of average profit or loss before tax of the last 5 years.
Rational for benchmark applied	Based on the benchmarks used, profit or loss before tax is a key measure used by the shareholders in assessing the performance of the company, and is a generally accepted auditing benchmark. Up to 2018 materiality for the financial statements was calculated based on 1% of average assets of previous 5 years as the company was in development stage up to 2018.

Performance materiality is the application of materiality at the individual account or balance level. It is set at an amount to reduce to an appropriate low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality.

On the basis of our risk assessments together with our assessment of the company's overall control environment, our judgement was that performance materiality was 75% (2018:75%) of our planning materiality namely BDT56,127,414 (2018: BDT191,917,653 based on 1% of average assets of previous 5 years). We have set performance materiality at this percentage due to our previous experience as auditors of the company from which we concluded that there is a lower expectation of material financial statement inaccuracies due to the company's limited business nature and only minor audit differences resulting from our prior and current year's work.

Other Matter

Prior to signing of the audit report, from March, there was an outbreak of the global pandemic COVID-19 on 11 March 2020. COVID-19 poses existential threats on the ability of a business to survive, which in turn have significant financial reporting impacts- from going concern and liquidity to recoverability and valuation of assets. Changes in the economic activity caused by the pandemic will cause the company to renegotiate the terms of existing contracts and arrangements, and even cancellation of contracts/orders. If the company is offering concessions to its customers, that could have a dramatic impact on its revenue recognition. The key potential financial reporting impacts after Covid-19 and events after the reporting period are summarized as follows (company may use forecast information for multiple purposes for these too):

The impairment of nonfinancial assets, fair value measurement affecting the note no. #8, decrease in Interest Income affecting note no. #20, decrease in Investment Income affecting note no. #22. Because of COVID-19 impact, preparation of reliable forecast information can be challenging and need to be closely monitored as this can have pervasive impact across multiple elements of financial statements.

Other Information

Management is responsible for the other information. The other information comprises all of the information in the annual report other than the financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information obtained prior to the date of this audit report, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls

Management is responsible for maintenance of the required books of accounts and records and preparation and fair presentation of the financial statements of the company in accordance with IFRSs as explained in note no. #2, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The Financial Institutions Act, 1993 and the Bangladesh Bank Regulations require the management to ensure effective internal audit, internal control and risk management functions of the company. The management is also required to make a self-assessment on the effectiveness of anti-fraud internal controls and report to Bangladesh Bank on instances of fraud and forgeries.

In preparing the financial statements, management is responsible for assessing the company's ability to continue as a going concern, disclosed in note no. #2.05, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act, 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report that:

(i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;

(ii) to the extent noted during the course of our audit work performed on the basis stated under the Auditor's Responsibility section in forming the above opinion on the financial statements of the company and considering the reports of the management to Bangladesh Bank on anti-fraud internal controls and instances of fraud and forgeries as stated under the Management's Responsibility for the financial statements and internal controls:

   a. internal audit, internal control and risk arrangements of the company as disclosed in the financial statements appeared to be materially adequate; and

   b. nothing has come to our attention regarding material instances of forgery or irregularity or administrative error and exception or anything detrimental committed by the employees of the company;

(iii) in our opinion, proper books of accounts as required by law have been kept by the company so far as it appeared from our examination of those books;

(iv) the expenditures incurred were for the purpose of the company's business for the year;

(v) the financial statements of the company have been drawn up in conformity with prevailing rules, regulations and accounting standards as well as related guidance issued by Bangladesh Bank;

(vi) provisions have been made in compliance with Bangladesh Bank letter no. FIID(I-06)/2020-283 dated 22 March 2020 and letter no. FIID/I-06/2020-343 dated 02 July 2020 against loans, advances, leases, investment and other assets which are doubtful of recovery;

(vii) we have reviewed over 80% of the risk weighted assets of the company and we have spent around 1,926 man hours for the audit of the books and accounts of the company;

(viii) Capital Adequacy Ratio (CAR) as required by Bangladesh Bank has been maintained adequately during the year as shown in note no. # 14.3 of the financial statements.

Place: Dhaka
Date: 08 September 2020

Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Balance Sheet

As at 31 December 2019

Particulars	Notes	Amount in Taka 31-Dec-19	Amount in Taka 31-Dec-18
Property and Assets			
Cash	3	**31,084,487**	**33,864,283**
In hand (including foreign currencies)		139,187	118,796
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)		30,945,300	33,745,487
Balance with banks and other financial institutions	4	**7,965,250,332**	**7,831,274,161**
Inside Bangladesh		7,965,250,332	7,831,274,161
Outside Bangladesh		-	-
Money at call and on short notice	5	**27,400,000**	**-**
Investments	6	**3,255,862,186**	**1,563,443,964**
Government		-	-
Others		3,255,862,186	1,563,443,964
Loans and advances	7	**18,922,252,016**	**16,977,708,408**
Loans, cash credits, overdrafts etc.		18,922,252,016	16,977,708,408
Bills purchased and discounted		-	-
Fixed assets including premises, furniture and fixtures	8	**267,323,044**	**306,645,408**
Other assets	9	**4,089,263,991**	**3,435,717,905**
Non-banking assets	10	**-**	**-**
Total Property and Assets		**34,558,436,056**	**30,148,654,129**
Liabilities and Shareholders' Equity			
Liabilities			
Borrowing from other banks, financial institutions and agents	11	**4,166,587,594**	**2,461,178,639**
Deposits and other accounts	12	**504,618,055**	**-**
Current accounts and other accounts etc.		-	-
Bills payable		-	-
Savings bank deposits		-	-
Term deposits		504,618,055	-
Bearer certificate of deposits		-	-
Other deposits		-	-
Other liabilities	13	**6,111,802,323**	**4,365,037,688**
Total Liabilities		**10,783,007,972**	**6,826,216,327**
Capital/Shareholders' Equity		**23,775,428,084**	**23,322,437,802**
Paid-up capital	14	21,080,000,000	21,080,000,000
Statutory reserve	15	1,659,085,617	1,568,487,560
General reserve	16	50,000,000	-
Retained earnings	17	986,342,467	673,950,242
Total Liabilities and Shareholders' Equity		**34,558,436,056**	**30,148,654,129**

Particulars	Notes	Amount in Taka	
		31-Dec-19	31-Dec-18
Off-Balance Sheet Items:			
Contingent liabilities	**18**	**503,031,759**	**19,468,129**
Acceptances and endorsements		-	-
Letter of guarantee	**18.1**	503,031,759	19,468,129
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		**-**	**-**
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
Total Off-Balance Sheet Items including contingent liabilities		**503,031,759**	**19,468,129**
Net Asset Value (NAV) per share	**38**	**112.79**	**110.64**

Annexed notes form an integral part of these financial statements.

Company Secretary **Chief Executive Officer** **Director** **Chairman**

Signed as per our report on same date

Dhaka

Place: Dhaka
Date: 08 September 2020

Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Profit and Loss Account

For the year ended 31 December 2019

Particulars	Notes	Amount in Taka	
		31-Dec-19	31-Dec-18
Operating Income			
Interest income from leases, loans and advances	20	1,736,088,527	1,132,242,764
Less: Interest expenses on deposits & borrowings etc.	21	96,345,981	32,411,434
Net interest income		**1,639,742,546**	**1,099,831,331**
Investment income	22	233,825,597	88,050,697
Commission, exchange and brokerage		-	-
Other operating income	23	231,437,493	815,591,322
Total operating income		**2,105,005,636**	**2,003,473,349**
Operating Expenses			
Salary and allowances	24	59,002,335	47,539,659
Rent, taxes, insurance, electricity etc.	25	3,477,003	5,867,323
Legal expenses	26	699,163	1,330,400
Postage, stamp, telecommunication etc.	27	1,922,434	1,707,532
Stationery, printing, advertisement etc.	28	6,840,432	14,634,009
Managing Director's salary and allowances	29	6,821,760	10,252,610
Directors' fees	30	1,416,196	1,348,024
Auditors' fees	31	266,000	368,000
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	46,482,930	40,861,386
Other operating expenses	33	32,350,320	31,798,141
Total operating expenses		**159,278,573**	**155,707,083**
Profit before provision		**1,945,727,063**	**1,847,766,266**
Provision for investment, leases, loans and advances	34	82,929,904	249,241,429
Provision for diminution in value of investments		-	-
Other provision	35	655,298,717	-
Total provision		**738,228,621**	**249,241,429**
Total profit before income tax		**1,207,498,442**	**1,598,524,837**
Provision for income tax	36	754,508,161	770,230,459
Net profit after tax & provision		**452,990,281**	**828,294,378**
Appropriations to:		**140,598,056**	**165,658,876**
Statutory reserve	15	90,598,056	165,658,876
General reserve	16	50,000,000	-
Retained surplus		**312,392,225**	**662,635,502**
Earnings per share (EPS)	37	**2.15**	**3.93**

Annexed notes form an integral part of these financial statements.

Company Secretary | **Chief Executive Officer** | **Director** | **Chairman**

Signed as per our report on same date

Place: Dhaka
Date: 08 September 2020

Syful Shamsul Alam & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Limited

Statements of Cash Flows

For the year ended 31 December 2019

	Particulars	Notes	Amount in Taka 31-Dec-19	Amount in Taka 31-Dec-18
A.	**Cash flow from operating activities:**			
	Interest received		1,250,163,815	1,104,919,764
	Interest paid		(49,011,044)	(28,740,123)
	Dividend received		90,087,753	40,299,874
	Interest received from commercial paper & bond		19,787,918	60,473,991
	Cash paid to employees		(65,727,672)	(58,890,120)
	Cash paid to suppliers		(22,938,956)	(22,196,851)
	Income taxes paid		(561,655,414)	(619,980,669)
	Received from other operating activities		263,361,486	800,001,741
	Paid for other operating activities		(33,870,016)	(31,798,141)
	Cash generated from operating activities		**890,197,871**	**1,244,089,468**
	Increase/(Decrease) in operating assets and liabilities, statutory deposits			
	Loans and advances to other banks		-	-
	Investment		-	-
	Loans and advances to other customers		(1,458,618,896)	(6,230,636,523)
	Other assets		(460,470)	21,028,241
	Borrowings from banks, financial institutions and agents		1,667,185,085	2,457,704,951
	Deposits from other banks/borrowings		504,618,055	-
	Other liabilities		403,931,133	(966,129)
			1,116,654,907	**(3,752,869,460)**
	Net cash flow from/(used in) operating activities		**2,006,852,778**	**(2,508,779,993)**
B.	**Cash flow from investing activities:**			
	Purchase of property, plant and equipment		(5,838,180)	(78,088,107)
	Net proceed from investment in securities		(1,692,418,222)	948,423,275
	Net cash flow from/(used in) investing activities		**(1,698,256,402)**	**870,335,168**
C.	**Cash flow from financing activities:**			
	Dividend paid		(150,000,000)	-
	Issuance of shares		-	-
	Net cash used in financing activities		**(150,000,000)**	**-**
D.	**Net increase/(decrease) in cash and cash equivalents (A+B+C)**		158,596,375	(1,638,444,825)
E.	**Effects of exchange rate changes on cash and cash equivalents**		-	-
F.	**Cash and cash equivalents at the beginning of the year**		7,865,138,444	9,503,583,269
G.	**Cash and cash equivalents at the end of the year (D+E+F)**		**8,023,734,820**	**7,865,138,444**
	Cash and cash equivalents at the end of the year			
	Cash in Hand	**3.1**	139,187	118,796
	Balance with Bangladesh Bank and its agent bank(s)	**3.2**	30,945,300	33,745,487
	Balance with other banks and financial institutions	**4**	7,965,250,332	7,831,274,161
	Money at call and short notice	**5**	27,400,000	-
			8,023,734,820	**7,865,138,444**
	Net Operating Cash Flow Per Share (NOCFPS)	**39**	**9.52**	**(11.90)**

Annexed notes form an integral part of these financial statements.

Company Secretary **Chief Executive Officer** **Director** **Chairman**

Dhaka

Bangladesh Infrastructure Finance Fund Limited

Statement of Changes in Equity

For the year ended 31 December 2019

Amount in Taka

Particulars	Paid-up capital	Statutory reserve	General reserve	Retained earnings	Total
Balance as on 01-01-2018	**20,590,000,000**	**1,402,828,685**	**-**	**651,314,740**	**22,644,143,425**
Net profit for the year	-	-	-	828,294,378	**828,294,378**
Dividend for the year 2017					**-**
Cash dividend	-	-	-	(150,000,000)	**(150,000,000)**
Stock dividend	490,000,000	-	-	(490,000,000)	**-**
Appropriations made during the year	-	165,658,876	-	(165,658,876)	**-**
Balance as on 31-12-2018	**21,080,000,000**	**1,568,487,561**	**-**	**673,950,242**	**23,322,437,803**
Balance as on 01-01-2019	**21,080,000,000**	**1,568,487,561**	**-**	**673,950,242**	**23,322,437,803**
Net profit for the year	-	-	-	452,990,281	**452,990,281**
Dividend for the year 2018					**-**
Cash dividend	-	-	-	-	**-**
Stock dividend	-	-	-	-	**-**
Appropriations made during the year	-	90,598,056	50,000,000	(140,598,056)	**-**
Balance as on 31-12-2019	**21,080,000,000**	**1,659,085,617**	**50,000,000**	**986,342,467**	**23,775,428,084**

Annexed notes form an integral part of these financial statements.

Company Secretary **Chief Executive Officer** **Director** **Chairman**

Dhaka

Bangladesh Infrastructure Finance Fund Limited

Liquidity Statement

Asset and Liability Maturity Analysis

As at 31 December 2019

Amount in Taka

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand and balance with Bangladesh Bank and its agent bank(s)	31,084,487		-	-	-	31,084,487
Balance with banks and other financial institutions	3,385,172,698	4,580,077,634	-		-	7,965,250,332
Money at call and short notice	27,400,000	-	-	-	-	27,400,000
Investments	-	62,238,315	304,595,116	1,762,362,089	1,126,666,666	3,255,862,186
Loans and advances	-	682,184,881	2,046,554,642	9,550,588,327	6,642,924,167	18,922,252,016
Fixed assets including land, buildings, furniture and fixtures	-	-	44,550,957	149,000,454	73,771,633	267,323,044
Other assets	53,278	102,446,932	106,567,123	3,880,196,658	-	4,089,263,991
Non-banking assets	-	-	-	-	-	-
Total Assets (A)	**3,443,710,463**	**5,426,947,761**	**2,502,267,837**	**15,342,147,528**	**7,843,362,466**	**34,558,436,056**
Liabilities						
Borrowing from banks, financial institutions and agents	1,497,917	2,751,503	40,940,642	924,683,595	3,196,713,937	4,166,587,594
Deposits	-	-	504,618,055	-	-	504,618,055
Other accounts	-	-	-	-	-	-
Provision and other liabilities	6,074,159	3,862,067	7,398,061	5,577,920,289	516,547,746	6,111,802,323
Total Liabilities (B)	**7,572,076**	**6,613,570**	**552,956,759**	**6,502,603,885**	**3,713,261,683**	**10,783,007,972**
Net Liquidity Gap (A-B)	**3,436,138,387**	**5,420,334,191**	**1,949,311,079**	**8,839,543,644**	**4,130,100,783**	**23,775,428,084**

Annexed notes form an integral part of these financial statements.

Company Secretary **Chief Executive Officer** **Director** **Chairman**

Dhaka

Bangladesh Infrastructure Finance Fund Limited

Notes to the Financial Statements

For the year ended 31 December 2019

1 Reporting entity

1.1 Company profile

Bangladesh Infrastructure Finance Fund Limited hereinafter also referred to as 'BIFFL' started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the company is BDT100 (one hundred) billion divided into 1 (one) billion shares of BDT100 each and the Subscribed Share Capital or Paid-up capital is BDT21.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8 member Board of Directors. The overall policy decisions of the company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Finance Division, MoF; Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road Transport and Highways' Division, MoRT&B; Secretary, Bridges Division, MoRT&B; and Additional Secretary, Finance Division, MoF. The Secretary, Finance Division, Ministry of Finance is the Chairman of the Board. The CEO is an ex-officio member of the Board.

1.2 Nature of business

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as channel for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest in companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to supplement in achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects; to ensure adequate infrastructure development of the country through promotion of PPP; to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and to bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power & Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social & Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

Dhaka

2 Significant accounting policies and basis of preparation of financial statements

2.1 Statement of compliance and basis of preparation

The Financial Reporting Act, 2015 (FRA) has been enacted during the year 2015. Under the FRA, the Financial Reporting Council (FRC) is to be formed and it is empowered to issue financial reporting standards for public interest entities such as Financial Institutions (FIs). The Financial Institutions Act, 1993 has been amended as required to comply for the preparation of their financial statements under such financial reporting standards. The FRC has been formed but yet to issue any financial reporting standards as per the provisions of the FRA and hence International Financial Reporting Standards (IFRSs) as adopted in Bangladesh are still applicable.

Accordingly, the financial statements of the company continue to be prepared in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987. In case of any requirement of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank, which differ with those of IFRSs, the requirements of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank shall prevail. The financial statements have been prepared on historical cost basis.

2.2 Disclosure of departure from few requirements of IASs/IFRSs due to mandatory compliance of Bangladesh Bank's requirements

The Bangladesh Bank is the prime regulatory body for Non-Banking Financial Institutions (NBFI) in Bangladesh. Some requirements of Bangladesh Bank's rules and regulations differ with the requirements of IASs/IFRSs. As such the company has departed from those contradictory requirements of IASs/IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below.

2.2.1 Valuation of Investments in quoted and unquoted shares and securities

IFRS:

As per requirements of IFRS 9, classification and measurement of investment in shares and securities will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. Based on these factors it would generally fall either under "at fair value through profit or loss account" or under "at fair value through other comprehensive income" where any change in the fair value (as measured in accordance with IFRS 13) at the year-end is taken to profit and loss account or other comprehensive income respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited balance sheet respectively. Provision should be made for any loss arising from diminution in value of investment. As such the company measures and recognizes investment in quoted and unquoted shares at cost if the year-end market value (for quoted shares) and book value (for unquoted shares) are higher than the cost. In order to comply with the requirement specified in DFIM Circular No. 02 dated January 31, 2012 the company has charged the entire amount of difference in market value and cost price of marketable securities to the profit and loss account. However, as per requirements of IFRS 9 investment in shares falls either under "at fair value through profit and loss account" or under "available for sale" where any change in the fair value at the year-end is taken to profit and loss account or comprehensive income respectively.

2.2.2 **Provision on loans and advances**

IFRS:

As per IFRS 9 an entity shall recognise an impairment allowance on loans and advances based on expected credit losses. At each reporting date, an entity shall measure the impairment allowance for loans and advances at an amount equal to the lifetime expected credit losses if the credit risk on these loans and advances has increased significantly since initial recognition whether assessed on an individual or collective basis considering all reasonable information, including that which is forward-looking. For those loans and advances for which the credit risk has not increased significantly since initial recognition, at each reporting date, an entity shall measure the impairment allowance at an amount equal to 12 month expected credit losses that may result from default events on such loans and advances that are possible within 12 months after reporting date.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and DFIM circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained. However, such general provision satisfy the conditions of provision as per IFRS 9.

2.2.3 **Financial instruments - presentation and disclosure**

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IFRS 9. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.2.4 **Financial guarantees**

IFRS:

As per requirements of IFRS 9, financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

2.2.5 **Cash and cash equivalents**

IFRS:

Cash and cash equivalents items should be reported as cash item as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.2.6 **Non-banking assets**

IFRS:

There is no particular/specific guideline about non-banking assets in IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, there must exist a face item named non-banking asset.

2.2.7 Statement of cash flows

IFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

2.2.8 Balance with Bangladesh Bank

IFRS:

Balance with Bangladesh Bank should be not be treated as cash and cash equivalents as it is not available for use in day to day operations as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.2.9 Off balance sheet items

IFRS:

As per IFRS, there is no mandatory requirement for disclosure of off-balance sheet items on the face of the balance sheet.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, off balance sheet items e.g. Letter of Credit, Letter of Guarantee, Acceptance must be disclosed separately on the face of balance sheet.

2.2.10 Disclosure of appropriation of profit

IFRS:

There is no mandatory requirement to show appropriation of profit in the face of the profit and loss account.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, an appropriation of profit should be disclosed on the face of profit and loss account.

2.2.11 Other comprehensive income

IFRS:

As per IAS 1 'Presentation of Financial Statements', other comprehensive income is a component of financial statements or the elements of other comprehensive income are to be included in a single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include other comprehensive income; and the elements of other comprehensive income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the other statement of comprehensive income. However elements of OCI, if any, are shown in the Statement of Changes in Equity.

2.2.12 Loans and advances net of provision

IFRS:

As per IFRS 9, Loans and advances should be presented as net of provision.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

Dhaka

2.2.13 Recognition of interest in suspense

IFRS:

Loans and advances to customers are generally classified at amortised cost as per IFRS 9 and interest income is recognised in profit and loss account by using the effective interest rate method to the gross carrying amount over the term of the loan. Once a loan subsequently become credit-impaired, the entity shall apply the effective interest rate to the amortised cost of these loans and advances.

Bangladesh Bank:

As per FID circular no. 8 dated 3 August 2002, once a loan is classified as impaired, interest on such loans are not allowed to be recognised as income, rather the corresponding amount needs to be credited to an interest in suspense account, which is presented as liability in the balance sheet.

2.3 Components of the financial statements

The financial statements comprise of (As per DFIM Circular No. 11, Dated 23 December 2009):

a) Balance Sheet as at 31 December 2019;

b) Profit and Loss Account for the year ended 31 December 2019;

c) Statement of Cash Flows for the year ended 31 December 2019;

d) Statement of Changes in Equity for the year ended 31 December 2019;

e) Liquidity Statement for the year ended 31 December 2019 and

f) Notes to the Financial Statements for the year ended 31 December 2019.

2.4 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect in the year ending 31 December 2019 is included in the following notes:

a) Note 9.2 Deferred tax assets;

b) Note 13.1 Provision for Income tax;

c) Note 13.3 Deferred tax liabilities;

d) Note 13.4 Employee benefit liabilities (provision for gratuity);

e) Note 13.5 Provision for lease, loans, advances, investment, and others;

f) Note 18.1 Letter of gurantee (contingent liabilities);

g) Note 32 Depreciation and repairs of company's assets.

2.5 Going concern

The company has adequate resources to continue its operation for foreseeable future. For this reason, the directors continue to adopt going concern basis in preparing the financial statements. The current credit facilities and resources of the company provide sufficient funds to meet the present requirements of its existing businesses and operations.

The outbreak of COVID 19 across the world has resulted in disruptions in the business activities everywhere. COVID-19 poses existential threats on the ability of a business to survive, which in turn have significant financial reporting impacts from going concern and liquidity to recoverability and valuation of assets.

However, the COVID-19 virus can evolve in various directions. If society, and as a consequence business, is exposed to COVID-19 for a longer period of time, this may result in prolonged negative results and pressure on our liquidity and profitability. However, the company has taken and will take various measures to keep the company's going concern status:

Dhaka

Response to address the COVID-19 effects:

i) This includes ensuring adequate safety and health measures for the employees like social distancing and working from home to ensure the safety of the employees;

ii) Prudent balance sheet and cash management to ensure enough liquidity to manage all obligations;

iii) Introducing and implementing contingency plans for liquidity and putting into controls for regular monitoring;

iv) Effective cost control measures are already in place to combat the unprecedented situation;

v) Reduce certain expenses which is required in normal business scenario but not 100% applicable during overall slowdown of macroeconomic and industry specific environment.

Furthermore, the management is continuously monitoring the company's key ratios and is confident enough to undertake all crisis management and business continuity measures. The management of the company has performed extensive analysis on the possible impact and has responded through adequate measures mitigating possible impacts. Through conducting a stringent review and an assessment of the levels of facilities expected to be available to the company, the management strongly believes that the BIFFL has adequate resources for a period of at least 12 months from the date of authorized for issue of the financial statements. So, based on the facts and circumstances known at this moment, the management believes there is no material uncertainty that may cast any doubt upon the company's ability to continue as a going concern.

2.6 Materiality and aggregation

Each material item considered by management as significant has been presented separately in the financial statements. No amount has been set off unless the company has a legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

2.7 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS-1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next. Where selecting and applying new accounting policies, changes in accounting policies applied, correction of errors, the amounts involved are accounted for and disclosed in accordance with the requirement of IAS-8.

2.8 Reporting period

The financial period of the company was determined from 1 January to 31 December and followed consistently. These financial statements cover one year starting from 1 January 2019 to 31 December 2019.

2.9 Functional and presentation currency

The figures of the Financial Statements are presented in Bangladesh Taka (BDT/Taka/Tk.) which is company's functional currency. All financial Information presented in Taka has been rounded off to the nearest integer except otherwise indicated.

2.10 Assets and basis of their valuation

2.10.1 Cash and cash equivalents

Cash and cash equivalents comprises cash in hand, balance with Bangladesh Bank, cash at bank, term deposits, money at call and short notice that are readily convertible to a known amount of cash and that are subject to an insignificant risk of change in value. Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.10.2 Investment in securities

Investment in non-marketable shares have been shown at cost. The company has no investment in marketable securities.

Dhaka

2.10.3 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions given in FID circular no. 08 dated 3 August 2002 and FID circular no. 03 dated 03 May 2006.

Interest on loans and advances

Interest is calculated on a daily product basis and is recognized as revenue on accrual basis. However, interest income under category of classified and Special Mention Account (SMA) account is not recognised as income but credited to interest suspense account as per Bangladesh Bank circulars and directives. No interest is charged on bad and loss loans as per guidelines of Bangladesh Bank.

Provision for loans and advances

Provision for loans, advances and investments is an estimate of the losses that may be sustained in the investment portfolio. The methodology for measuring the appropriate level of the provision relies on several key elements, which include both quantitative and qualitative factors as set forth in the Bangladesh Bank guidelines. Provision for loans and advances are made on quarter basis as per the instructions given in FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006 and FID circular no. 03 dated 29 April 2013 of Bangladesh Bank.

Rate of provision

General Provision on unclassified loans and advances and specific provision on classified loans & advances are made as per below rate:

Particulars	Rate
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the Statement of Financial Position.

Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.10.4 Property, plant and equipment

Property, plant and equipments are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. Depreciation method, useful lives and residual values are reviewed at each reporting date. The depreciation on newly acquired assets is charged from the date of acquisition.

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Category of Fixed assets	Rate of Depreciation
Land & land development	0%
Computer & IT equipment	33%
Office equipment	20%
Furniture & fixtures	10%
Motor vehicles	20%
Building	10%
Electronics	12.5%
Civil construction	50%
Websites & software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

Impairment

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.

2.10.5 Intangible assets

An intangible asset is recognised if it is probable that future economic benefits that are attributable to the asset will flow to the company over a period of time and the cost of the asset can be measured reliably as per IAS 38 'Intangible Assets'. Intangible assets acquired separately are recorded on initial recognition at costs and are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure on intangible assets

Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefit from the assets. All other expenditures are recognised as expense as and when they are incurred.

Amortisation of intangible assets

Intangible assets are amortized on straight line basis to the profit and loss account from the date when the asset is available for use over its estimated useful life as follows:

Items of intangible Assets	Estimate useful life
Computer software	2 years

2.10.6 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamps. Details are shown in Note-9. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.10.7 Non-banking assets

Non-banking assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.11 Basis for valuation of liabilities and provisions

2.11.1 Provision for tax

a. Current tax

Provision for current tax has been made on the basis of the profit of the year as adjusted for taxation purpose in accordance with the provisions of Income Tax Ordinance, 1984 and amendments made thereto from time to time. The company's current tax liability is calculated using applicable tax rate on the reporting date, and any adjustments to tax payable in respect of previous years.

Dhaka

b. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

a) Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;

b) Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and

c) Taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the company has not rebutted this presumption.

2.11.2 Employees' benefit obligation

Defined contribution plan

The company operates a contributory provident fund scheme for its permanent employees. Provident Fund is administered by a Board of Trustees and is funded by contributions equally from the permanent employees and from the company @10% of basic salary of the employees. The contributions are invested to ensure optimum return to the employees.

Defined benefit plan

The company operates a funded gratuity scheme for its permanent employees.

Short term benefit

Short-term employee benefit (salary, bonus etc.) obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Other employee benefit obligation

The company operates a group life insurance and hospitalisation insurance schemes for its permanent employees.

2.11.3 Accrued expenses, provisions and payables

Liabilities are recognised for goods and services received, whether paid or not, for those goods and services. Payables are not interest bearing and are stated at their actual value.

Provisions and accrued expenses are recognised in the financial statements when the company has a legal or constructive obligation as a result of past event and it is probable that an outflow of economic benefit will be probable to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Dhaka

2.12 Capital and shareholders' equity

2.12.1 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.12.2 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.12.3 Statutory reserve

As per Financial Institution Regulations, 1994, Non-Bank Financial Institutions (NBFIs) are required to transfer 20% of its post tax profit to statutory reserve before declaration of dividend. This requirement has been properly complied with.

2.12.4 Dividends payment

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders.

2.13 Earnings per share

The company presents basic and diluted EPS data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

2.14 Contingent assets & liabilities

Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or Any present obligation that arises from past events but is not recognised because:

a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

b) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits can reliably be estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.15 Director's responsibility statement

The Board of Directors is responsible for the preparation and presentation of the financial statements under section 183 of the Companies Act, 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements'.

Dhaka

2.16 Related party disclosure

As per IAS-24 'Related Party Disclosures', parties are considered to be related if one of the parties has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties.

2.17 Litigation

The company is not a party to any material law suits except those arising in the normal course of business. The company has filed necessary law suits against some of the default clients for non-performance in loans and advances repayment. The company, however, has made adequate provision against such doubtful finances.

2.18 Borrowings from other banks, financial institutions and agents

Borrowings include short term and long term borrowings from banks and non-bank financial institutions. These are stated at amounts outstanding on the reporting date. Interest expense on these borrowings is charged to the profit and loss account on accrual basis.

2.19 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of assets and liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipment are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.20 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 47 as per IAS 10 'Events after the reporting period'.

2.21 Comparatives and reclassification

Comparative information have been disclosed in respect of 2018 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current period's financial statements.

To facilitate comparison, certain relevant balances pertaining to the comparatives have been rearranged / restated /reclassified whenever considered necessary to conform to current period's presentation.

2.22 Compliance Report on International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs)

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Applicable
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*

8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Disclosure of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Applied
14	IFRS-15	Revenue from contracts with customers	Applied
15	IFSR-16	Leases	Applicable
16	IAS-1	Presentation of financial statements	Applied*
17	IAS-2	Inventories	Not Applicable
18	IAS-7	Cash flow statements	Applied*
19	IAS-8	Accounting policies, changes in accounting estimates and errors	Applied
20	IAS-10	Events after the balance sheet date	Applied
21	IAS-12	Income taxes	Applied
22	IAS-16	Property, plant and equipment	Applied
23	IAS-19	Employee benefits	Applied
24	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable
25	IAS-21	The effects of changes in foreign exchange rates	Not Applicable
26	IAS-23	Borrowing costs	Applied
27	IAS-24	Related party disclosures	Not Applied
28	IAS-26	Accounting and reporting by retirement benefit plans	Applied
29	IAS-27	Consolidated and separate financial statements	Not Applicable
30	IAS-28	Investments in associates	Not Applicable
31	IAS-31	Interest in joint ventures	Not Applicable
32	IAS-32	Financial instruments: presentation	Applied*
33	IAS-33	Earnings per share	Applied
34	IAS-34	Interim financial reporting	Applied
35	IAS-36	Impairment of assets	Applied
36	IAS-37	Provision, contingent liabilities and contingent assets	Applied*
37	IAS-38	Intangible assets	Applied
38	IAS-40	Investment property	Not Applicable
39	IAS-41	Agriculture	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements.

2.23 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risk sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Dhaka
Chartered Accountants

Pillar- 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a financial institution. A standardized approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.24 Stress testing

Stress testing is an important risk management tool that is used by the financial institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an Indication of how much capital might be needed to absorb losses should large shock occur. Stress testing supplements other risk management approaches and measures playing particularly important role in:

i. Providing forward-looking assessment of risk;

ii. Overcoming limitations of models and historical data;

iii. Supporting external and internal communication;

iv. Feeding into capital and liquidity planning procedures;

v. Informing the setting of an FI's risk tolerance; and

vi. Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

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2.25 IT systems and control

Information technology forms an integral part of the NBFI's corporate governance. It deals primarily with optimizing the linkage between strategic direction and information systems management of the company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of information technology. IT & MISD is constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.26 Prevention of money laundering

In recognition of the fact that financial institutions are particularly vulnerable to money laundering, BIFFL has established an Anti Money Laundering Policy. The purpose of this policy is to provide a guideline to comply with all laws and regulations regarding money laundering, both at country and international levels, to safeguard the company from potential compliance, financial and reputational risks. Further, Know Your Customer (KYC) procedures have been set up for the borrowers. Training is also given as a continuous process for creating/ developing awareness among the relevant officers.

2.27 Legal & regulatory compliance

The company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.

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		Amount in Taka	
		31-Dec-19	31-Dec-18
3	**Cash**		
	Cash in hand (Note- 3.1)	139,187	118,796
	Balance with Bangladesh Bank and its agent bank(s) (Note- 3.2)	30,945,300	33,745,487
		31,084,487	**33,864,283**
3.1	**Cash in hand**		
	In local currency	139,187	118,796
	In foreign currency	-	-
		139,187	**118,796**
3.2	**Balance with Bangladesh Bank and its agent bank(s)**		
	Balance with Bangladesh Bank	30,945,300	33,745,487
	In foreign currency	-	-
		30,945,300	**33,745,487**

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note- 3.4) and Statutory Liquidity Reserve (note- 3.5) have been calculated and maintained in accordance with Financial Regulations 1994 and FID circular no. 06 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004.

3.4 Cash Reserve Requirement (CRR)

CRR is calculated at the rate of 2.5% on total term deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004. Total term deposits mean term or fixed deposits, security deposit against lease/loan and other term deposits received from individuals and institutions (except banks and financial institutions).

	31-Dec-19	31-Dec-18
Required reserve	12,615,451	-
Actual reserve held (Balance with BB)	**30,945,300**	**33,745,487**
Surplus/(Deficit)	**18,329,849**	**33,745,487**

3.5 Statutory Liquidity Reserve ((SLR)

SLR has been calculated at the rate of 5% of total liabilities less borrowing from other banks & FIs and Bangladesh Bank. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

	31-Dec-19	31-Dec-18
Required reserve	501,404,556	144,962,114
Actual reserve held	7,983,719,368	7,865,138,444
Surplus/(Deficit)	**7,482,314,812**	**7,720,176,330**

		31-Dec-19	31-Dec-18
4	**Balance with other banks and financial institutions**		
	Inside Bangladesh		
	Current accounts (Note- 4.1)	1,099,504	20,760,546
	Short noticed deposit accounts (Note- 4.2)	1,675,140,464	193,026,253
	Fixed deposit accounts (Note- 4.3)	6,289,010,363	7,617,487,363
		7,965,250,332	**7,831,274,161**
	Outside Bangladesh	-	-
		7,965,250,332	**7,831,274,161**

The company does not maintain any account outside Bangladesh.

		31-Dec-19	31-Dec-18
4.1	**Current account**		
	One Bank Ltd.	-	32,791
	Dutch Bangla Bank Ltd.	1,096,613	753,588
	Uttara Bank Limited	2,891	19,974,166
		1,099,504	**20,760,546**

		Amount in Taka	
		31-Dec-19	31-Dec-18
4.2	**Short noticed deposit account**		
	One Bank Ltd.	-	8,383,260
	NRB Bank Ltd.	-	7,068,860
	United Commercial Bank Ltd.	7,929,694	1,589,443
	Shahjalal Islami Bank Ltd.	257,487,415	168,396,002
	Sonali Bank Ltd.	1,378,133	116,912
	Agrani Bank Ltd.	1,408,345,223	7,471,775
		1,675,140,464	**193,026,253**
4.3	**Fixed deposit accounts**		
	Bangladesh Commerce Bank Ltd.	-	120,956,250
	Bay Leasing and Investment Ltd.	-	30,000,000
	BD Finance and Investment Ltd.	85,943,106	81,931,751
	Bangladesh Industrial Finance Company (BIFC) Ltd.	595,321,762	555,380,015
	Brac Bank Ltd.	-	101,524,206
	Delta Brac Housing Corporation Ltd.	-	21,309,798
	Eastern Bank Ltd.	-	60,000,000
	EXIM Bank Ltd.	-	30,999,036
	Fareast Finance and Investment Ltd.	350,000,000	350,000,000
	Padma Bank Ltd.	1,127,232,034	1,174,149,640
	FAS Finance and Investment Ltd.	613,171,089	573,173,603
	First Finance Ltd.	208,500,000	201,905,278
	First Security Islami Bank Ltd.	-	40,000,001
	ICB Islamic Bank Ltd.	443,370,234	463,150,871
	IFIC Bank Ltd.	-	315,317,268
	International Leasing and Financial Services Ltd.	794,540,275	726,925,625
	IPDC Finance Ltd.	-	10,000,000
	Meridian Finance and Investment Ltd.	370,000,000	402,225,000
	National Housing and Finance Ltd.	-	60,663,000
	NRB Bank Ltd.	-	53,875,084
	NRB Commercial Bank Ltd.	10,000,000	90,720,000
	NRB Global bank Ltd.	-	60,337,501
	One Bank Ltd.	-	32,366,995
	Peoples Leasing and Financial Services Ltd.	607,090,552	572,267,941
	Premier Bank Ltd.	-	20,978,717
	Premier Leasing and Finance Ltd.	291,316,293	273,037,500
	Prime Finance and Investment Ltd.	250,000,000	300,000,000
	Reliance Finance Ltd.	162,135,000	160,000,000
	SBAC Bank Ltd.	-	163,697,916
	Shahjalal Islami Bank Ltd.	-	31,671,998
	Social Islami Bank Ltd.	-	20,748,879
	Union Bank Ltd.	-	22,472,328
	Union Capital Ltd.	380,390,018	362,550,000
	United Commercial Bank Ltd.	-	81,913,666
	United Finance Ltd.	-	51,237,500
		6,289,010,363	**7,617,487,363**

4.3.1 Cosidering the overall money market situation, recovery status of FDR investment from 12 (twelve) companies amounting BDT5,559,010,363 in total has become slow namely investments in BD Finance & Investment Limited, BIFC Limited, Padma Bank Limited, FAS Finance & Investment Limited, First Finance Limited, ICB Islamic Bank Limited, International Leasing & Financial Services Limited, Peoples Leasing & Financial Services Limited, Premier Leasing & Finance Limited, Prime Finance & Investment Limited, Reliance Finance Limited and Union Capital Limited. Bangladesh Bank vide letter no. FIID(I-06)/2020-283 dated 22 March 2020 advised to take effective actions/initiatives to recover these FDR investments. Accordingly, the company has recovered amounting BDT1,475,884 from Premier Leasing & Finance Limited, BDT700,000 from FAS Finance & Investment Limited, and BDT19,098,072 from ICB Islamic Bank Limited.

		Amount in Taka	
		31-Dec-19	31-Dec-18
4.4	**Maturity grouping of balance with banks and other financial institutions**		
	On demand	1,099,504	20,760,546
	Up to 1 month	3,385,172,698	2,559,846,294
	Over 1 month but not more than 3 months	4,578,978,130	5,250,667,322
	Over 3 months but not more than 1 year	-	-
	Over 1 year but not more than 5 years	-	-
	Over 5 years	-	-
		7,965,250,332	**7,831,274,161**
5	**Money at call and short notice**		
	Bangladesh Commerce Bank Ltd.	-	-
	FAS Finance & Investment Ltd.	27,400,000	-
		27,400,000	**-**
6	**Investments**		
	Investment classified as per nature:		
	Government bond (Note- 6.1)	-	-
	Other investments (Note- 6.2)	3,255,862,186	1,563,443,964
		3,255,862,186	**1,563,443,964**
6.1	**Government bond**		
	Treasury bills	-	-
	National investment bonds	-	-
	Bangladesh Bank bills	-	-
	Government notes/bonds	-	-
	Others	-	-
		-	-
	BIFFL has no investment in Government bond.		
6.2	**Other investments**		
	Investment in preference share (Note- 6.2.1)	1,862,424,240	1,089,393,936
	Investment in commercial paper (Note- 6.2.2)	250,000,000	250,000,000
	Investment in bond (Note- 6.2.3)	1,143,437,946	224,050,028
		3,255,862,186	**1,563,443,964**
6.2.1	**Investment in preference share**		
	Rajlanka Power Company Ltd.	242,424,240	339,393,936
	Doreen Power House & Technologies Ltd.	400,000,000	400,000,000
	Ace Alliance Power Ltd.	350,000,000	350,000,000
	Kushiara Power Company Ltd.	570,000,000	-
	Bhairab Power Ltd.	200,000,000	-
	Summit Gazipur II Power Ltd.	100,000,000	-
		1,862,424,240	**1,089,393,936**
6.2.2	**Investment in commercial paper**		
	Computer Source Ltd.	250,000,000	250,000,000
		250,000,000	**250,000,000**
6.2.3	**Investment in bond**		
	IDLC zero coupon bond	143,437,946	224,050,028
	Ashuganj Power Station Company Ltd.	1,000,000,000	-
		1,143,437,946	**224,050,028**

Dhaka

		Amount in Taka	
		31-Dec-19	31-Dec-18
7	**Leases, loans and advances**		
	a) Inside Bangladesh		
	Leases (Note- 7.1)	-	-
	Loans	18,922,252,016	16,977,708,408
	Cash credits	-	-
	Overdrafts	-	-
	Sub-total	**18,922,252,016**	**16,977,708,408**
	b) Outside Bangladesh	-	-
	Total	**18,922,252,016**	**16,977,708,408**
7.1	**Leases**	-	-
7.2	**Sector wise leases, loans and advances**		
	Public sector	4,867,672,027	5,396,582,235
	Co-operative sector	-	-
	Private sector	14,054,579,989	11,581,126,173
		18,922,252,016	**16,977,708,408**
7.3	**Residual maturity grouping of leases, loans and advances**		
	On demand	-	-
	Up to 1 month	-	-
	Over 1 month but not more than 3 months	682,184,881	527,614,194
	Over 3 months but not more than 1 year	2,046,554,642	1,155,228,388
	Over 1 year but not more than 5 years	9,550,588,327	6,571,970,903
	Over 5 years	6,642,924,167	8,722,894,923
		18,922,252,016	**16,977,708,408**
7.4	**Leases, loans and advances on the basis of significant concentration**		
	a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
	b. Leases, loans and advances to Chief Executive Officer and other senior executives	14,582,864	2,900,725
	c. Leases, loans and advances to customer groups	-	-
	Large infrastructure projects	12,999,178,275	14,406,433,384
	Sustainable and eco-friendly projects	5,863,192,709	2,529,279,316
	SME- Women entrepreneurs	45,298,168	39,094,983
		18,922,252,016	**16,977,708,408**
	d. Leases, loans and advances on sector basis:		-
	i) Textiles	10,817,309	14,535,416
	ii) Garments and accessories	2,798,249,374	1,430,006,489
	iii) Transport (including marine transport)	3,564,884,028	5,683,422,222
	iv) Chemicals and pharmaceuticals	-	-
	v) Iron, steel and engineering	1,188,523,409	736,657,322
	vi) Agricultural equipment and agro industries	-	-
	vii) Power and energy	2,497,143,758	1,176,563,047
	viii) Electronics and electrical	276,754,544	186,539,617
	ix) Information technology (IT)	-	-
	x) Paper printing and packaging	-	-
	xi) Plastic	4,415,305	5,126,319
	xii) Real estate and housing	-	-
	xiii) Food and beverage	5,564,814	3,128,546
	xiv) Glass and ceramics	1,924,139,629	1,104,177,287
	xv) Services	1,100,286,937	1,226,668,940
	xvi) Others	5,551,472,909	5,410,883,203
		18,922,252,016	**16,977,708,408**

Dhaka

		Amount in Taka	
		31-Dec-19	31-Dec-18
7.5	**Leases, loans and advances on geographical basis**		
	Inside Bangladesh		
	Urban		
	Dhaka Division	3,488,397,067	4,455,000,000
	Chittagong Division	246,794,276	223,947,929
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Sub-total	**3,735,191,342**	**4,678,947,929**
	Rural		
	Dhaka Division	6,780,232,119	5,415,051,184
	Chittagong Division	5,212,336,162	3,674,273,189
	Khulna Division	5,175,566	3,128,546
	Rajshahi Division	120,089,954	53,168,036
	Barisal Division	48,373,975	-
	Sylhet Division	3,020,852,898	3,153,139,524
	Sub-total	**15,187,060,674**	**12,298,760,479**
	Outside Bangladesh	**-**	**-**
	Total	**18,922,252,016**	**16,977,708,408**
7.6	**Classification of Leases, loans and advances**		
	Unclassified		
	Standard (STD)	18,163,479,034	16,972,582,089
	Special mention account (SMA)	496,870,186	-
	Sub-total	**18,660,349,220**	**16,972,582,089**
	Classified		
	Sub-standard (SS)	261,902,796	5,126,319
	Doubtful (DF)	-	-
	Bad/Loss (BL)	-	-
	Sub-total	**261,902,796**	**5,126,319**
	Total	**18,922,252,016**	**16,977,708,408**
7.7	**Particulars of loans, advances and leases**		
	i) Loan considered good in respect of which the FI is fully secured	6,160,257,420	5,398,477,341
	ii) Loan considered good for which the FI holds no other security than the debtor's personal security	4,104,496,516	2,928,818,570
	iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	8,657,498,080	8,650,412,497
	iv) Loan adversely classified; for which no provision is created	-	-
	Total	**18,922,252,016**	**16,977,708,408**

Dhaka
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Chartered Accountants

	Amount in Taka	
	31-Dec-19	31-Dec-18
v) Loan due by directors or officers of the FI or any of them either jointly or separately with any other persons	14,582,864	2,900,725
vi) Loan due by companies and firms in which the directors of the FI have interests as directors, partners or managing agent or in case of private companies as members	-	-
vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the FI or any of them either severally or jointly with any other persons	-	-
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the FI have interests as directors, partners or managing agents or, in case of private companies as members	-	-
ix) Due from other bank/FI companies	-	-
x) Information in respect of classified loans and advances:	-	-
a) Classified loans for which interest/ profit not credited to income	261,902,796	5,126,319
b) Amount of provision kept against loans classified as bad/loss as at the balance sheet date	-	-
c) Amount of interest credited to the interest suspense account	41,642,241	126,319
xi) Cumulative amount of written off loans:		
Opening balance	-	-
Amount written off during the period	-	-
Amount received from written off during the period	-	-
Balance of written off loans and advances yet to be recovered	-	-
The amount of written off loans for which law suits have been filed.	-	-
	-	-

7.8 Bills purchased and discounted

Payable inside Bangladesh	-	-
Payable outside Bangladesh	-	-
	-	-

BIFFL has no bills purchased and discounted.

8 Fixed Assets

Fixed assets including premises, furniture and fixtures (Note- 8.1)	258,523,044	298,645,408
Capital work in process (Note- 8.2)	8,800,000	8,000,000
	267,323,044	**306,645,408**

8.1 Fixed assets including premises, furniture and fixtures

Cost		
Opening balance	397,339,420	327,635,688
Addition during the period (Annexure-A)	5,038,180	70,088,107
	402,377,600	397,723,795
Disposal/Adjustment during the period	-	384,375
Closing balance (A)	**402,377,600**	**397,339,420**
Accumulated depreciation		
Opening balance	98,694,013	60,642,515
Charged during the period	45,160,544	38,397,587
	143,854,557	99,040,102
Adjustment for disposal during the period	-	346,090
Closing balance (B)	**143,854,557**	**98,694,013**
Written down value (A-B)	**258,523,044**	**298,645,408**

Details are in (Annexure -A)

		Amount in Taka	
		31-Dec-19	31-Dec-18
8.2	**Capital work in process**		
	Opening balance	8,000,000	-
	Addition during the year:	-	-
	Intangible assets-development of CFS	800,000	8,000,000
	Closing balance	**8,800,000**	**8,000,000**

9	**Other assets**		
	Advance income tax (Note- 9.1)	3,844,024,544	3,282,369,130
	Interest receivables on FDR	60,825,928	92,777,442
	Interest receivables on STL	53,278	-
	Security deposit	63,975	63,975
	Advance to suppliers	360,000	936,206
	Office rent receivables	-	25,754
	Deferred tax assets (Note- 9.2)	443,512	463,039
	Advance to staff	1,117,394	264,326
	Receivables against investment (Note- 9.3)	182,375,360	58,425,434
	Bill receivables	-	-
	Sundry debtors	-	-
	Advance payroll Tax	-	392,598
		4,089,263,991	**3,435,717,905**

9.1	**Advance income tax**		
	Opening balance	3,282,369,130	2,662,388,461
	Income tax deducted at sources	75,765,384	89,980,669
	Paid during the period	485,890,030	530,000,000
	Closing balance	**3,844,024,544**	**3,282,369,130**

9.2	**Deferred tax assets**		
	Opening balance	463,039	1,019,127
	Deferred tax income /(expense) during the period	(19,527)	(556,089)
		443,512	**463,039**
	Tax deductible temporary difference		
	Gratuity payable	1,108,780	1,157,597
	Applicable tax rate	40.00%	40.00%
	Closing deferred tax assets	**443,512**	**463,039**

9.3	**Receivables against investment**		
	Dividend receivable (Note- 9.3.1)	58,774,429	18,102,439
	Interest receivable on commercial paper (Note- 9.3.2)	34,187,233	34,387,233
	Interest receivable on zero coupon bond (Note- 9.3.3)	89,413,698	5,935,763
		182,375,360	**58,425,434**

9.3.1	**Receivable on preference share**		
	Rajlanka Power Company Ltd.	6,385,388	8,707,347
	Doreen Power House & Technologies Ltd.	27,232,877	7,353,425
	Ace Alliance Power Ltd.	1,917,808	2,041,667
	Kushiara Power Company Ltd.	16,709,589	-
	Bhairab Power Ltd.	4,008,219	-
	Summit Gazipur II Power Ltd.	2,520,548	-
		58,774,429	**18,102,439**

		Amount in Taka	
		31-Dec-19	31-Dec-18
9.3.2	**Receivable on commercial paper**		
	Computer Source Ltd.	34,187,233	34,387,233
		34,187,233	**34,387,233**
9.3.3	**Receivable on bond**		
	IDLC zero coupon bond	8,002,739	5,935,763
	Ashuganj Power Station Company Ltd.	81,410,959	-
		89,413,698	**5,935,763**
10	**Non banking assets**	-	-
11	**Borrowings from banks, other financial institutions and agents**		
	Inside Bangladesh (Note- 11.1)	754,916,849	1,027,731,764
	Outside Bangladesh (Note- 11.2)	3,411,670,745	1,433,446,875
		4,166,587,594	**2,461,178,639**
11.1	**Inside Bangladesh**		
	Advance from BB Refinance Scheme	754,916,849	216,410,829
	Secured overdraft and STL	-	811,320,935
		754,916,849	**1,027,731,764**
11.2	**Outside Bangladesh**		
	Borrowing from EECPFP JICA Loan No. BD-P90	3,154,756,597	1,433,446,875
	Borrowing from IPFF II of World Bank	256,914,148	-
		3,411,670,745	**1,433,446,875**
12	**Deposits and other accounts**		
	Current deposits and other accounts	-	-
	Bills payable	-	-
	Savings deposits	-	-
	Term deposits	504,618,055	-
	Bearer certificate of deposit	-	-
	Other deposits	-	-
		504,618,055	**-**
13	**Other liabilities**		
	Provision for income tax (Note- 13.1)	4,481,795,907	3,721,360,000
	Account payables (Note- 13.2)	3,662,914	12,916,658
	Advance advisory service fees	4,116,000	-
	Provision for leases, loans, advances and others (Note- 13.5)	1,171,846,464	433,617,843
	Deferred tax liabilities (Note- 13.3)	973,401	6,920,674
	Employee benefit liabilities (Note- 13.4)	1,783,378	1,686,954
	Audit fees payable	386,750	224,250
	Security deposit payable	97,418	125,000
	Interest suspense account (Note- 13.6)	434,356,267	34,513,552
	Interest payable	12,783,825	3,672,758
	Dividend payable	-	150,000,000
		6,111,802,323	**4,365,037,689**
13.1	**Provision for income tax**		
	Opening balance	3,721,360,000	2,952,882,026
	Addition during this period	760,435,907	768,477,974
	Less : Adjustment of AIT	-	-
	Closing balance	**4,481,795,907**	**3,721,360,000**

	Amount in Taka	
	31-Dec-19	31-Dec-18
13.2 Accounts payable		
Withholding and payroll tax	370,710	976,073
Withholding VAT	580,105	2,268,583
Bills payable	2,661,979	9,672,003
Salary payable	47,620	-
Excise duty payable	2,500	-
	3,662,914	**12,916,658**
13.3 Deferred tax liabilities		
Opening balance	6,920,674	5,724,277
Deferred tax expense/(income) during the period	(5,947,273)	1,196,397
	973,401	**6,920,674**
Taxable temporary difference		
Carrying amount of fixed assets as per accounting base	258,523,044	298,645,408
Carrying amount of fixed assets as per tax base	256,089,540	281,343,723
Taxable temporary difference on fixed assets	2,433,503	17,301,685
Applicable tax rate	40.00%	40.00%
Closing deferred tax liabilities	973,401	6,920,674
Deferred tax liabilities at the beginning of the period	6,920,674	5,724,277
Deferred tax expense/(income) during the period	**(5,947,273)**	**1,196,397**
13.4 Employee benefit liabilities		
Gratuity Fund (GF) payable		
Opening Balance	1,157,597	2,397,947
Addition during the period	1,108,780	2,659,410
Amount transferred during the period	(1,157,597)	(3,899,760)
Closing Balance (A)	**1,108,780**	**1,157,597**
Contributory Provident Fund (CPF) payable		
Opening Balance	529,357	386,857
Addition during the period	4,704,005	4,357,829
Amount transferred during the period	(4,558,764)	(4,215,329)
Closing Balance (B)	**674,598**	**529,357**
Total (A+B)	**1,783,378**	**1,686,954**
13.5 Provision for leases, loans, advances, investment, and others		
General provision		
Leases, loans and advances:		
Opening balance	169,725,821	111,391,391
Addition during the period	35,397,477	58,334,430
Closing balance (i)	**205,123,298**	**169,725,821**
Investment:		
Opening balance	13,374,822	22,985,023
Addition/(deduction) during the period	18,165,681	(9,610,201)
Closing balance (ii)	**31,540,503**	**13,374,822**
Closing balance of total general provision i+ii (A)	**236,663,801**	**183,100,643**
Specific provision		
Leases, loans and advances:		
Opening balance	517,200	-
Addition during the period	29,366,745	517,200
Closing balance (i)	**29,883,945**	**517,200**
Investment:		
Opening balance	250,000,000	50,000,000
Addition during the period	-	200,000,000
Closing balance (ii)	**250,000,000**	**250,000,000**
Closing balance of total specific provision i+ii (B)	**279,883,945**	**250,517,200**

	Amount in Taka	
	31-Dec-19	31-Dec-18
Other provision		
Fixed Deposit Receipts (FDRs)		
Opening balance	-	-
Addition during the period (Note- 35.1)	654,938,717	-
Closing balance (i)	**654,938,717**	**-**
Provision for other assets		
Opening balance	-	-
Addition during the period	360,000	-
Closing balance (ii)	**360,000**	**-**
Closing balance of total other provision i+ii (C)	**655,298,717**	**-**
Closing balance of total provision maintained (A+B+C)	**1,171,846,464**	**433,617,843**

13.6 Interest suspense account

	31-Dec-19	31-Dec-18
On leases, loans and advances:		
Opening balance	126,319	-
Addition during the period	41,642,241	126,319
Transferred to interest income	-	-
Closing balance (i)	**41,768,560**	**126,319**
On Investment;		
Opening balance	34,387,233	20,250,000
Addition during the period	-	14,137,233
Transferred to interest income	(200,000)	-
Closing balance (ii)	**34,187,233**	**34,387,233**
On Fixed Deposit Receipts (FDRs);		
Opening balance	-	-
Addition during the period (Note- 13.6.1)	358,400,474	-
Transferred to interest income	-	
Closing balance (iii)	**358,400,474**	**-**
Closing balance of interest suspense account (i+ii+iii)	**434,356,267**	**34,513,552**

13.6.1 Addition of interest suspense on FDR

	31-Dec-19	31-Dec-18
Bangladesh Industrial Finance Company (BIFC) Ltd.	39,118,199	-
First Finance Ltd.	6,255,515	-
ICB Islamic Bank Ltd.	25,931,947	-
BD Finance and Investment Ltd.	4,400,233	-
FAS Finance and Investment Ltd.	47,566,002	-
Padma Bank Ltd.	27,865,928	-
International Leasing and Financial Services Ltd.	65,275,734	-
Peoples Leasing and Financial Services Ltd.	32,151,835	-
Reliance Finance Ltd.	720,000	-
Union Capital Limited	30,683,355	-
Premier Leasing and Finance Ltd.	17,605,799	-
Interest Suspense A/C FDRs- Accrual	60,825,927	-
Total	**358,400,474**	**-**

Based on the recovery status of FDR accounts, Bangladesh Bank vide letter no. FIID(I-06)/2020-283 dated 22 March 2020 identified some FDRs as risky investments namely FDRs in BD Finance & Investment Limited, BIFC Limited, Padma Bank Limited, FAS Finance & Investment Limited, First Finance Limited, ICB Islamic Bank Limited, International Leasing and Financial Services Limited, Peoples Leasing & Financial Services Limited, Premier Leasing & Finance Limited, Prime Finance & Investment Limited, Reliance Finance Limited and Union Capital Limited. In 2019, the compnay has accounted the unpaid interest of these FDR investments in Interest Suspense Account.

UHY Syful Shamsul Alam & Co. Dhaka Chartered Accountants

	Amount in Taka	
	31-Dec-19	31-Dec-18

14 Share capital

14.1 Authorized capital

	31-Dec-19	31-Dec-18
1,000,000,000 ordinary shares of Tk.100 each	**100,000,000,000**	**100,000,000,000**

14.2 Issued, subscribed & paid up capital

	31-Dec-19	31-Dec-18
21,080,000 ordinary shares of Tk.100 each	**21,080,000,000**	**21,080,000,000**

14.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated minimum capital requirement by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

	31-Dec-19	31-Dec-18
Tier-1 (Core capital)		
Fully paid-up capital/ capital lien with BB	21,080,000,000	21,080,000,000
Statutory reserve	1,659,085,617	1,568,487,560
Non-repayable share premium account	-	-
General reserve	50,000,000	-
Retained earnings	986,342,467	673,950,242
Minority interest in subsidiaries	-	-
Non- cumulative irredeemable preference shares	-	-
Dividend equalization account	-	-
Others (any item approved by Bangladesh Bank)	-	-
Sub-total	**23,775,428,084**	**23,322,437,802**
Deductions from tier-1 (Core capital)		
Book value of goodwill and value of any contingent assets which are shown as assets	-	-
Shortfall in provisions required against classified assets	-	-
Shortfall in provisions required against investment in share	-	-
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities	-	-
Any investment exceeding the approved limit	-	-
Investments in subsidiaries which are not consolidated	-	-
Others (if any)	-	-
Sub-total		
Total eligible Tier-1 capital	**23,775,428,084**	**23,322,437,802**
Tier-2 (Supplementary capital)		
General provision (Unclassified up to special limit+ SMA+ off balance sheet exposure)	236,663,801	183,100,643
Assets revaluation reserves upto 50%	-	-
Revaluation reserve for securities upto 50%	-	-
All other preference shares	-	-
Others (any item approved by Bangladesh Bank)	**-**	**-**
Sub-total	**236,663,801**	**183,100,643**
Deductions, if any	**-**	**-**
Total eligible Tier-2 capital	**236,663,801**	**183,100,643**
Total capital	**24,012,091,885**	**23,505,538,445**
Total risk weighted asset	**23,544,929,826**	**13,275,234,723**
Required capital	**2,354,492,983**	**1,327,523,472**
Surplus/(deficit)	**21,657,598,903**	**22,178,014,972**
Capital Adequacy Ratio (CAR)	**102%**	**177%**
On core capital (Tier-1)	101%	176%
On supplementary capital (Tier-2)	1.01%	1.38%

		Amount in Taka	
		31-Dec-19	31-Dec-18
15	**Statutory reserve**		
	Opening balance	1,568,487,561	1,402,828,685
	Add: Transferred from profit during the year	90,598,056	165,658,876
	Closing balance	**1,659,085,617**	**1,568,487,561**

In compliance with the Rule 6 of The Financial Institutions Regulations 1994, the company transfers 20% of its net profit after tax to statutory reserve for the respective period .

16	**General reserve**	50,000,000	-
		50,000,000	**-**

17	**Retained earnings**		
	Opening balance	673,950,242	651,314,740
	Add: Net profit for the period	452,990,281	828,294,378
		1,126,940,524	**1,479,609,118**
	Less:		
	Transferred to statutory reserve for the period	90,598,056	165,658,876
	Transferred to general reserve for the period	50,000,000	-
	Stock dividend	-	490,000,000
	Cash dividend	-	150,000,000
		140,598,056	**805,658,876**
	Closing balance	**986,342,467**	**673,950,242**

18 Contingent liabilities

In the normal course of business, the company makes certain commitments in favor of clients and incurs some contingent liabilities. No material losses are anticipated as a result of these transactions. These contingent liabilities and commitments are quantified below.

Acceptances and endorsements	-	-
Letter of gurantee (Note- 18.1)	503,031,759	19,468,129
Irrevocable letters of credit	-	-
Bills for collection	-	-
Indemnity bond	-	-
Corporate guarantee	-	-
	503,031,759	**19,468,129**

18.1 Letter of guarantee

The company gives the comforts to third parties on behalf of clients. Letter of guarantee (letter of comfort) represents an undertaking that the company will pay to third parties and it converts into loans or lease on the basis of the agreement with the clients. The maximum amount that the company could be required to pay under the comforts is its principal amount.

Directors or officers	-	-
Government	-	-
Banks and other financial institutions	-	-
Customers	503,031,759	19,468,129
	503,031,759	**19,468,129**

	Amount in Taka	
	31-Dec-19	31-Dec-18

19 Income statement

19.1 Income

	31-Dec-19	31-Dec-18
Interest, discount and similar income	-	-
Interest income on leases, loans and advances (Note- 20)	1,736,088,527	1,132,242,764
Investment income (Note- 22)	233,825,597	88,050,697
Other operating income (Note- 23)	231,437,493	815,591,322
	2,201,351,617	**2,035,884,783**

19.2 Expenses

	31-Dec-19	31-Dec-18
Interest expenses on deposits, borrowings etc. (Notes- 21)	96,345,981	32,411,434
Salary and allowances (Note- 24)	59,002,335	47,539,659
Rent, taxes, insurance, electricity etc. (Note- 25)	3,477,003	5,867,323
Legal expenses (Note- 26)	699,163	1,330,400
Postage, stamp, telecommunication etc. (Note- 27)	1,922,434	1,707,532
Stationery, printing, advertisement etc. (Note- 28)	6,840,432	14,634,009
Managing Director's salary and allowances (Note- 29)	6,821,760	10,252,610
Directors' fees (Note- 30)	1,416,196	1,348,024
Auditors' fees (Note- 31)	266,000	368,000
Charges on loan losses	-	-
Depreciation and repairs of company's assets (Note- 32)	46,482,930	40,861,386
Other operating expenses (Note- 33)	32,350,320	31,798,141
	255,624,555	**188,118,517**

20 Interest income on leases, loans and advances

	31-Dec-19	31-Dec-18
Interest income from term loan (Note- 20.1)	1,736,088,527	1,132,242,764
	1,736,088,527	**1,132,242,764**

20.1 Interest income from term loan

	31-Dec-19	31-Dec-18
Interest income from loan to large infrastructure projects	1,447,422,596	1,000,167,997
Interest income from loan to sustainable and eco-friendly projects	284,290,870	130,730,055
Interest income from loan to women entrepreneurs	3,952,052	1,343,988
Interest income from staff loan	423,009	725
	1,736,088,527	**1,132,242,764**

21 Interest expenses on deposits, borrowings etc.

	31-Dec-19	31-Dec-18
Interest expense on BB refinance scheme	16,791,649	4,052,010
Interest expense on borrowing in the form of SOD, STL and Term Deposits	41,330,462	12,412,549
Interest expense on borrowing from IPFF II of World Bank	6,914,148	-
Interest expense on borrowing from JICA	31,309,722	15,946,875
	96,345,981	**32,411,434**

22 Investment income

	31-Dec-19	31-Dec-18
Interest income from commercial paper (Note- 22.1)	200,000	25,631,806
Interest Income from bond (Note- 22.2)	102,865,854	15,045,614
Dividend Income from preference share (Note- 22.3)	130,759,744	47,373,277
	233,825,597	**88,050,697**

22.1 Interest income from commercial paper

	31-Dec-19	31-Dec-18
LankaBangla Finance Ltd.	-	2,708,333
Computer Source Ltd.	200,000	200,000
Max Infrastructure Ltd.	-	22,723,473
	200,000	**25,631,806**

		Amount in Taka	
		31-Dec-19	31-Dec-18
22.2	**Interest Income from bond**		
	IDLC zero coupon bond	21,454,895	15,045,614
	Ashuganj Power Station Company Ltd.	81,410,959	
		102,865,854	**15,045,614**
22.3	**Dividend Income from preference share**		
	Kushiara Power Company Ltd.	16,709,589	-
	Summit Gazipur II Power Ltd.	2,520,548	-
	Bhairab Power Ltd.	4,008,219	
	Doreen Power House & Technologies Ltd.	43,879,452	7,353,425
	Rajlanka Power Company Ltd.	28,765,794	37,978,185
	Ace Alliance Power Ltd.	34,876,141	2,041,667
		130,759,744	**47,373,277**

23	**Other operating income**		
	Interest income (FDRs)	218,043,021	800,160,292
	Interest on short term loan (STL)	2,221,703	2,900,117
	Interest on SND	5,408,018	5,194,834
	Fees income (Note- 23.1)	5,566,702	4,765,139
	Rental income	198,050	2,570,940
		231,437,493	**815,591,322**
23.1	**Revenue from fees**		
	Due diligence fees	2,843,016	1,361,739
	Loan application fees	-	383,400
	Participation fees	547,084	3,020,000
	LC commission	390,957	-
	Other fees	1,785,645	-
		5,566,702	**4,765,139**
24	**Salary and allowances**		
	Salary and allowances	51,737,985	40,778,856
	Bonus	6,184,070	4,576,393
	Gratuity expenses	1,080,280	2,184,410
		59,002,335	**47,539,659**

25	**Rent, taxes, insurance, electricity etc.**		
	Rent and taxes	473,398	2,276,533
	Utility bills	2,007,897	2,427,380
	Health insurance premium	847,688	589,597
	Vehicle insurance premium	148,020	573,813
		3,477,003	**5,867,323**

26	**Legal expenses**		
	Legal expense	25,000	586,333
	Renewal & registration	667,593	726,373
	Stamp cost	6,570	17,694
		699,163	**1,330,400**

27	**Postage, stamp, telecommunication etc.**		
	Postage and courier	32,140	6,864
	Telephone, telex, fax and mobile	607,294	569,354
	Networking expense	683,000	531,314
	Internet bandwidth charge	600,000	600,000
		1,922,434	**1,707,532**

		Amount in Taka	
		31-Dec-19	31-Dec-18
28	**Stationery, printing, advertisement etc.**		
	Stationery and printing	1,452,148	2,090,158
	Advertisement and publicity	3,997,523	9,505,374
	Books and periodicals	148,155	2,440
	Business development expenses	1,065,906	1,359,201
	Gift expenses	176,700	1,676,836
		6,840,432	**14,634,009**
29	**Managing Director's salary and allowances**		
	Basic pay and allowances	5,339,760	8,740,490
	Bonus	1,453,500	1,037,120
	Gratuity expenses	28,500	475,000
		6,821,760	**10,252,610**
30	**Directors' fees**		
	Honorarium for attending meeting	1,416,196	1,348,024
		1,416,196	**1,348,024**
31	**Auditors' fees**		
	Annual statutory audit fees	220,000	126,500
	Other audit fees	46,000	241,500
		266,000	**368,000**
32	**Depreciation and repairs of company's assets**		
	Repair & maintenance	1,322,386	2,425,514
	Depreciation on company's fixed assets (Annexure-A)	45,160,544	38,397,587
	Loss on disposal of assets	-	38,285
		46,482,930	**40,861,386**
33	**Other operating expenses**		
	Office maintenance	8,569,913	6,890,926
	Training expenses	1,718,658	2,552,130
	Bank charges & commission	2,619,454	3,977,127
	Entertainment expenses	2,592,094	2,479,827
	Promotional expenses	928,344	2,288,738
	Consultancy and professional Fees	6,588,568	735,400
	AGM expenses	2,888,046	1,207,899
	Project site supervision, travelling and conveyance expenses	2,830,932	4,482,131
	Tax consultant fees	200,000	258,750
	Recruitment expenses	127,253	906,570
	Membership expenses	239,583	239,583
	CIB service charges	802,319	649,098
	CSR expenses	422,600	2,462,178
	IT maintenance	1,606,449	2,370,336
	Anti money laundering and national integrity strategy related expenses	216,107	297,449
		32,350,320	**31,798,141**
34	**Provision for investment, leases, loans and advances**		
	General Provision	53,563,158	48,724,229
	Specific Provision	29,366,745	200,517,200
		82,929,904	**249,241,429**
35	**Other provision**		
	Provision on FDR (Note- 35.1)	654,938,717	-
	Provision on other assets	360,000	
		655,298,717	**-**
35.1	**Provision on FDR**		
	Peoples Leasing & Financial Services Ltd.	574,938,717	-
	Bangladesh Industrial Finance Company (BIFC) Ltd.	30,000,000	-
	International Leasing & Financial Services Ltd.	50,000,000	-
		654,938,717	**-**

Dhaka

		Amount in Taka	
		31-Dec-19	31-Dec-18

35.1.1 Based on the recovery status of 12 (twelve) companies FDRs investment namely BD Finance & Investment Limited, BIFC Limited, Padma Bank Limited, FAS Finance & Investment Limited, First Finance Limited, ICB Islamic Bank Limited, International Leasing and Financial Services Limited, Peoples Leasing & Financial Services Limited, Premier Leasing & Finance Limited, Prime Finance & Investment Limited, Reliance Finance Limited and Union Capital Limited, Bangladesh Bank identified these investments are risky but considering the present business and market scenerio, BB allowed to prepare the Financial Statements for the year ended 31 December 2019 without maintaining provision against these FDR investments vide letter no. FIID(I-06)/2020-283 dated 22 March 2020 and letter no. FIID/I-06/2020-343 dated 02 July 2020. In 2019, the company has kept provision amounting to BDT574,938,717, BDT30,000,000 and BDT50,000,000 against FDR with Peoples Leasing & Financial Services Limited, BIFC Limited and International Leasing & Financial Services Limited for the non recovery during the year 2019.

36 Provision for income tax

	31-Dec-19	31-Dec-18
Current tax (Note- 36.1)	760,435,907	768,477,974
Deferred tax (income)/expense during the period	(5,927,746)	1,752,485
	754,508,161	**770,230,459**

36.1 Current tax expense

	31-Dec-19	31-Dec-18
Income tax expense during the period	760,435,907	768,477,974
Previous year shortage of tax provision	-	-
	760,435,907	**768,477,974**

37 Earning Per Share

Earnings Per Share (EPS) has been computed by dividing the basic earning by the weighted average number of ordinary shares outstanding at the end of the year as per IAS 33 'Earnings Per Share'. Earning per Share has been calculated as follows:

	31-Dec-19	31-Dec-18
Net profit after tax	452,990,281	828,294,378
Number of ordinary shares outstanding	210,800,000	210,800,000
Earning Per Share (EPS)	**2.15**	**3.93**

38 Net Asset Value per share

	31-Dec-19	31-Dec-18
Net assets (total assets less total liabilities) (A)	23,775,428,084	23,322,437,802
Number of ordinary shares outstanding (B)	210,800,000	210,800,000
Net Asset Value (NAV) per share (A/B)	**112.79**	**110.64**

39 Net Operating Cash Flow Per Share

	31-Dec-19	31-Dec-18
Net cash flow from operating activities (A)	2,006,852,778	(2,508,779,993)
Number of ordinary shares outstanding (B)	210,800,000	210,800,000
Net Operating Cash Flow Per Share (NOCFPS) (A/B)	**9.52**	**(11.90)**

40 Related party disclosures

Parties are considered to be related if one party has the ability to control the other party or exercises significant influence over the other party in making financial and operational decision and include associated companies with or without common Directors and key management positions. The company has entered into transaction with other related entities in normal course of business that fall within the definition of related party as per IAS 24, 'Related Party Disclosures.' Transactions with related parties are executed on the same terms, including interest rate and collateral, as those prevailing at the time for comparable transactions with other customers of similar credentials and do not involve more than a normal risk.

40.1 List of related parties

Name of the party	Position in BIFFL	Date of Appointment
Mr. Abdur Rouf Talukder Senior Secretary, Finance Division, MoF	Chairman	08.08.2018
Khandker Anwarul Islam Former Senior Secretary, Bridges Division, MoRT&B	Former Director	15.12.2011 (Cease at 30.10.2019)
Dr. Ahmad Kaikaus Senior Secretary, Power Division, MoPE&MR	Director	20.02.2017
Mr. Abu Hena Md. Rahmatul Muneem Senior Secretary, E&MR Division, MoPE&MR	Director	28.05.2018
Mr. Sajjadul Hassan Senior Secretary, Prime Minister's Office	Director	06.02.2018
Mr. Md. Nazrul Islam Secretary, Road Transport and Highways Division, MoRT&B	Director	07.11.2017
Mr. Monowar Ahmed Secretary, Economic Relations Division, MoF	Director	23.12.2018
Mr. Mohammed Belayet Hossain Secretary, Bridges Division, MoRT&B	Director	20.11.2019
Mr. Md. Ekhlasur Rahman Additional Secretary, Finance Division, MoF	Director	06.02.2018

40.2 Related party transactions

Name of the party	Nature of transactions	Transactions amount (Tk.)
Mr. Abdur Rouf Talukder (Chairman)	Meeting Remuneration	114,000
Khandker Anwarul Islam (Former Director)	Meeting Remuneration	150,000
Dr. Ahmad Kaikaus (Director)	Meeting Remuneration	164,000
Mr. Abu Hena Md. Rahmatul Muneem (Director)	Meeting Remuneration	78,000
Mr. Sajjadul Hassan (Director)	Meeting Remuneration	90,000
Mr. Md. Nazrul Islam (Director)	Meeting Remuneration	36,000
Mr. Monowar Ahmed (Director)	Meeting Remuneration	72,000
Mr. Mohammed Belayet Hossain (Director)	Meeting Remuneration	30,000
Mr. Md. Ekhlasur Rahman (Director)	Meeting Remuneration	248,000

41 Claim not acknowledged as debt

There was no claim against the financial institution that has been unacknowledged as debt as on 31 December 2019.

42 Receivable from directors

No amount is due from any of the directors of the company.

43 Disclosure regarding branch

As at 31 December 2019, the company has no branch in or outside Bangladesh.

44 Executive Committee and Audit Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee (EC) and Audit Committee (AC) as a sub committee of the Board and the committee met several times during the year 2019.

45 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

46 Approval of the financial statements & declaration of dividend

The Board of Directors in its 89th BoD meeting held on 8 September 2020 approved the financial statements and recommended BDT18,11,96,112 as cash dividend to the shareholders of the company.

47 Events after the reporting period

As per IAS 10 'Events after the Reporting Period' events after the reporting period are those events, favorable and unfavorable, that occur between the end of the reporting period and the date when the financial statements are authorized for issue. Two types of event can be identified:

(a) Adjusting events after the reporting period which provide evidence of conditions which existed at the end of the reporting period; and

(b) Non adjusting events after the reporting period, are those that are indicative of conditions that arose after the reporting period.

The details about the events after reporting period are as follows:

On 11 March 2020, COVID-19 has been declared a pandemic by the World Health Organisation, and Bangladesh Government has taken restrictive measures including declared general public holidays to contain its further spread affecting free movement of people and goods. As a consequence, the COVID-19 outbreak has brought about additional challenges in the company's operating environment and has impacted its operations. Essentially Bangladesh Bank is governing the operational model which is a limited scale operation. BIFFL is closely monitoring the impact of the developments on the company's businesses. As the situation is fast evolving, the effect of the outbreak is subject to significant levels of uncertainty, with the full range of possible effects unknown.

Dhaka

Annexure -A

Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2019

Amount in Taka

Particulars	Cost				Depriciation					Written down value	
	Balance as at 01.01.19	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.19	Rate	Balance as at 01.01.19	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.19	As at 31.12.19	As at 31.12.18
Computer & IT Equipment											
Scanner & Printer	721,972	130,800	-	852,772	33.33%	460,261	187,834	-	648,095	204,677	261,711
Desktop & Laptop	5,467,662	455,800		5,923,462	33.33%	3,238,821	1,326,740		4,565,560	1,357,901	2,228,841
LT Pannel & PFI Plant & PABX & Others	9,111,688	27,780	-	9,139,468	33.33%	2,408,270	2,793,420	-	5,201,690	3,937,778	6,703,418
Multimedia Projector	541,200	-	-	541,200	33.33%	239,664	143,880	-	383,544	157,656	301,536
Projector Screen	20,000		-	20,000	33.33%	19,999	-	-	19,999	1	1
Wifi System	432,000			432,000	33.33%	365,290	66,710	-	432,000	0	66,710
Office Equipment				-				-	-	-	
Office Equipment	9,358,635	734,375	-	10,093,010	20%	1,985,586	1,985,004	-	3,970,590	6,122,420	7,373,049
HVAC	9,296,360	165,260		9,461,619	10%	140,082	943,083	-	1,083,165	8,378,454	9,156,277
Electric Meter	9,400		-	9,400	10%	5,640	940	-	6,580	2,820	3,760
Wasa Meter	5,980		-	5,980	10%	4,185	598	-	4,783	1,197	1,795
Electronics								-			
Refirigerator	187,881	-		187,881	12.50%	3,539	23,485	-	27,024	160,857	184,342
Sub total	**35,152,777**	**1,514,015**	**-**	**36,666,791**		**8,871,336**	**7,471,694**	**-**	**16,343,030**	**20,323,761**	**26,281,440**
Civil Construction	**1,536,612**			**1,536,612**	**50%**	**1,536,611**		**-**	**1,536,611**	**1**	**1**
Building	**291,527,555**		**-**	**291,527,555**	**10%**	**69,067,223**	**29,152,756**	**-**	**98,219,979**	**193,307,576**	**222,460,332**
Furnitures & Fittings	**33,541,747**	**3,524,166**	**-**	**37,065,913**	**10%**	**1,311,625**	**3,597,068**	**-**	**4,908,693**	**32,157,220**	**32,230,122**
Vehicle	**35,295,370**	**-**	**-**	**35,295,370**	**20%**	**17,621,856**	**4,939,028**	**-**	**22,560,884**	**12,734,486**	**17,673,514**
Intangible assets								**-**			
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Sub total	**285,360**	**-**	**-**	**285,360**		**285,360**	**-**	**-**	**285,360**	**-**	**-**
Total	**397,339,421**	**5,038,180**	**-**	**402,377,601**		**98,694,012**	**45,160,544**	**-**	**143,854,557**	**258,523,044**	**298,645,409**

Highlights

(As per Bangladesh Bank guidelines)

Annexure- B

Sl No.	Key Indicators	Amount in Taka	
		31-Dec-19	31-Dec-18
1	Paid-up capital	21,080,000,000	21,080,000,000
2	Total capital	23,775,428,084	23,322,437,802
3	Capital surplus	21,657,598,903	22,178,014,972
4	Total assets	34,558,436,056	30,148,654,129
5	Total deposits	504,618,055	-
6	Total leases, loans, and advances	18,922,252,016	16,977,708,408
7	Total contingent liabilities and commitments	503,031,759	19,468,129
8	Credit deposit ratio	3750%	-
9	Percentage of classified loans against total leases, loans, and advances	1.38%	0.03%
10	Profit after tax and provision	452,990,281	828,294,378
11	Amount of classified loans during current period	256,776,476	5,126,319
12	Provision kept against classified loans	29,883,945	517,200
13	Cost of fund	1.46%	0.28%
14	Interest earning assets	30,170,764,534	26,372,426,533
15	Non-interest earning assets	4,387,671,522	3,776,227,596
16	Return on investment (ROI)	7.18%	5.63%
17	Return on assets (ROA)	1.31%	2.75%
18	Income from investment	233,825,597	88,050,697
19	Earnings per share (EPS)	2.15	3.93
20	Net income per share	2.15	3.93

Karnafuly Dry Dock

Karnafuly Dry Dock Limited is the first ever dry-docking facility in Bangladesh boasting a capacity of 100,000 DWT. BIFFL is a co-financier of this flagship project.

Disclosures, Checklists & Other Pertinent Information

09

Glossary

Terms	Meaning
Accrual Basis	Recognizing the effects of transactions and events when they occur, without waiting for receipt or payment of cash or cash equivalent.
Amortization	Amortization is the systematic allocation of the depreciable amount of an intangible asset over its useful life.
Cash Basis	Recognizing the effects of transactions and events when receipt or payment of cash or cash equivalent occurs.
Cash Equivalents	Short-term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk in change in value.
Depreciation	Depreciation is the allocation of the depreciable amount of an asset over its estimated useful life. Depreciation for the accounting period is charged to net profit or loss for the period either directly or indirectly.
Dividend	The proportion of profit distributed to shareholders inclusive of tax withheld.
Gross Portfolio	Leases, loans & advances and investments granted to clients under loan and quasi equity facilities.
Net Portfolio	Leases, loans & advances granted to clients under loan facilities.
Intangible Asset	An intangible asset is an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.
Interest expenses	The sum of monies accrued and payable to the sources of borrowed working capital.
Paid up Capital	All amounts received by the company or due and payable to the company in respect of the issue of shares
Provision	Amounts set aside against possible losses on net receivable of facilities granted to clients, as a result of them becoming partly or wholly uncollectible.
Related Parties	Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.
Related Party Transactions	A transfer of resources or obligations between related parties, regardless of whether a price is charged.
Shareholders' Equity	Total of issued and fully paid ordinary share capital and reserves.
Value Addition	Value of wealth created by providing leases, loans & advances and other related services considering the cost of providing such services.

Ratios

Ratio	Method of computation	Indication
Cost to Income Ratio	Operating expenses excluding provision for bad and doubtful debts as a percentage of total income.	Efficiency of cost management in generating operating income, net of interest cost.
Earnings Per Share (EPS)	Profit attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.	Share of current year's earnings attributable to an ordinary share in issue.
Net Asset Value per Ordinary Share	Ordinary shareholders' funds divided by the number of ordinary shares in issue.	Book value of ordinary shares.
Return on Assets (ROA)	Net profits expressed as a percentage of average total assets.	Overall effectiveness in generating profits with available assets; earning power of invested total capital.
Return on Equity (ROE)	Net profit, less preference shares dividends if any, expressed as a percentage of average ordinary investment (equity).	Earning power on shareholders' book value of shareholders' funds.

Abbreviations

AC	Audit Committee
ADB	Asian Development Bank
AFD	Agence Française de Développement (French Development Agency)
AGM	Annual General Meeting
ALCO	Asset Liability Management Committee
ALM	Asset Liability Management
ANSI	American National Standards Institute
AoA	Articles of Association
ASHRAE	American Society of Heating, Refrigerating and Air-Conditioning Engineers
ASTM	American Society for Testing and Materials
BAPA	Bangladesh Agro Processors Association
BASs	Bangladesh Accounting Standards
BB	Bangladesh Bank
BB ESRM	Bangladesh Bank Environment and Social Risk Management
BBS	Bangladesh Bureau of Statistics
BCBL	Bangladesh Commerce Bank Limited
BDT	Bangladesh Taka
BFRSs	Bangladesh Financial Reporting Standards
BGMEA	Bangladesh Garments Manufacturers and Exporters Association
BICC	Bangabandhu International Convention Centre
BIFFL	Bangladesh Infrastructure Finance Fund Limited
BIID	Bangladesh Industrial Innovation and Development
BKMEA	Bangladesh Knitwear Manufacturers and Exporters Association
BLFCA	Bangladesh Leasing and Finance Companies Association
BoD	Board of Directors
BRSMA	Bangladesh Auto Re-rolling and Steel Mills Association
BSEC	Bangladesh Securities and Exchange Commission
BSSF	Bangladesh Shooting Sport Foundation
BTMA	Bangladesh Textile Mills Association
CAGR	Cumulative Average Growth Rate
CAMLCO	Chief Anti-Money Laundering Compliance Officer
CAR	Capital Adequacy Ratio
CCCI	Chittagong Chamber of Commerce and Industry
CCU	Central Compliance Unit
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CFS	Core Financial Solutions
CFT	Combating the Financing of Terrorism

CGC	Corporate Governance Code
COO	Chief Operating Officer
CRAB	Credit Rating Agency of Bangladesh Ltd.
CRISL	Credit Rating Information & Services Limited
CS	Company Secretary
CSF	Critical Success Factor
CSR	Corporate Social Responsibility
DFIM	Department of Financial Institutions and Markets
E&S	Environmental & Social
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortization
EBRD	European Bank for Reconstruction and Development
EC	Executive Committee
EE	Energy Efficiency
EE&C	Energy Efficiency & Conservation
EECM	Energy Efficient Construction Material
EECPFP	Energy Efficiency & Conservation Promotion Financing Project
EIHP	Energy Institute Hrvoje Pozar
EIU	Economic Intelligence Unit
EPA	Environmental Protection Agency
EPACT	Energy Policy ACT
EPC	Engineering Procurement and Construction
EPS	Earnings per Share
EPZ	Export Processing Zone
ESMF	Environmental and Social Management Framework
ETP	Effluent Treatment Plant
FCS	Fellow Chartered Secretary
FI	Financial Institution
FMO	Netherlands Development Finance Company/ Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden
FX	Foreign Exchange
FY	Financial Year
FZOEU	Environmental Protection and Energy Efficiency Fund/Fond za zaštitu okoliša i energetsku ucinkovitost (Croatia)
GBCM	Green Bricks and Construction Materials
GCMU	Green Construction Materials Unit
GDP	Gross Domestic Product
GNI	Gross National Income
GrACe	Green Architecture Cell
GRI	Global Reporting Initiative
ICAB	Institute of Chartered Accountants of Bangladesh
ICC	Internal Control and Compliance

ICSB	Institute of Chartered Secretaries of Bangladesh
ICT	Information and Communication Technology
IESNA	Illuminating Engineering Society of North America
IFRSs	International Financial Reporting Standards
IGCC	International Green Construction Code
IIRC	International Integrated Reporting Council
ILO	International Labor Organization
IPFF	Investment Promotion and Financing Facility
IPO	Initial Public Offering
IT	Information Technology
IT & MISD	Information Technology and Management Informaion Systems Department
JDI	Japan Development Institute
JICA	Japan International Cooperation Agency
KfW	Kreditanstalt für Wiederaufbau
LCR	Liquidity Coverage Ratio
LDC	Least Developed Country
LED	Light Emitting Diode
LEED	Leadership in Energy and Environmental Design
LL. B	Bachelor of Laws
LL.M	Master of Laws
LPD	Lighting Power Density
MANCOM	Management Committee
MCCI	Metropolitan Chamber of Commerce and Industry
MIS	Management Information System
MoA	Memorandum of Association
MoF	Ministry of Finance
MoU	Memorandum of Understanding
NBFI	Non-Bank Financial Institution
NBR	National Board of Revenue
NII	Net Interest Income
NOC	No Objection Certificate
NSFR	Net Stable Funding Ratio
P.A.	Per Annum
PET	Polyethylene Terephthalate
PFI	Participating Financial Institution
PPP	Public Private Partnership
RE	Renewable Energy
RJSC	Registrar of Joint Stock Companies and Firms
RMF	Risk Management Forum
ROA	Return on Assets
ROE	Return on Equity

ROI	Return on Investment
SAARC	South Asian Association for Regional Cooperation
SAFA	South Asian Federation of Accountants
SCAQMD	South Coast Air Quality Management District
SDG	Sustainable Development Goals
SFU	Sustainable Finance Unit
SLR	Statutory Liquidity Ratio
SME	Small and Medium-Sized Enterprise
SREDA	Sustainable and Renewable Energy Development Authority
SWOT	Strengths Weaknesses Opportunities Threats
TA	Technical Assistance
TAT	Turnaround Time
USD	United States Dollar
USGBC	United States Green Building Council
VAT	Value Added Tax
VGF	Variability Gap Funding
VOC	Volatile Organic Compounds
VRF	Variable Refrigerant Flow
WB	World Bank
WEDU	Women Entrepreneurship Development Unit
WTP	Waste Treatment Plant
YC	Young Consultants
Y–Y	Year-to-year

Vote of Thanks

It is a matter of pleasure that Bangladesh Infrastructure Finance Fund Limited is going to organize the 9th Annual General Meeting on 30 September 2020 and has prepared the Annual Report. Considering the provision of the companies Act (sec 184) the report contains the audited financial statement for the year ended on 31-12-2019 and other material information up to 9 September 2020 as well as governance and compliance status of the organization.

I would like to express our sincere gratitude to the honorable Chairman, Directors and Chief Executive Officer of the organization for their immense support and guidance in the functioning of the organization. I would like to thank all the employees and staffs of BIFFL for their contribution and sincere effort to complete the Annual Report.

I would like to convey our gratitude to the Finance Division of the Ministry of Finance, Bangladesh Bank, Bangladesh Securities Exchange Commission, Register of the Joint Stock Companies and Firms, National Board of Revenue, UHY Syful Shamsul Alam & Co. (Auditors), Development Partners (The World Bank, JICA, ADB, AFD), Financiers as well as other stakeholders of the organization.

Please accept our sincere apology for any inadvertent mistake that may have occurred in printing of the Annual Report.

Sincerely Yours,

Mohammad Monirul Islam Khan FCS
Company Secretary
Phone: 01841655302
E-mail: mohammad.khan@biffl.org.bd

biffl.org.bd

Bangladesh Infrastructure Finance Fund Limited (BIFFL)
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